

February Employment: What the Jobs Report Giveth, It Taketh Away

Economic Indicator

Economist(s)

 [Tom Porcelli](#)

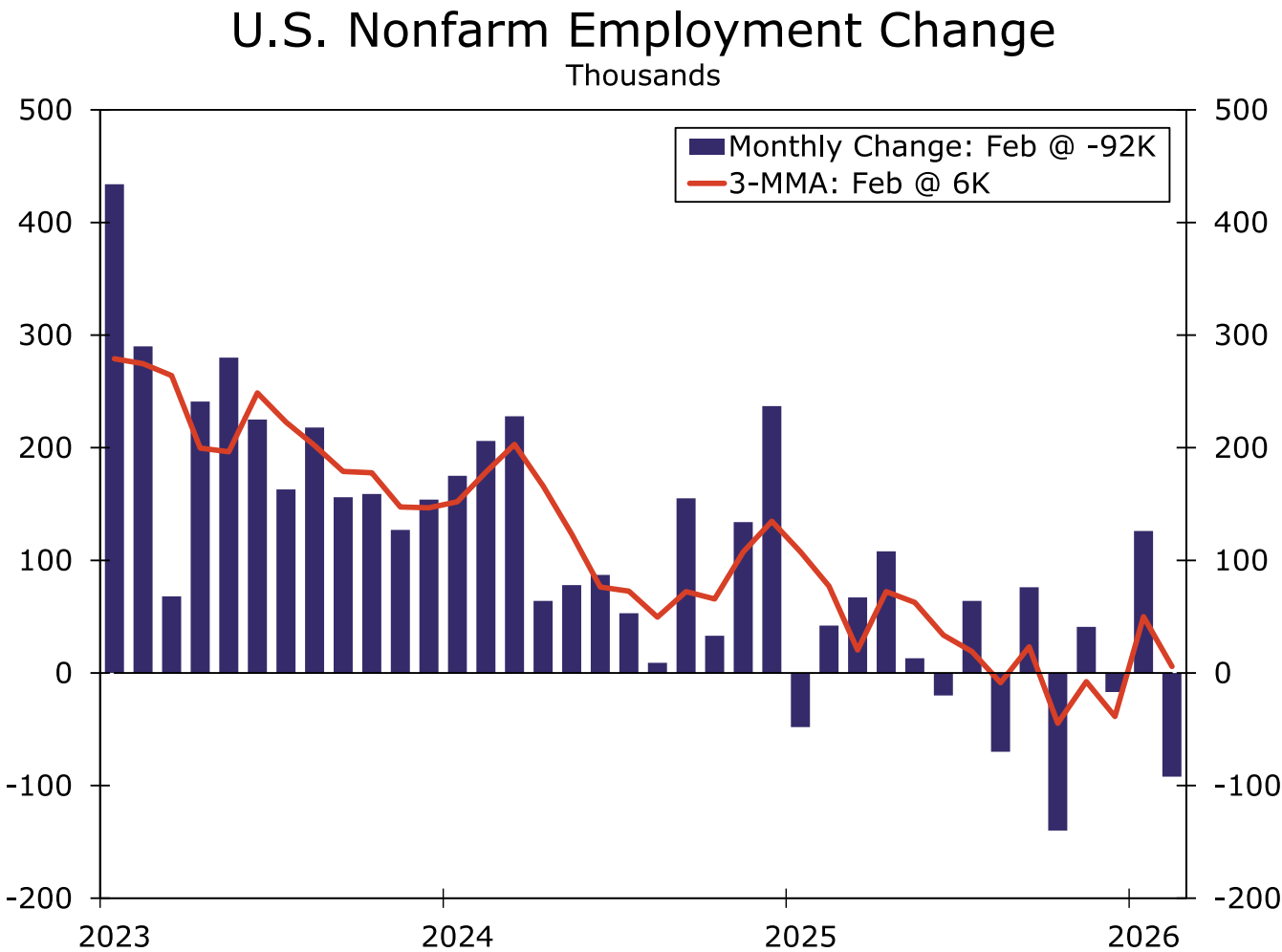
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Solid job growth in January gave way to a 92K *decline* in nonfarm payrolls in February. Private payrolls fell by a similar 86K, the largest decline in private employment since December 2020. Some of this weakness can be attributed to one-off factors, such as poor weather and strikes. But even excluding these factors, February employment growth along with downward revisions to the prior two months leaves job growth weak. The moderation cannot be attributed fully to slower supply growth as the unemployment rate climbed to a "high" 4.4% (4.44% unrounded).

Today's data will challenge what was a growing view among Fed officials that the labor market is stabilizing, and the Iran conflict further compounds the outlook. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. Yet, the inflationary impact of the conflict in Iran makes it harder to be a dove at the moment. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.



Source: U.S. Department of Labor and Wells Fargo Economics

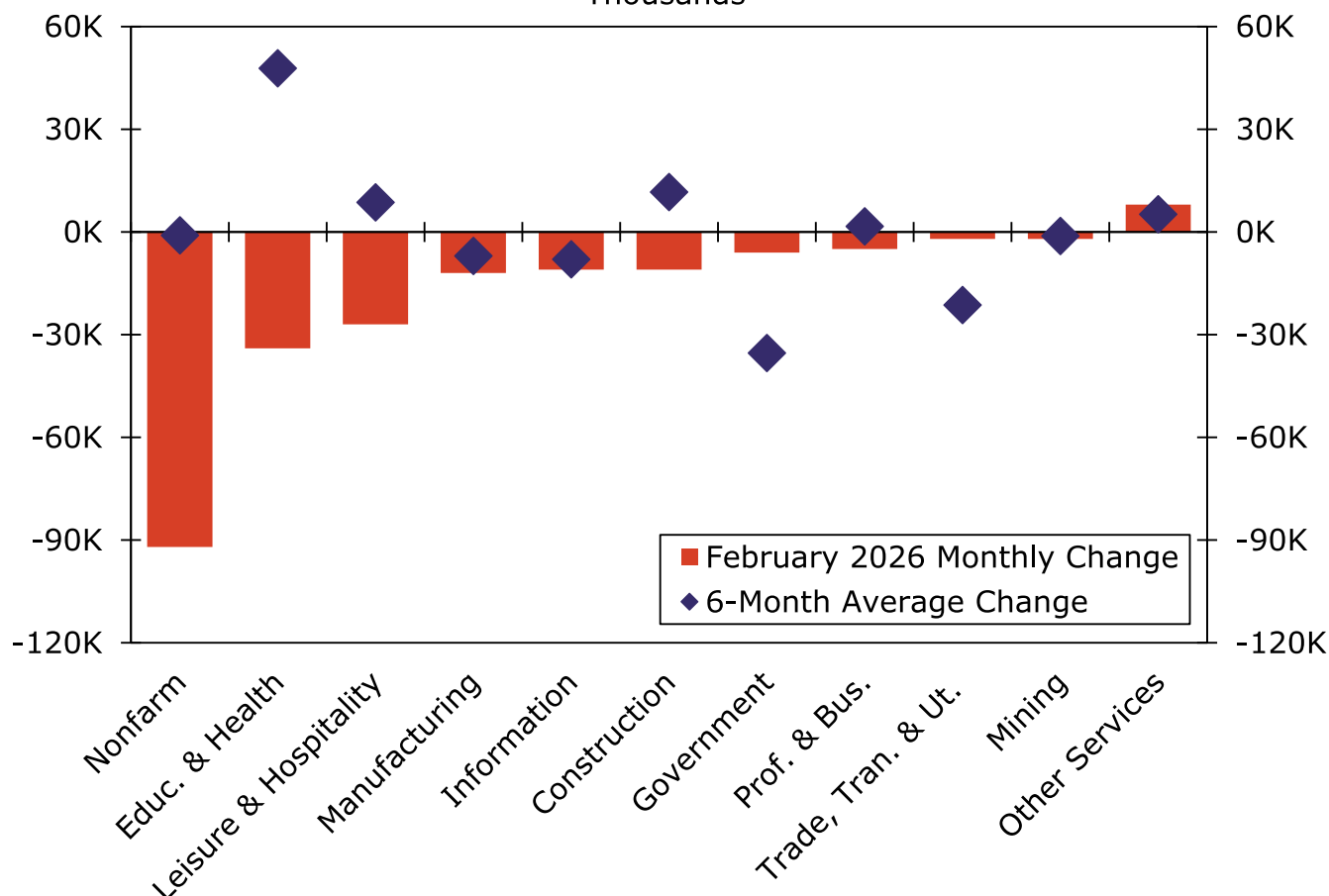
Labor Market Stumbles in February

Any notion that the jobs market was starting to stabilize was rocked by the February employment report. Nonfarm payrolls unexpectedly *fell* 92K in February. The contraction came on the heels of downward revisions to January (-4K) and December (-65K), leaving the three-month average pace of job growth at a meager 6K last month compared to 73K headed into this report.

There were some idiosyncratic factors at play. Approximately 31K nurses and other healthcare professionals were on strike in February, underpinning the 19K job decline in the healthcare & social assistance industry which has been the stalwart of overall job growth. With the strike already ended, these workers will be back on the payroll in March, leading to a commensurate lift to healthcare hiring in next month's report. Elsewhere, back-to-back harsh winter storms restrained hiring in weather-sensitive industries, such as construction and leisure & hospitality, where payrolls slipped. Federal government payrolls also continue to decline, albeit the pace of contraction is slowing.

Nonfarm Employment Change by Industry

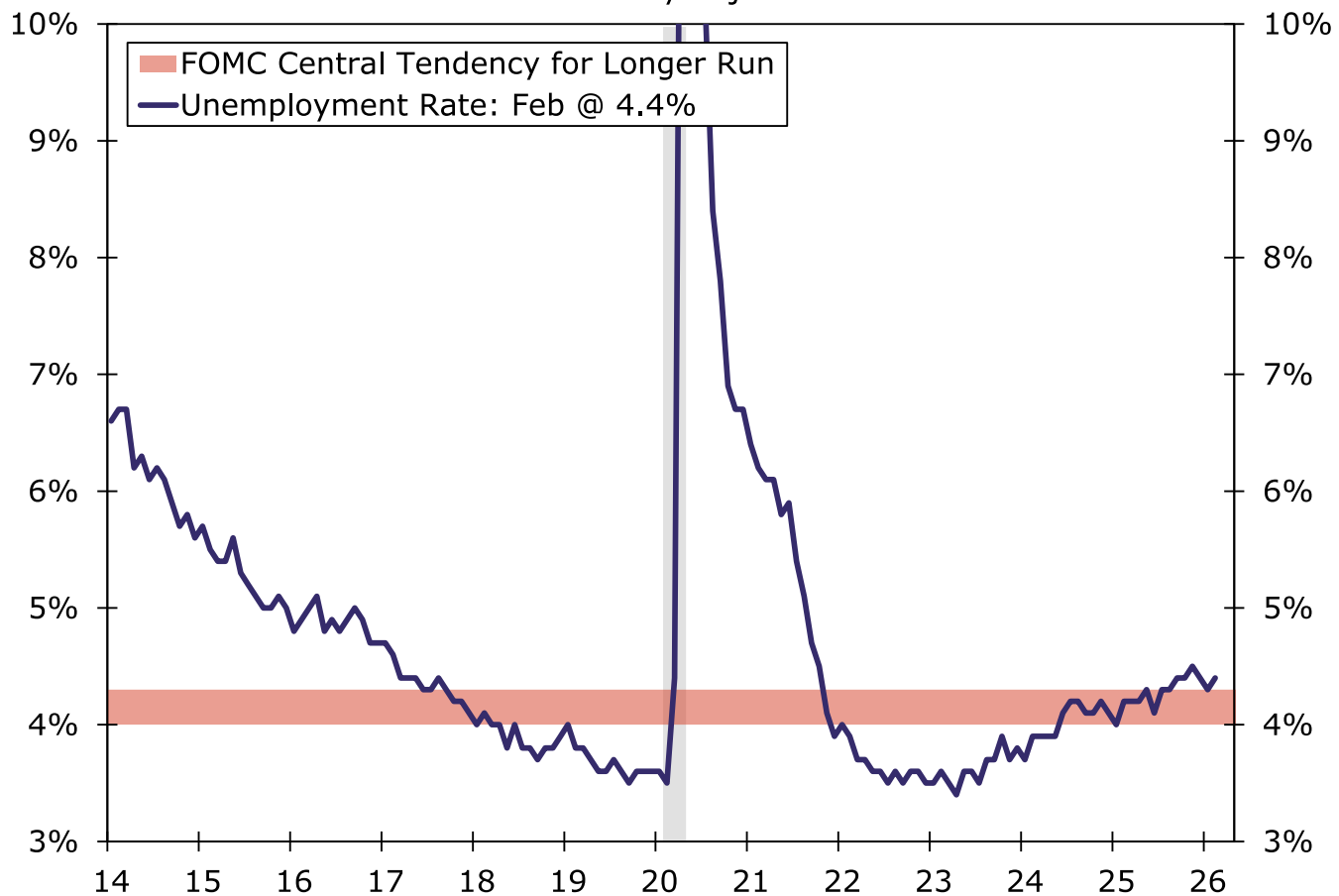
Thousands



Source: U.S. Department of Labor and Wells Fargo Economics

U.S. Unemployment Rate

Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

Slower growth in the labor supply as immigration is curtailed and the population continues to age means the economy does not need to be adding as many jobs as it once did. With a lower run-rate for job growth, it is becoming less unusual for payrolls to veer into negative territory at times, particularly when there are temporary factors that reduce hiring.

Yet the upward drift in the unemployment rate resumed in February, indicating that the slowdown in job growth cannot be entirely attributed to weaker labor supply. Unemployment rose from 4.3% in January to 4.44% in February, barely missing a return to its cycle high of 4.5% reached in November. While the climb has been gradual, the upward trend indicates that the job market's health has continued to slowly erode.

Today's jobs report puts the Fed in a difficult position. The Fed speak in recent weeks had been gradually coalescing around the idea of labor market stabilization due to a couple good jobs reports, well-behaved jobless claims, and other generally encouraging labor market data. The February employment report injects a large dose of uncertainty into this narrative, and the Iran conflict further compounds the outlook as we wrote in a [separate note](#) this week. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. That said, although the Iran conflict may not turn most participants into hawks, it does make it harder to be a dove. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.

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Retail Sales Start Year on Decent Note, February Looks Weaker

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[Tim Quinlan](#)

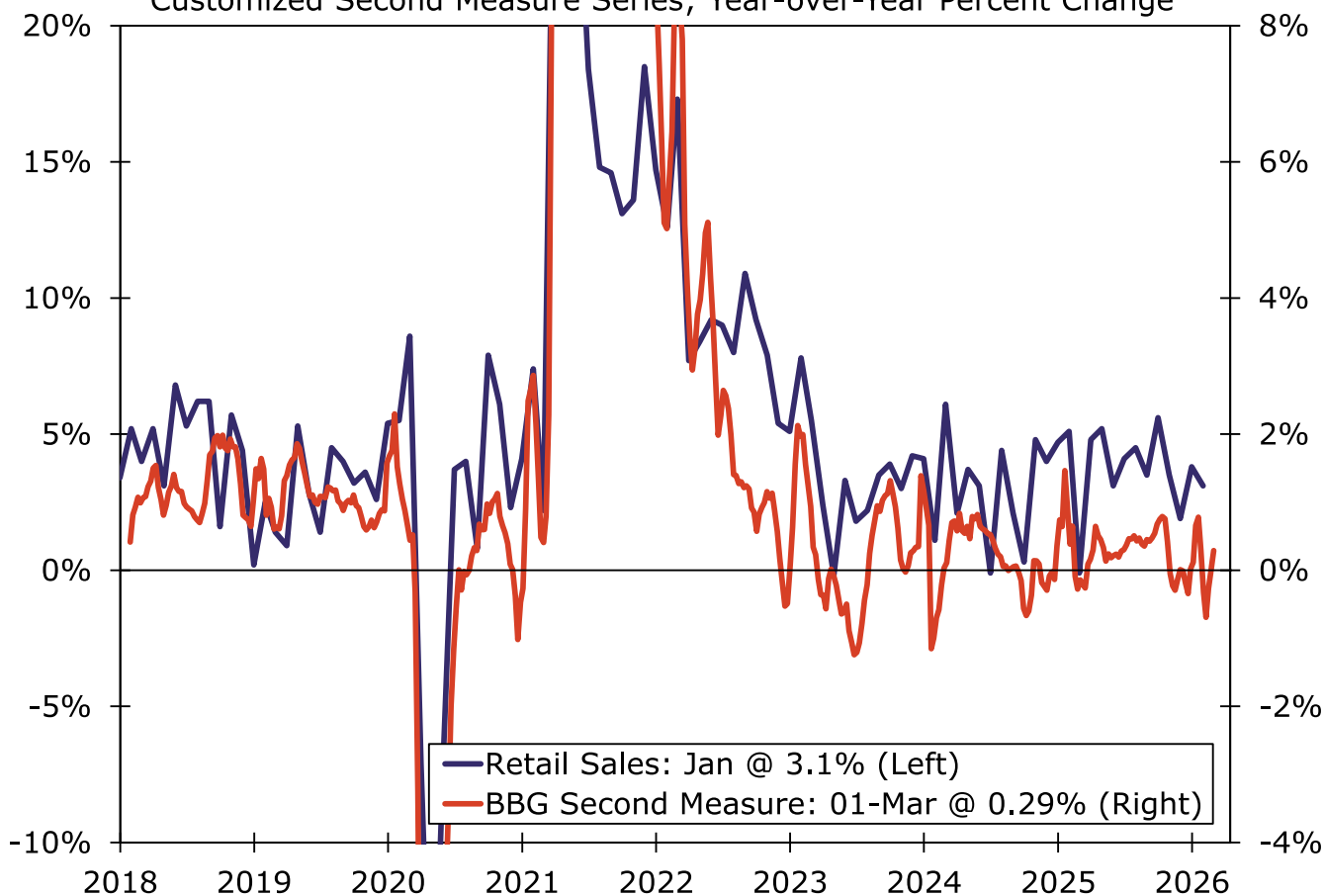


[Shannon Grein](#)

Retail sales started the year on a decent note, but early signs of February consumption suggest some more-recent weakness. The drop in headline sales was traced mostly to a decline in auto and gasoline sales, whereas control group sales rose 0.4% with upward revisions to past data. After what looks to be a weather-induced slowdown in February, we expect consumption to recover into March as higher tax refunds begin to more meaningfully lift spending. One big caveat will be how gas prices evolve in the wake of the conflict in Iran with households sensitive to the price at the pump.

U.S. Retail Sales Growth

Monthly Census Bureau vs. 28-Day Trailing Weekly Bloomberg
Customized Second Measure Series; Year-over-Year Percent Change



Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

Retail Sales Sturdier than Headline Suggests

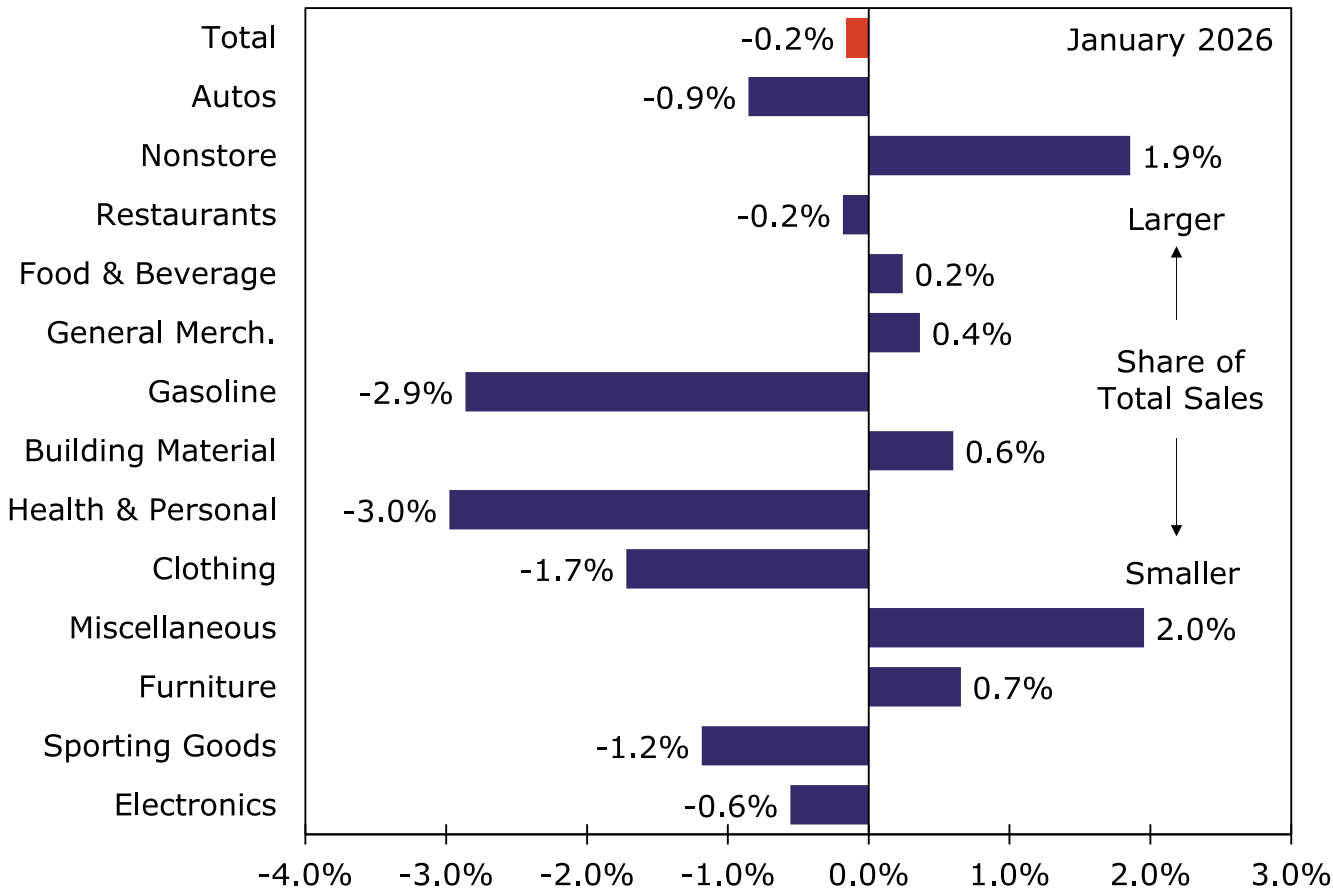
The January retail sales data came in largely as anticipated and reflect a consumer that continued to spend into the New Year. While overall retail sales slid 0.2% during the month, when you strip out some of the more volatile components the control group measure of sales rose 0.4% with some modest upward revisions to the prior months of data. This suggests goods consumption started the year on a good note given this component tracks more closely with overall goods spending, as the excluded components (autos, gas, building materials & restaurants) are included elsewhere within GDP or through other source data.

One big note of caution though is that these data are even more backward looking than usual as the government continues to catch up on data releases following the historic shutdown last Fall. Retail spending in February looks a bit weaker. High-frequency data on credit card spending from Bloomberg show a weaker average year-ago pace of spending registered in February as historic winter weather across the Northeast and other parts of the country likely dented consumption.

As far as January is concerned, most of the weakness in headline sales can be traced to sales at auto dealers and gasoline stations. Vehicle unit sales slipped to their lowest pace since late 2022 in January. Meanwhile the drop in gasoline sales reflects a decline in retail gasoline prices specifically with the average daily price at the pump down about six-cents/gallon from December.

Monthly Change in Retail Sales by Retailer

Month-over-Month Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

This weakness was somewhat offset by a pop in sales at building material stores, which was also likely at least partially price related, as the consumer price index for tools, hardware & outdoor equipment has been strong in recent months. Restaurant sales slipped 0.2% in January, which isn't an encouraging sign for broader services spending, but isn't overly worrying either, as high-frequency credit card data suggest some stabilization in restaurant spend after a drop-off toward year-end.

That said, we're not looking for much improvement in broad retail come February. Incoming data suggest some softness in activity, including: poor weather, subdued credit card spending, and weak orders activity reported by retail purchasing managers. Leisure & hospitality employment also slipped materially during the month, though there was some stabilization in travel-related measures of data like hotel occupancy and TSA throughput.

With tax refunds running ahead of last year's averages, we should start to see more cash flow materially support spending come March. One big caveat here is how the conflict in Iran evolves and its impact on domestic retail gasoline prices. Consumers are fairly sensitive to gas prices and the average price of a gallon of gasoline is already up by twenty-five cents in the first week of March compared to the average registered in February on the national level. Higher prices will boost these nominal retail figures, but would translate to lower *real*, or inflation-adjusted consumption. More cash flow stemming from higher average refunds is a factor we expect to offset spending weakness this year, but higher prices at the pump may dent confidence or sap up some of those funds.

U.S. Retail Sales: January 2026												
	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26
Retail Sales (MoM)	0.1	1.5	-0.1	-0.8	1.0	0.6	0.5	0.1	-0.2	0.5	0.0	-0.2
Retail Sales, Ex. Autos (MoM)	0.6	0.6	0.0	-0.1	0.9	0.4	0.6	0.1	0.2	0.4	0.0	0.0
Control Group Sales (MoM)	1.2	0.5	-0.2	0.3	0.9	0.5	0.7	-0.2	0.5	0.2	0.0	0.4
Real Retail Sales (MoM)	0.0	1.8	0.0	-0.7	0.7	0.6	0.1	-0.4	--	--	-0.2	0.0
Retail Sales (YoY)	3.9	5.1	5.0	3.4	4.4	4.1	5.0	4.1	3.2	3.2	2.4	3.2
Retail Sales, Ex. Autos (YoY)	4.3	4.2	4.1	3.7	4.0	4.0	4.8	3.8	3.7	4.1	3.3	3.9
Control Group Sales (YoY)	5.7	5.4	5.2	4.9	4.7	5.0	5.9	4.1	4.6	4.8	3.5	4.9
Real Retail Sales (YoY)	3.3	5.1	5.1	3.3	3.7	3.3	3.6	2.2	--	1.4	0.8	2.1

Notes: MoM = Month-over-Month Percent Change

YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics

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ISM Services Signals Broad Improvement in Demand Conditions

Economic Indicator

Economist(s)



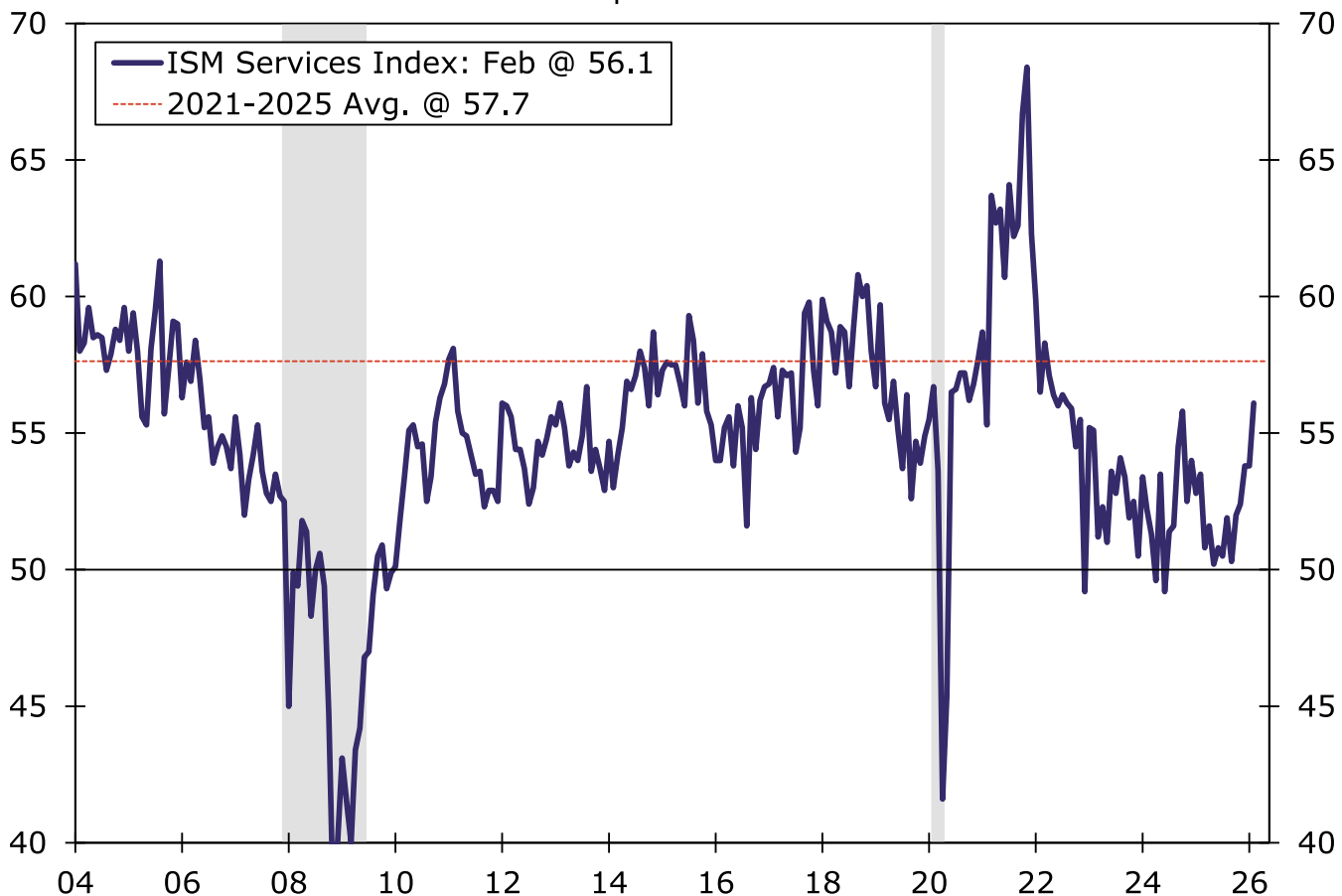
[Tim Quinlan](#)



[Shannon Grein](#)

The February ISM Services Index leaped to its highest level in three and a half years amid improving demand and steady conditions. A build back in inventories and move higher in order backlogs across the sector are additional signs that demand continues to ramp back up after an uncertainty-induced softening in the middle of last year. Some service-sector firms are also adding headcount as a result of an anticipated pickup in activity, and while higher prices remain a burden for most businesses, the ISM suggests cost pressure isn't getting materially worse. The bottom line: service sector conditions are improving as businesses see their way through steep levels of uncertainty.

ISM Services Composite Index



Source: Institute for Supply Management and Wells Fargo Economics

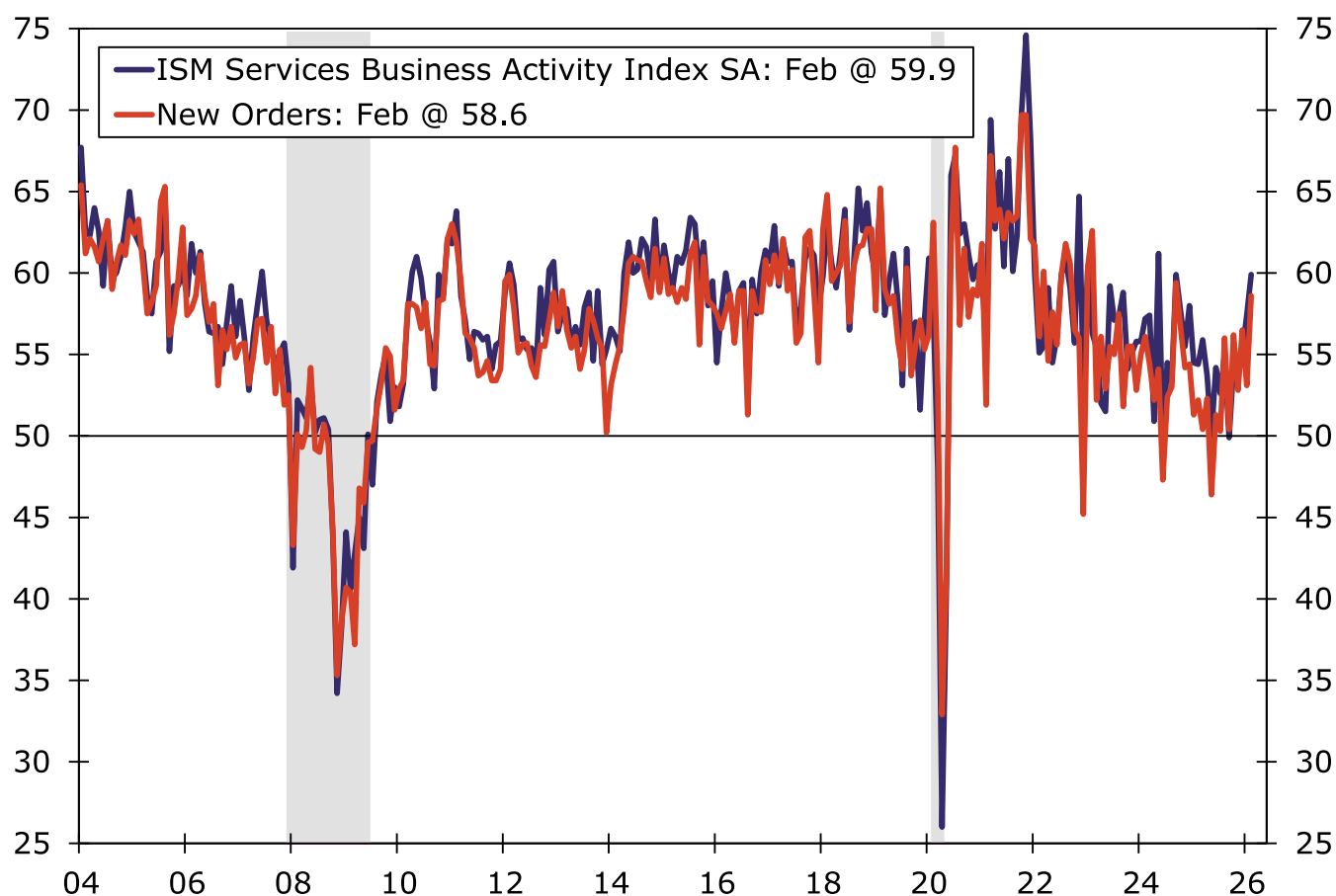
Services Sector Improvement

The ISM Services Index rose to 56.1, or the highest index reading in three and a half years in February ([chart](#)). The report was good all around—activity broadened across most industries with demand conditions improving ([chart](#)); price pressure is still high but not worsening, and some comments referred to increasing employment.

Nearly all industries reported an improvement in current conditions, with the business activity index rising to 59.9. The retail industry was the only industry that reported a drop in current activity. It also reported a decline in new orders and employment in February, signaling a cooling in retail spending after a sturdy holiday season followed by a strong January. This is consistent with what we're seeing in high-frequency weekly retail credit card data from Bloomberg as well. We're not overly concerned about the softness as it may reflect poor weather conditions, and [incoming tax refunds](#) should boost consumer spending in the next couple of months.

The new orders index rose further into expansion territory with 15 industries reporting increased demand last month. One respondent comment included in the note was fairly optimistic citing "stronger consumer demands, interest-rate stabilization, improved supply chain and stronger services activity." Other comments included continued references to tariff uncertainty, cost pressure and capacity constraints while also acknowledging solid business climate and performance. Service-sector activity continues through large levels of uncertainty.

ISM Services Business Activity vs. New Orders



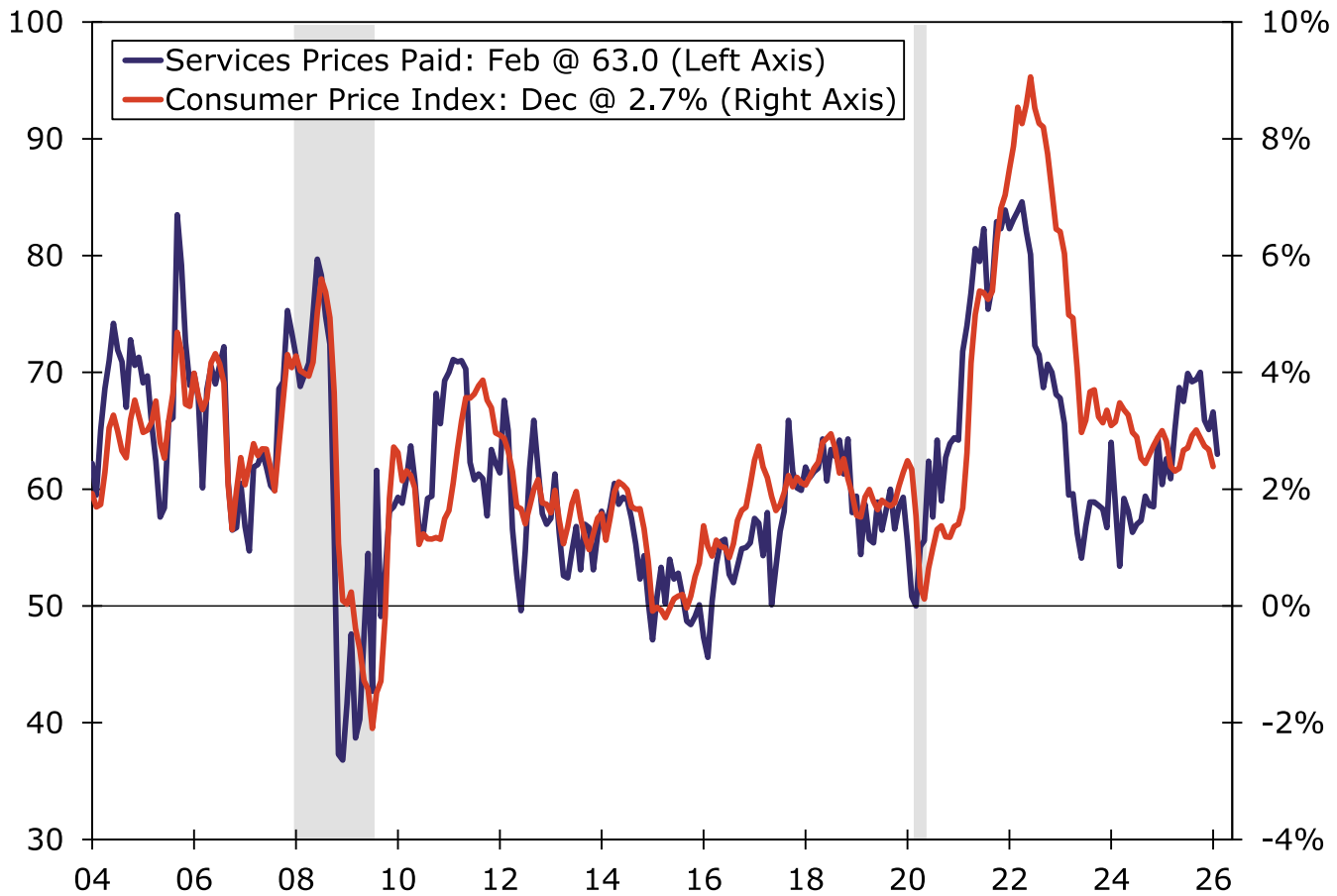
Source: Institute for Supply Management and Wells Fargo Economics

We even take the jump in the measure of inventories (+11.3) and order backlog (+11.9) as a signal of improving demand conditions after a year where most businesses operated inventory-light as a way to manage tariff uncertainty. We've heard anecdotally from some firms in the wake of the Supreme Court's ruling against IEEPA tariffs that they view these next 150 days of Section 122 tariffs as a period of reprieve, both in terms of clarity and for some in terms of tariff rates. They're importing more or bringing goods out of foreign trade zones as a result.

A larger share of respondents did, however, report feeling their inventories were *too high* in February, but a majority (76.6%) continue to say inventory levels are about right compared to operations. While price pressure still remains elevated throughout the services industry, the drop in the February prices paid index to 63.0 leaves it at its lowest in about a year. Sixteen industries reported an increase in costs, with no industry reporting a drop, but it is the direction of travel here that is most encouraging for broader consumer inflation ([chart](#)). While price pressure isn't easing, it doesn't appear to be getting much worse.

The labor backdrop also improved marginally with the index rising to 51.8. Hiring conditions still appear mixed across industries, but one respondent comment included pointing to an expected improvement in activity boosting hiring. When the full February employment report is released Friday, we [anticipate the economy added around 45K net new jobs](#), a more moderate pace than what has been registered over the past three months.

ISM Services Prices Paid vs. CPI



Source: Institute for Supply Management, U.S. Department of Labor and Wells Fargo Economics

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ISM Manufacturing Activity Holds Up as Uncertainty Rises

Economic Indicator

Economist(s)



[Shannon Grein](#)

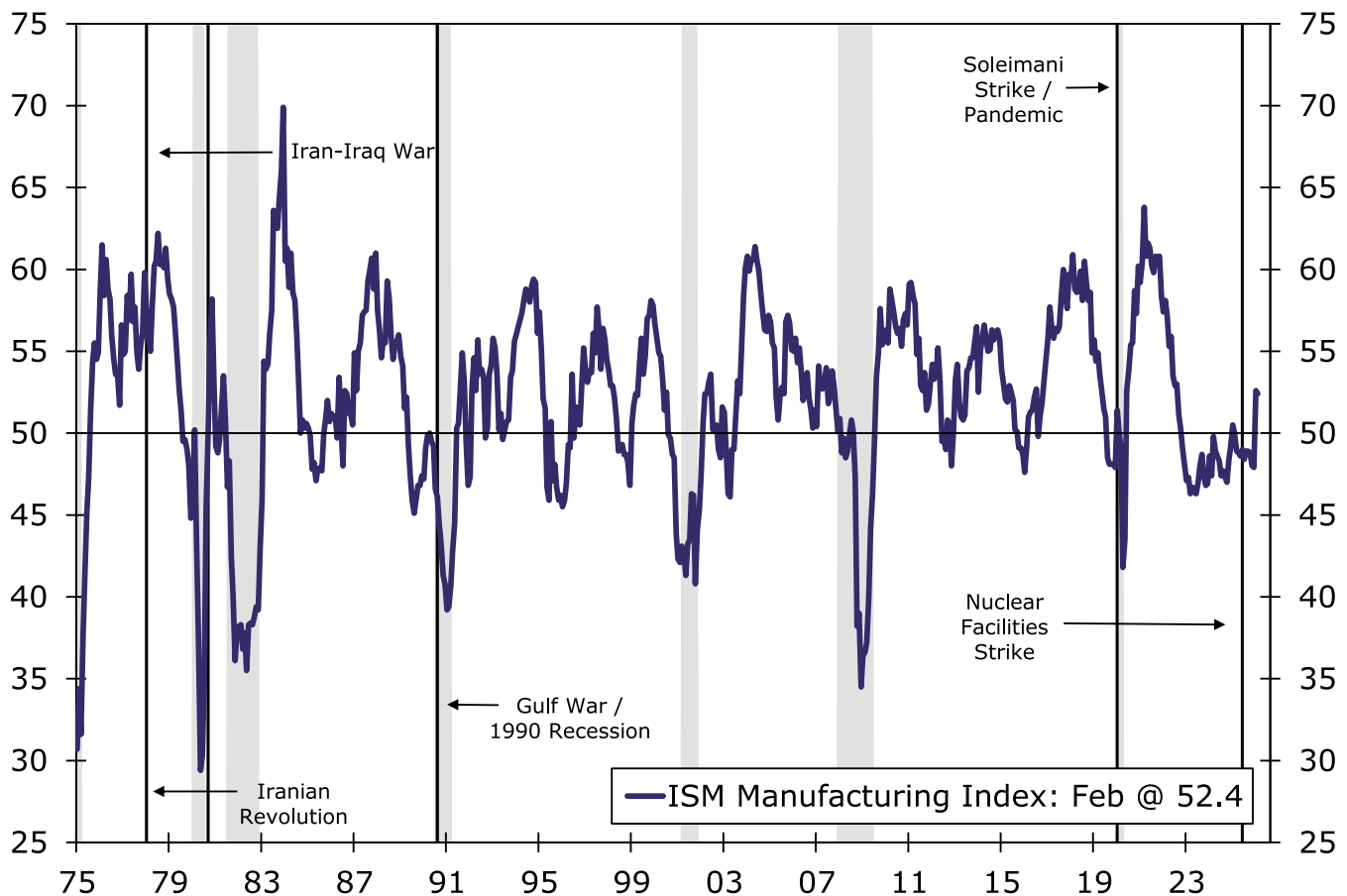


[Tim Quinlan](#)

The market is primarily concerned with developments in the Middle East this morning. The latest ISM data for February edged down just 0.2 points to 52.4 but remained in expansion, supported by strength in new orders, production, and supplier deliveries, while employment and inventories—though still in contraction—improved enough to pose less of a drag on the headline.

ISM Manufacturing Composite Index

Diffusion Index



Source: Institute for Supply Management and Wells Fargo Economics

Geopolitical Implications

Historically, spikes in geopolitical uncertainty or U.S. military activity tend to coincide with a near-term softening in business sentiment as firms delay orders, hiring, or investment decisions amid heightened uncertainty. That said, the effect is typically modest and short-lived, unless accompanied by sustained increases in energy prices, material supply disruptions, or tighter financial conditions.

In prior episodes, the ISM has generally stabilized once uncertainty fades and firms gain clarity, suggesting that sentiment effects alone rarely translate into a durable downturn in manufacturing activity. As seen in the [chart](#) above, manufacturing activity is influenced much more by cyclical trends than Iranian-related geopolitical conflicts.

What's With the Spike in Prices Paid?

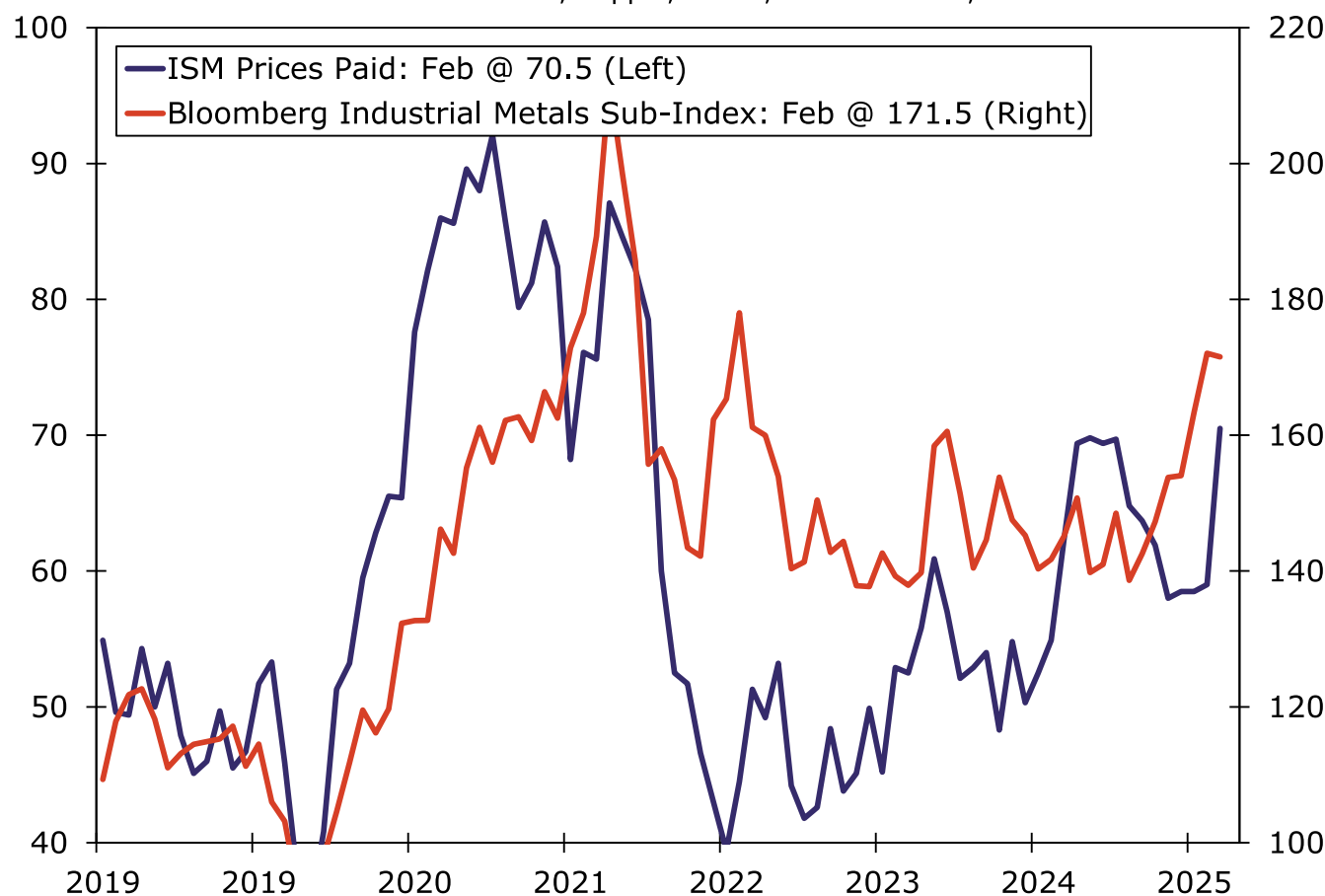
The Iran disruption comes just as manufacturing was beginning to stabilize. Today's second consecutive reading above 50 is consistent with a broadening in activity that we have been highlighting for a few months, but the recovery remains fragile.

The eye-catcher in today's report was the near-12 point jump in prices paid with a jump in the share of respondents reporting higher prices (~45%). The release noted, "The Prices Index reading continues to be driven by increases in steel and aluminum prices that impact the entire value chain, as well as tariffs applied to many imported goods." At 70.5 in February, the level is just above the peaks registered early last year amid the roll-out of tariffs, but remains lower than levels reached in 2021-22. The consumer inflation signal from this move is also muted when you consider that metal prices are a big source of input cost pressure for manufacturers ([chart](#)), but most households aren't buying lots of metals directly.

Recall too that the prices component does *not* feed into the headline ISM. The February ISM manufacturing index registered only a slight drop (just a 0.2 percentage point decline from January). Notably, the ISM index itself has just posted back-to-back expansionary readings for only the second time since 2022. This signals stabilization even if some of the main components remain stuck in contraction.

Metal Prices vs. ISM Prices Paid

Futures Contracts on Aluminum, Copper, Nickel, Lead and Zinc; Diffusion Index



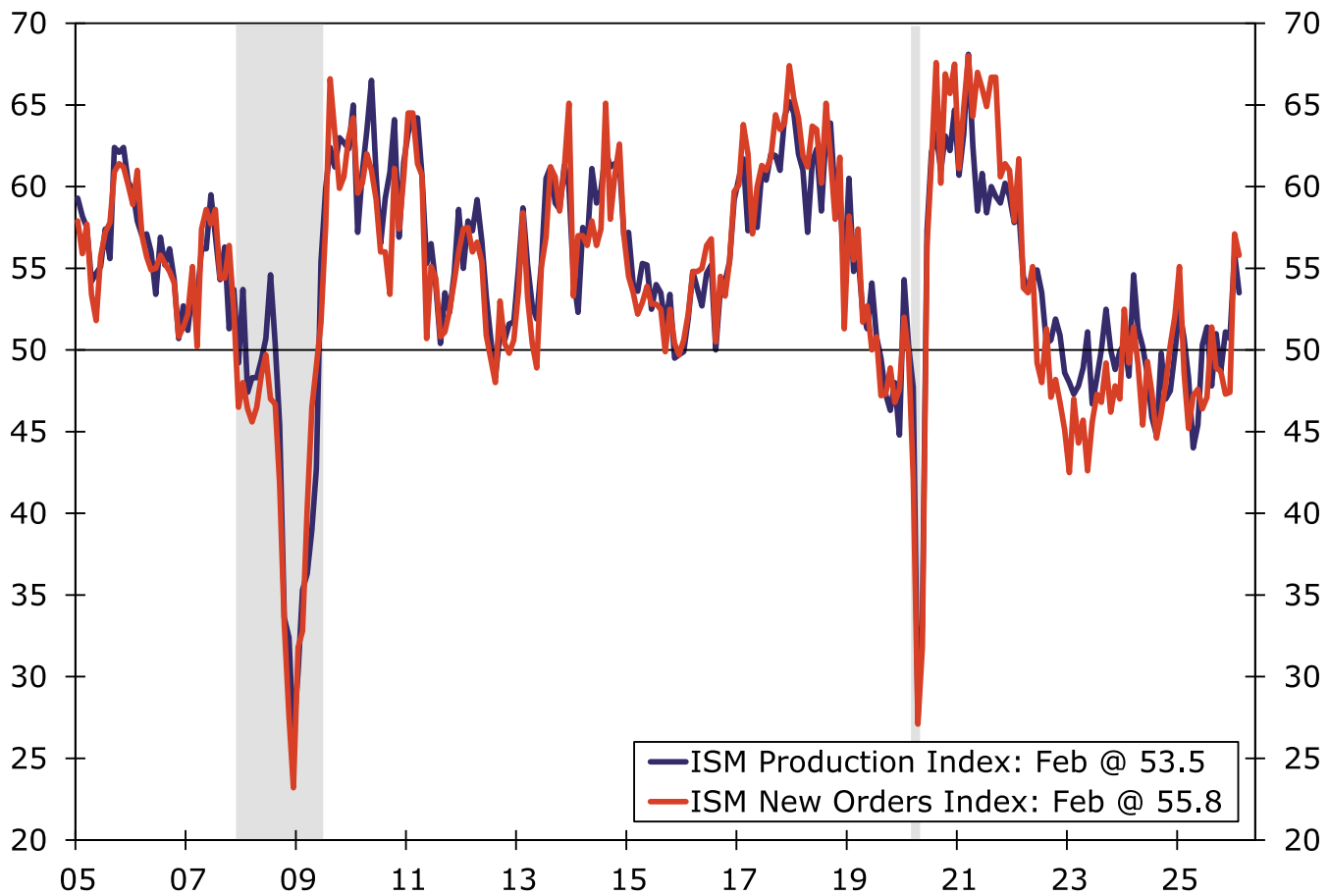
Source: Institute for Supply Management, Bloomberg Finance L.P. and Wells Fargo Economics

Of the components that do feed into the headline, three are firmly in expansion territory, led by new orders at 55.8, then followed by supplier deliveries at 55.1 and production 53.5. New orders and production both came down a bit from January ([chart](#)) and supplier deliveries rose. Take that with a grain of salt as this measure counts the wait-times and can be a bit of a head-fake during periods of supply chain disruption or trade policy uncertainty.

Employment and inventories are both still in contraction territory, but both notched modest gains from January and on that basis are less of a drag on the headline reading. Employment is now at 48.8 (up from 48.1 in January) and inventories is also at 48.8 (up from 47.6).

The employment component ultimately still indicates manufacturers remain cautious on hiring. Most respondents continue to report the same labor conditions month to month, and the report noted "The main head-count management strategies continue to be holding off on filling open positions," emphasizing the no-hire, no-fire jobs market today. When the full February employment report is released Friday, we [anticipate the economy added around 45K net new jobs](#), a more moderate pace than what has been registered over the past three months.

ISM Production vs. New Orders



Source: Institute for Supply Management and Wells Fargo Economics

A final thought related to the recent geopolitical pressure. A theme within capex in recent years has been how the tech sector has commanded a larger share of investment. Computer and electronic products facilities in particular have seen a steep rise in orders and activity, helping offset weakness in more traditional areas of capex. Much attention has appropriately been given to the Strait of Hormuz in the wake of this weekend's conflict, but it is useful to keep in mind that while this shipping lane is vital for global energy markets, it is less consequential when it comes to the flow of trade in technology. The Strait of Malacca is the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For U.S. manufacturers, tech shipments from Asia cross the Pacific either directly to West Coast ports or routed through the Panama Canal to the East Coast. The negative effects to supply chains for high-tech capex should be limited.

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Construction Spending Ends 2025 with Signs of Stabilization

Residential Gain Offsets a Nonresidential Decline

Economic Indicator

Economist(s)



[Charlie Dougherty](#)

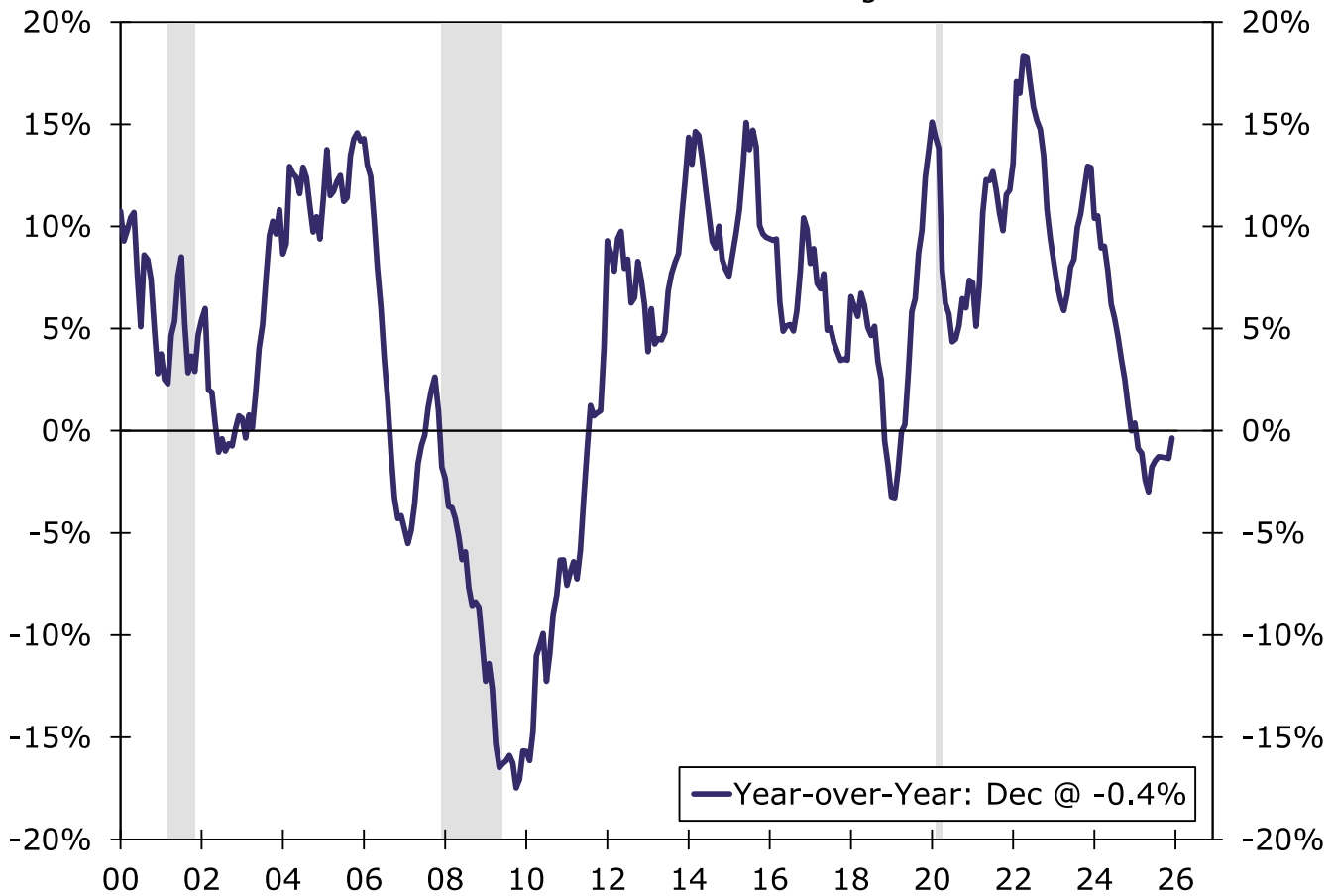


[Ali Hajibeigi](#)

- Total construction spending fell 0.2% in November and then rose 0.3% during December. On balance, residential outlays picked up in the last two months of the year, while nonresidential declined. At year-end, overall spending was down just 0.4% on a year-ago basis, an improvement from the sharper annual declines registered for much of 2025.
- Residential's modest turnaround at the end of the year was broad-based. Single-family, multifamily and home improvement outlays each notched improvement, consistent with recent indicators (housing permits and building material retail sales) showing similar stabilization.
- Private nonresidential dropped over the course of November and December, though some segments outperformed. Select "mega-project" categories such as data center, power and communication each trended up. Meanwhile, lodging, commercial, healthcare and manufacturing were drags on overall spend.
- Public outlays also dipped as sectoral declines in transportation, educational, water supply and sewage & waste disposal project outlays offset growth in highway & street and power construction.
- All told, the small gain in total construction spending at the end of 2025 is a welcome sign that lower interest rates are slowly supporting a broadening of new activity beyond data centers and other mega-projects. That said, construction spending is reported in nominal terms, and so it is challenging to distinguish between gains in real activity and the effects of rising construction costs.
- To that end, the Producer Price Index (separately released this morning) revealed that building cost inflation continues to glide higher. The construction material index was up 6.6% on a year-to-year basis in January, the strongest annual print since 2022.
- Meanwhile, the Architecture Billings Index (ABI) fell back in January. The ABI leads nonresidential spending by 9-12 months and has been stuck in contraction territory (below 50) since 2024. This is consistent with our expectation for structures investment to remain a drag on overall real GDP growth this year as new activity remains constrained by a high-cost environment, soft real estate fundamentals and economic uncertainty.

Total Value of Construction Put-in-Place

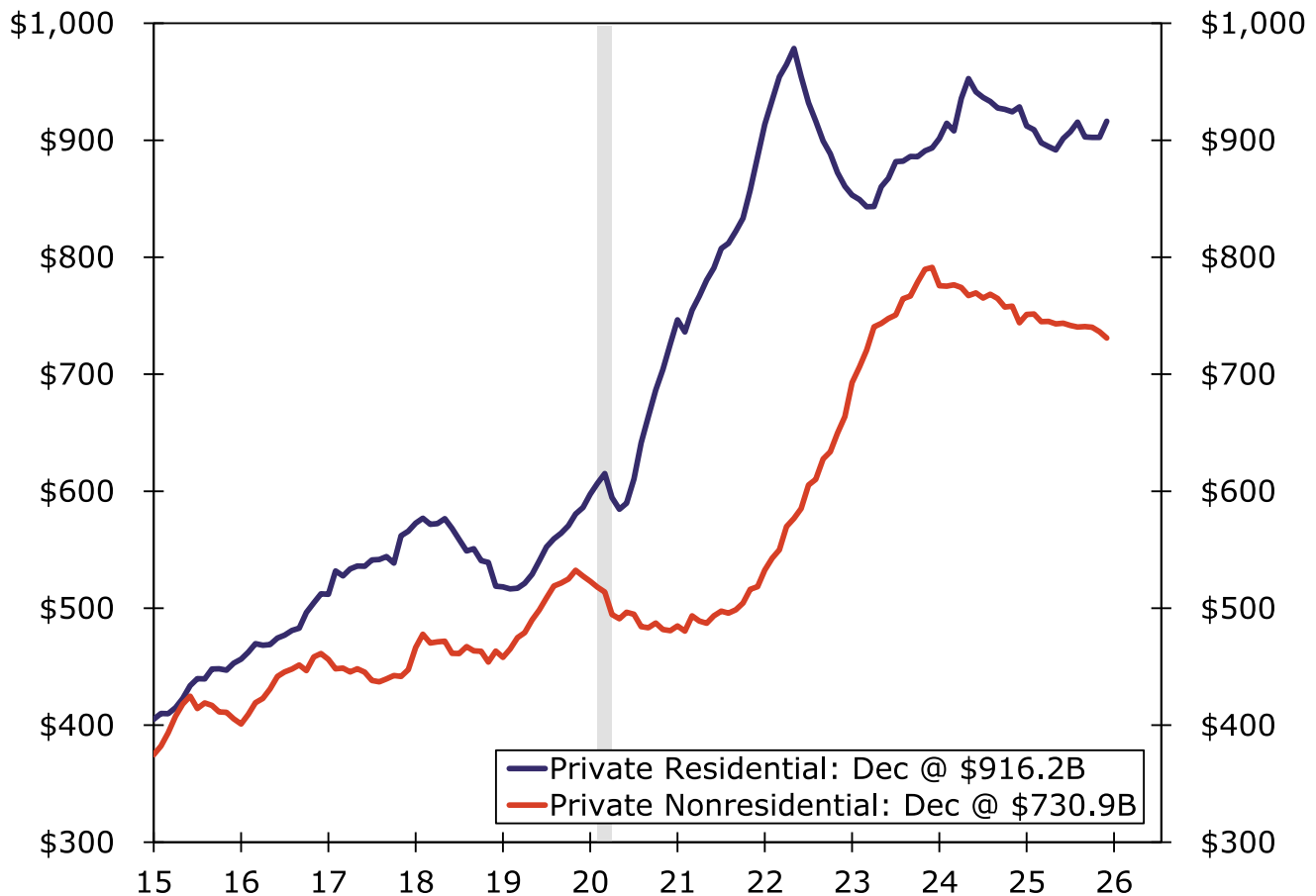
Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

Private Construction Spending

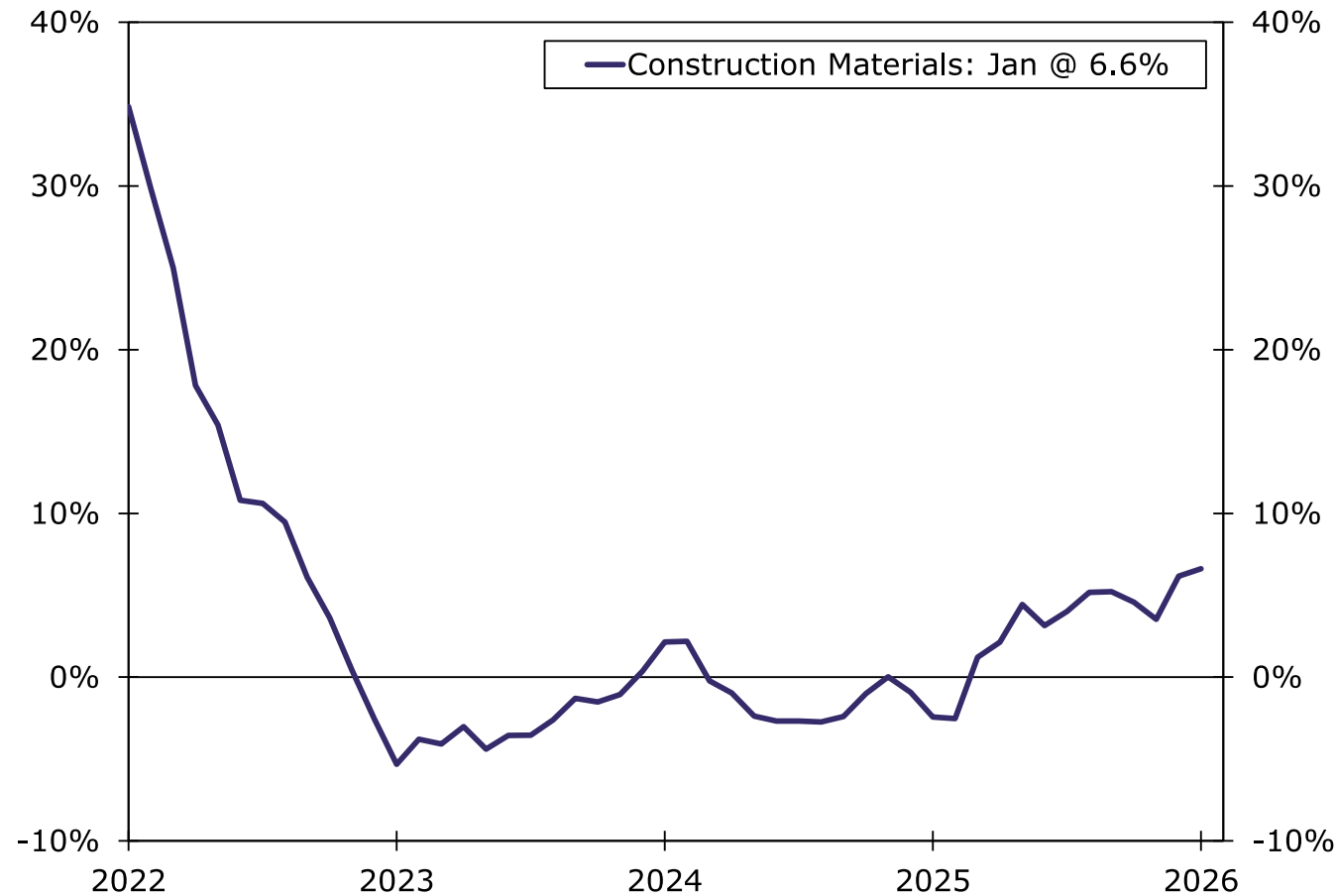
In Billions of Dollars



Source: U.S. Department of Commerce and Wells Fargo Economics

Producer Price Index for Construction Materials

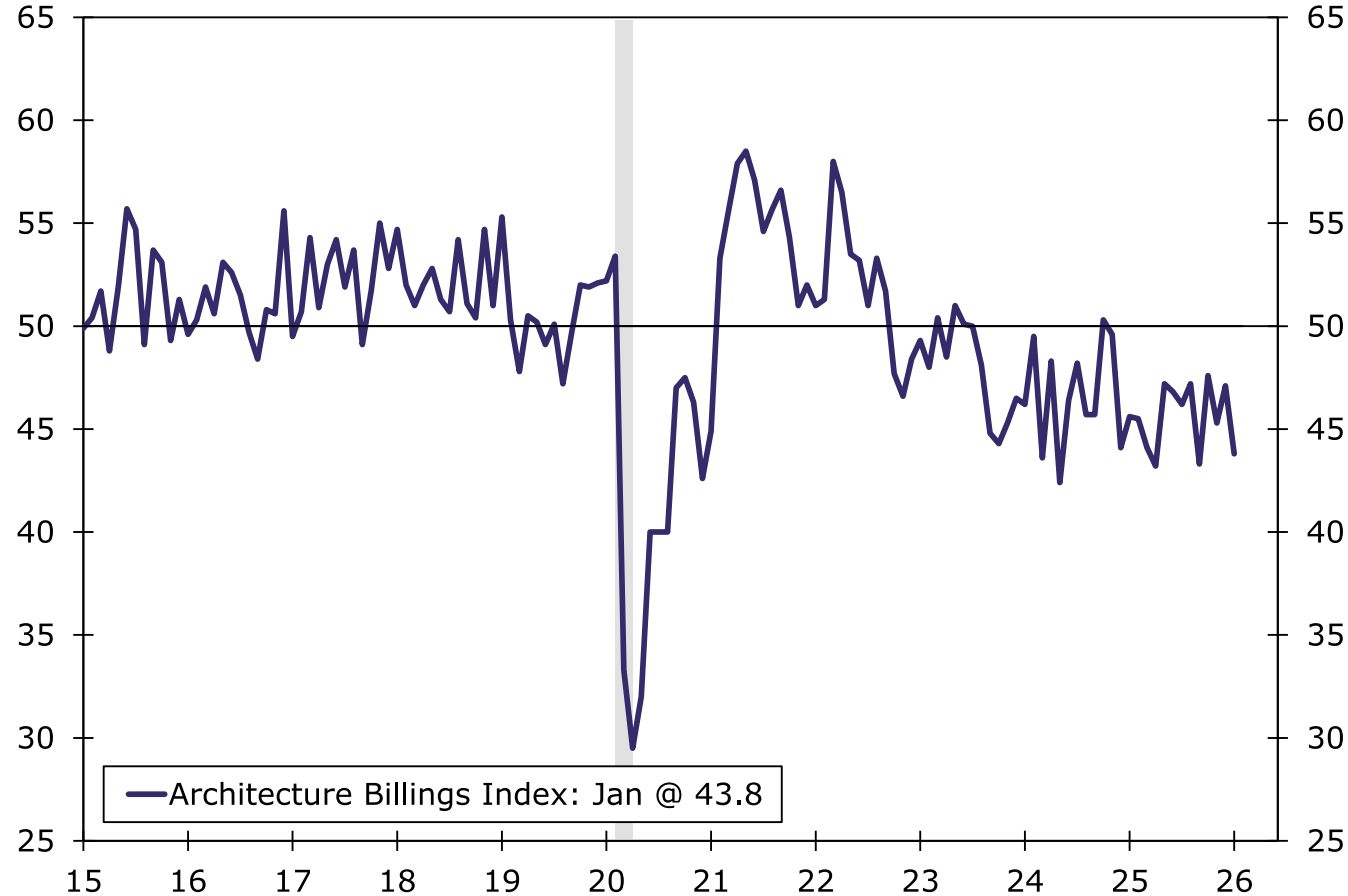
1982 = 100, Year-over-Year Percent Change, NSA



Source: U.S. Department of Labor and Wells Fargo Economics

Architecture Billings Index (ABI)

Diffusion Index, Seasonally Adjusted



Source: American Institute of Architects and Wells Fargo Economics

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New Home Sales Picked Up in November & December

Lower Mortgage Rates Were a Key Support

Economic Indicator

Economist(s)



[Charlie Dougherty](#)



[Jackie Benson](#)



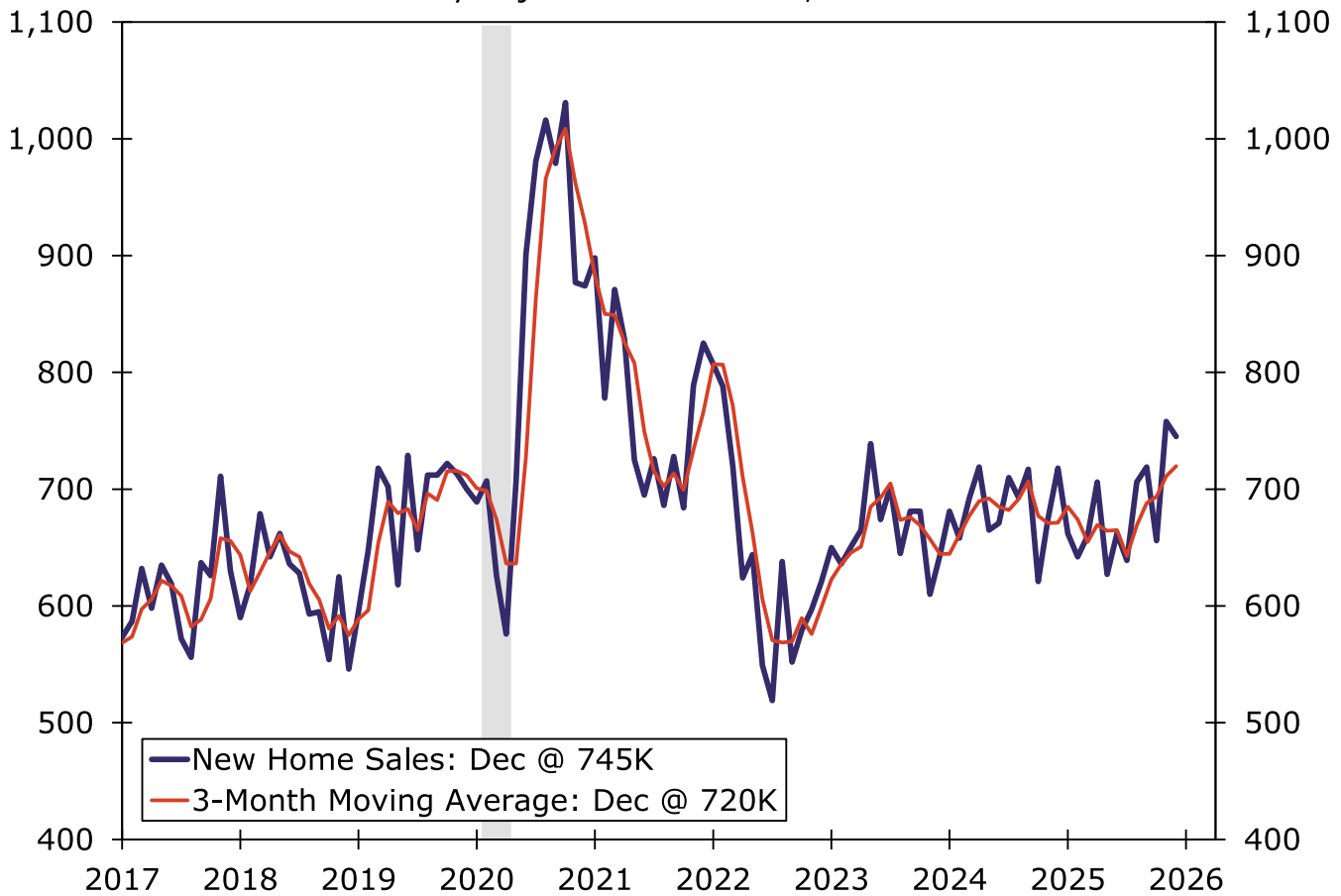
[Ali Hajibeigi](#)

Summary

- [New home sales rose](#) on balance at the end of 2025. Transactions surged in November (+15.5%) to a 758K annual pace. Accounting for modest giveback in December (-1.7%), the 745K unit sales pace at the close of last year was 3.8% above December 2024.
- Yet in 2025 as a whole, the annual average of new home sales ended up 1.1% below 2024. Stubbornly high mortgage rates, cooling labor market fundamentals and ongoing uncertainty all weighed on demand.
- The year-end increase in momentum was likely supported by a modest reduction in financing costs. The average 30-year fixed mortgage rate slid from 6.8% in June to 6.2% in December, reaching its lowest level since September 2024.
- Mortgage rates have continued to recede since, most recently averaging 6.0% during the week of February 19. Although this progress is encouraging, mortgage rates remain above pre-pandemic averages and are unlikely to fall much further in our view.
- Roughly [two-thirds of builders reported using incentives](#) like price cuts or mortgage rate buy-downs in November and December, a share that persisted through the first two months of 2026. Combined with builders' poor sales expectations, the prevalence of sales incentives implies that buyer demand remains soft in many markets.
- The median sale price for a new single-family home [rose slightly in December](#) but was down 2.0% on a year-to-year basis. The annual decline reflects builder price discounts.
- New home inventory eased somewhat but remains elevated. [New home inventory fell modestly](#) over the last two months of 2025, dipping 3.5% year-over-year in December. That said, months' supply registered at 7.6 months in December, well above the 5.5-month average from 2015 to 2019.

New Home Sales

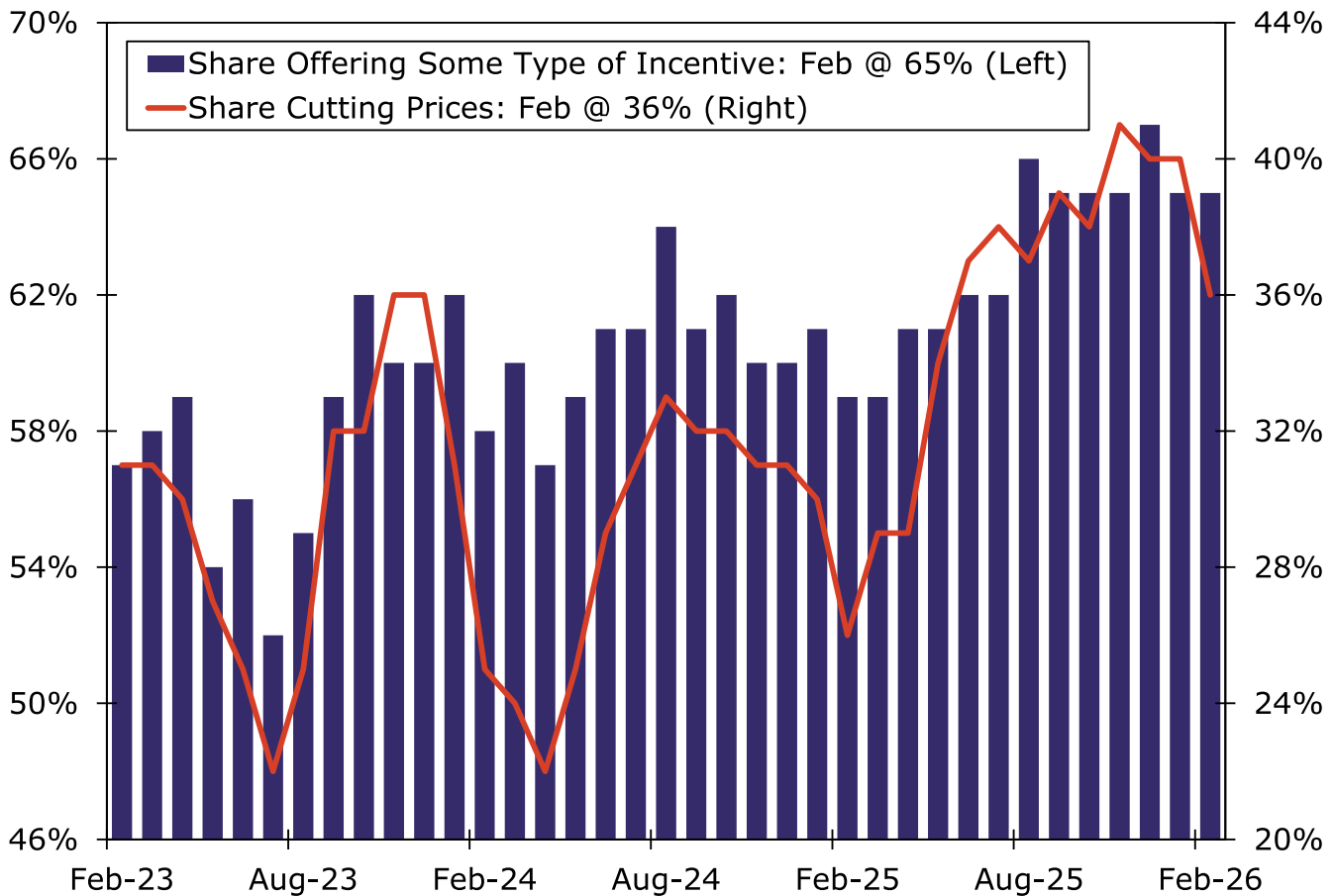
Seasonally Adjusted Annual Rate, In Thousands



Source: U.S. Department of Commerce and Wells Fargo Economics

Home Builder Sales Incentives

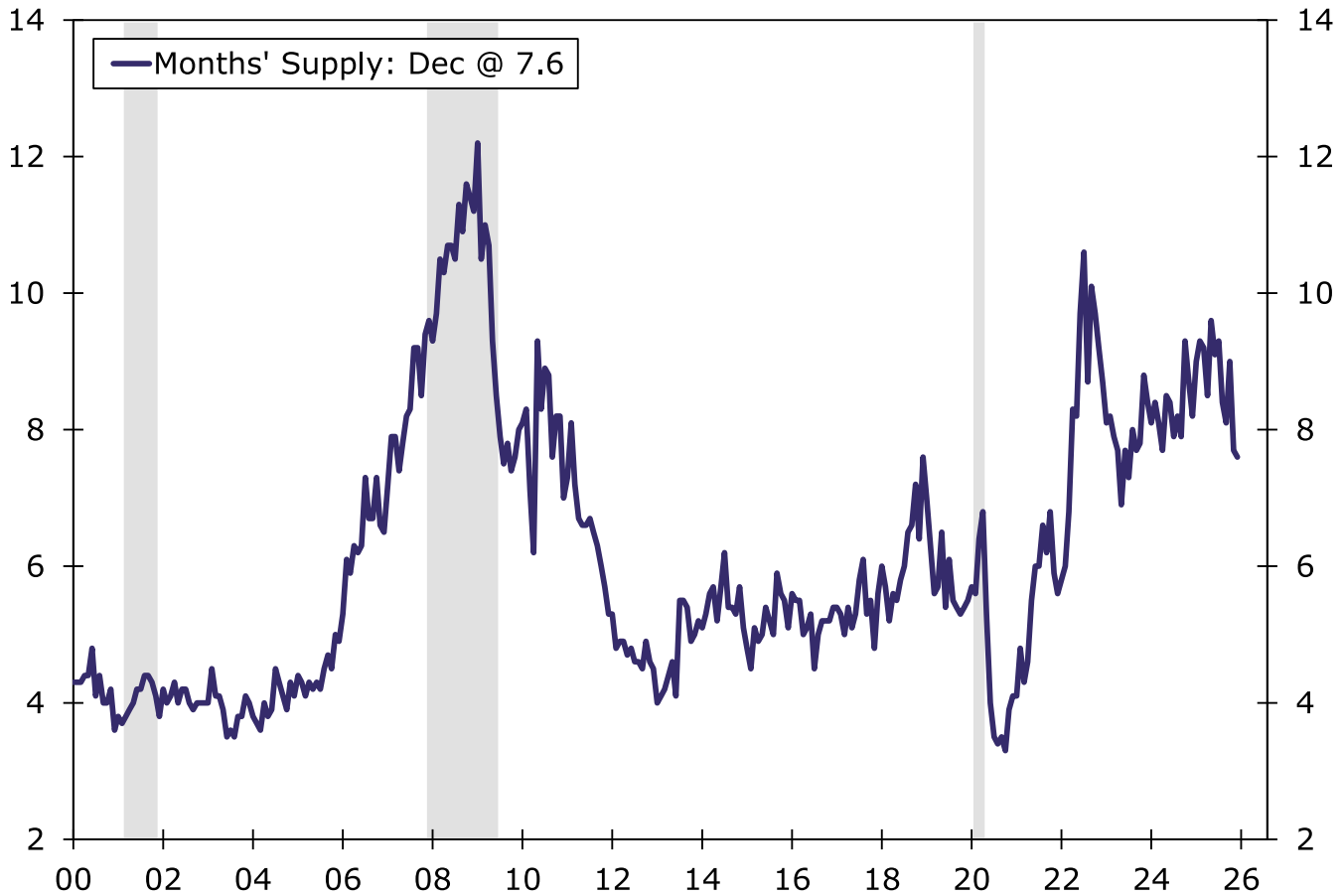
Share of Builders



Source: NAHB and Wells Fargo Economics

Inventory of New Homes for Sale

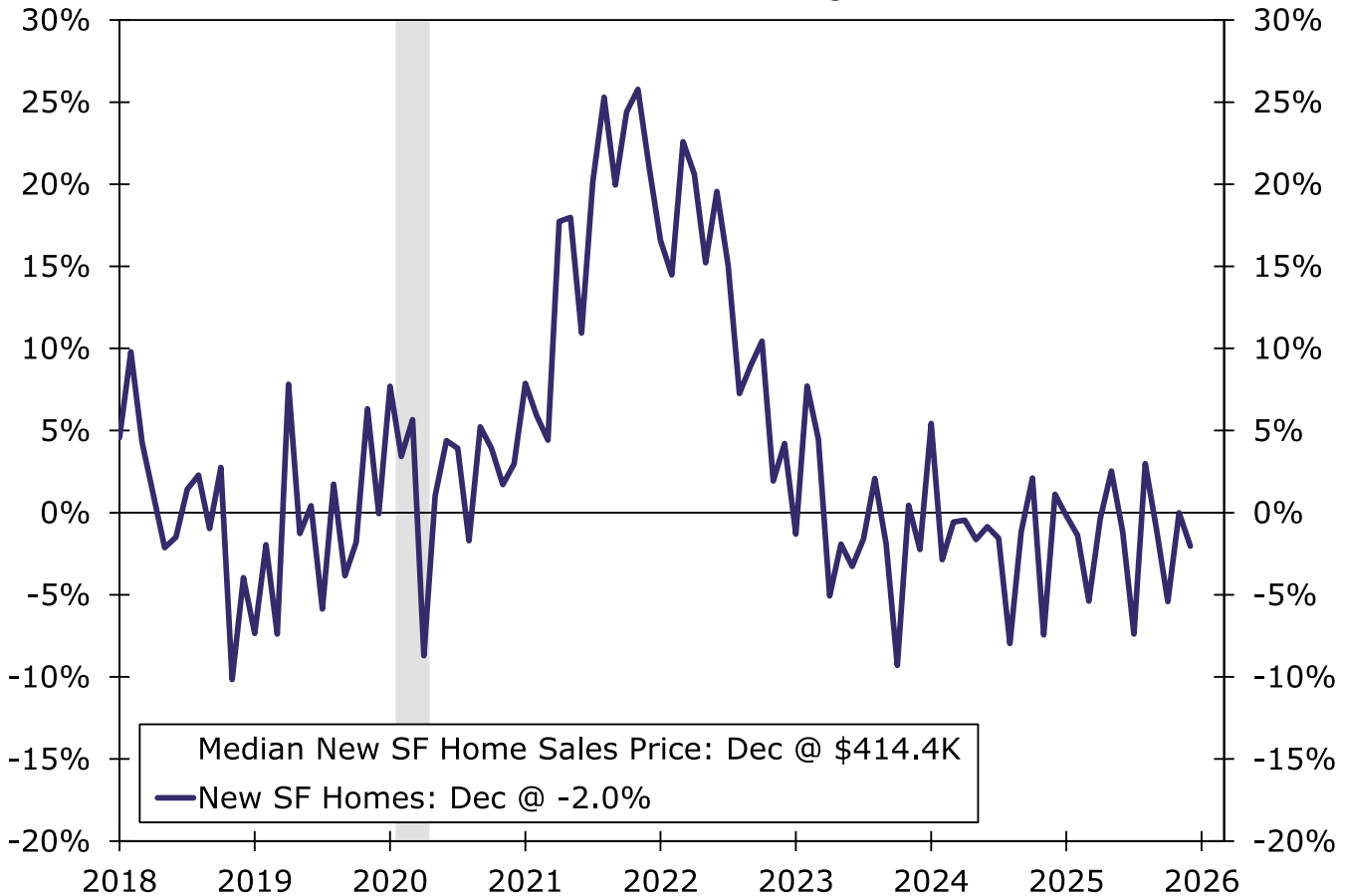
Months of New Homes for Sale at Current Sales Rate



Source: U.S. Department of Commerce and Wells Fargo Economics

Median New Single-Family Home Price

Year-over-Year Percent Change, NSA



Source: U.S. Department of Commerce and Wells Fargo Economics

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Gold Explains Some, Not All, of Sharp Widening in December Trade Deficit

Economic Indicator

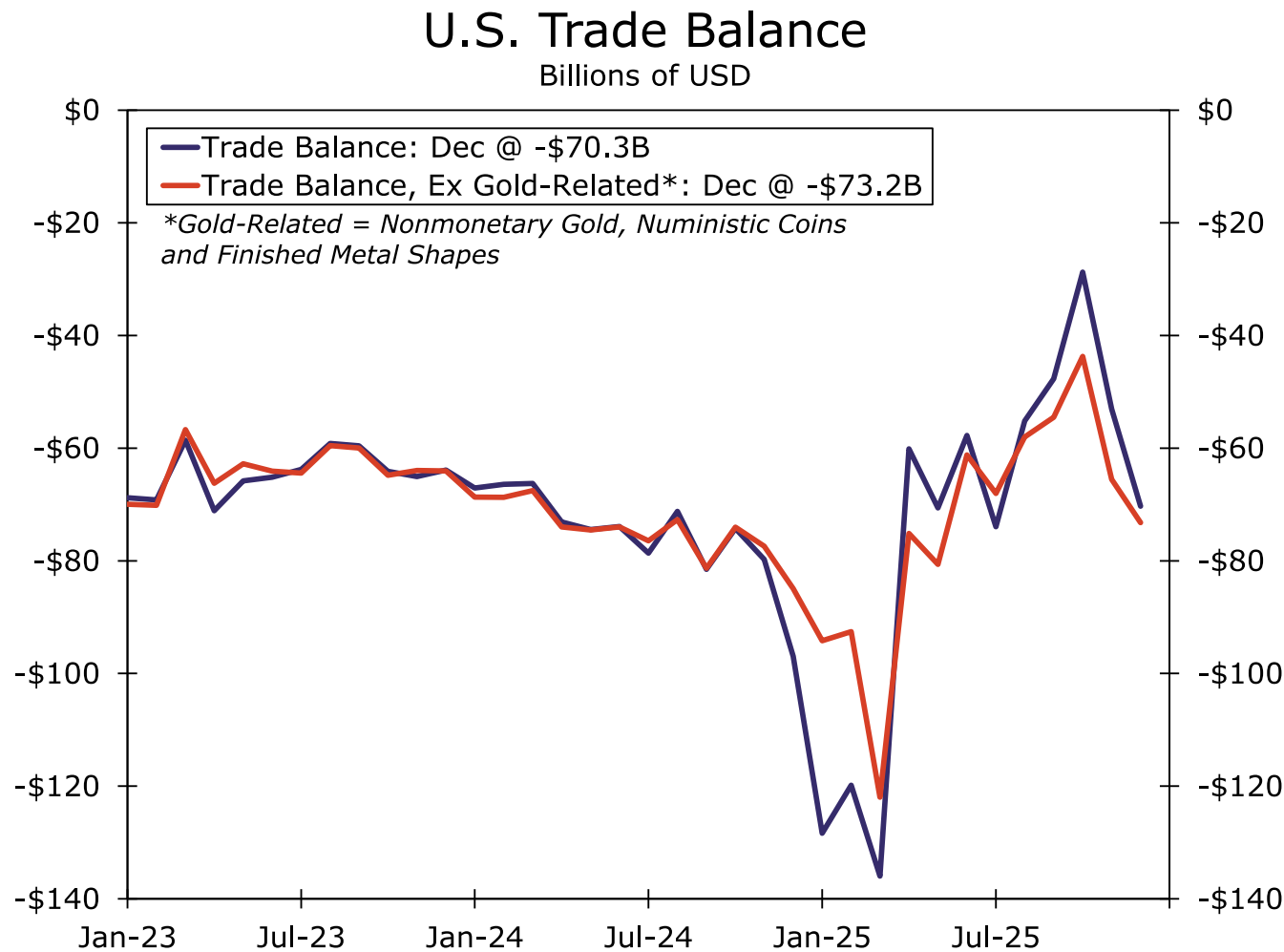
Economist(s)

 [Shannon Grein](#)

 [Tim Quinlan](#)

Summary

- A large \$17.3 billion widening in the December trade deficit reflects a \$5 billion drop in exports and a more than \$12 billion jump in imports. The size of these moves overstate the impact on Q4 GDP growth and the extent of recent demand.
- The trade of non-monetary gold accounted for more than half of December's widening. Since this is excluded from GDP it blunts the impact of net exports on GDP.
- Prior to today's report we had anticipated a 0.7 percentage point boost from trade on Q4 real GDP growth. That lift is now poised to shrink. In fact, we might even see a slight drag on growth from trade due to stronger than anticipated imports.
- All told goods imports finished the year down and were way down when excluding the lift from a sharp increase in high-tech related imports.
- So are we now a country that simply imports less than it did before? We think the pullback in imports last year is overstated and is at least partly a result of wait-and-see around tariffs in 2025. Looking ahead there will inevitably be more rejiggering in supply chains, but we see scope for a modest ascent in imports in spite of tariffs in the year ahead.



Source: U.S. Department of Commerce and Wells Fargo Economics

Trade Normalization Continues: Imports Up, Exports Down

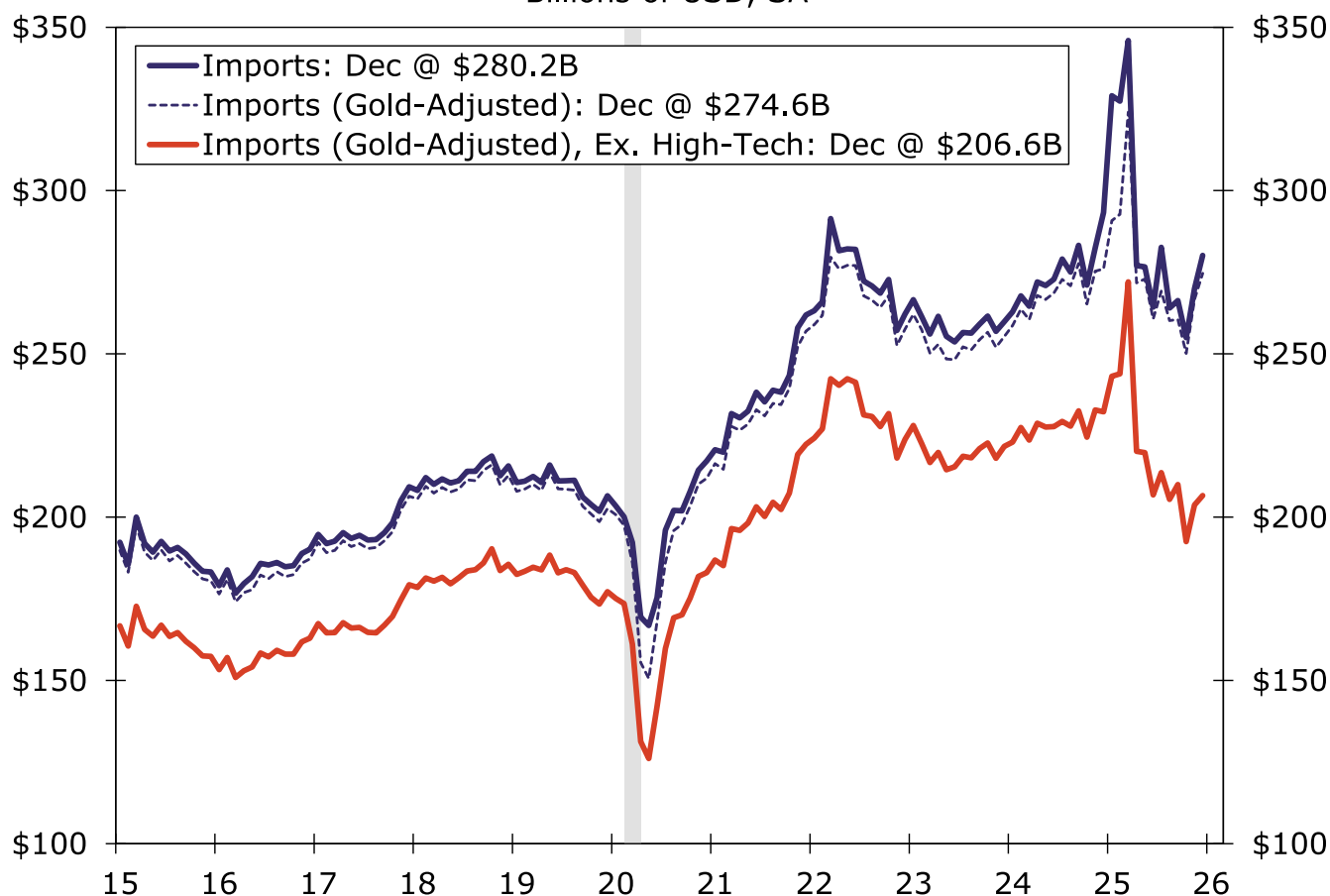
If you were rooting for trade to boost economic growth in Q4, just about everything moved in the wrong direction in December. The U.S. economy increased its imports by more than \$12 billion, with \$10.2 billion off that increase coming from goods and the balance coming from increased service imports.

On the other side of the ledger, exports fell by \$5.0 billion despite the one silver lining, a scant \$0.5 billion increase in service exports being swamped by a \$5.5 billion decrease in U.S. goods exports. The total trade balance widened sharply as a result reaching \$70.3 billion, falling back to its widest level in six-months.

So while it is true that the U.S. economy is importing more and exporting less, it's much more complicated. The underlying details are less clear, including that almost half of the widening in the December trade deficit will not end up weighing on GDP growth. That's because the Commerce Department excludes non-monetary gold as it reflects asset reallocation under geopolitical stress, not real economic activity. As seen in the top [chart](#), the international trade deficit when excluding these effects has been less volatile in recent months. Additionally, when you exclude high-tech related imports (computers, accessories, communications equipment, semiconductors) the gain in December imports is cut in half.

U.S. Goods Imports

Billions of USD, SA



Source: U.S. Department of Commerce and Wells Fargo Economics

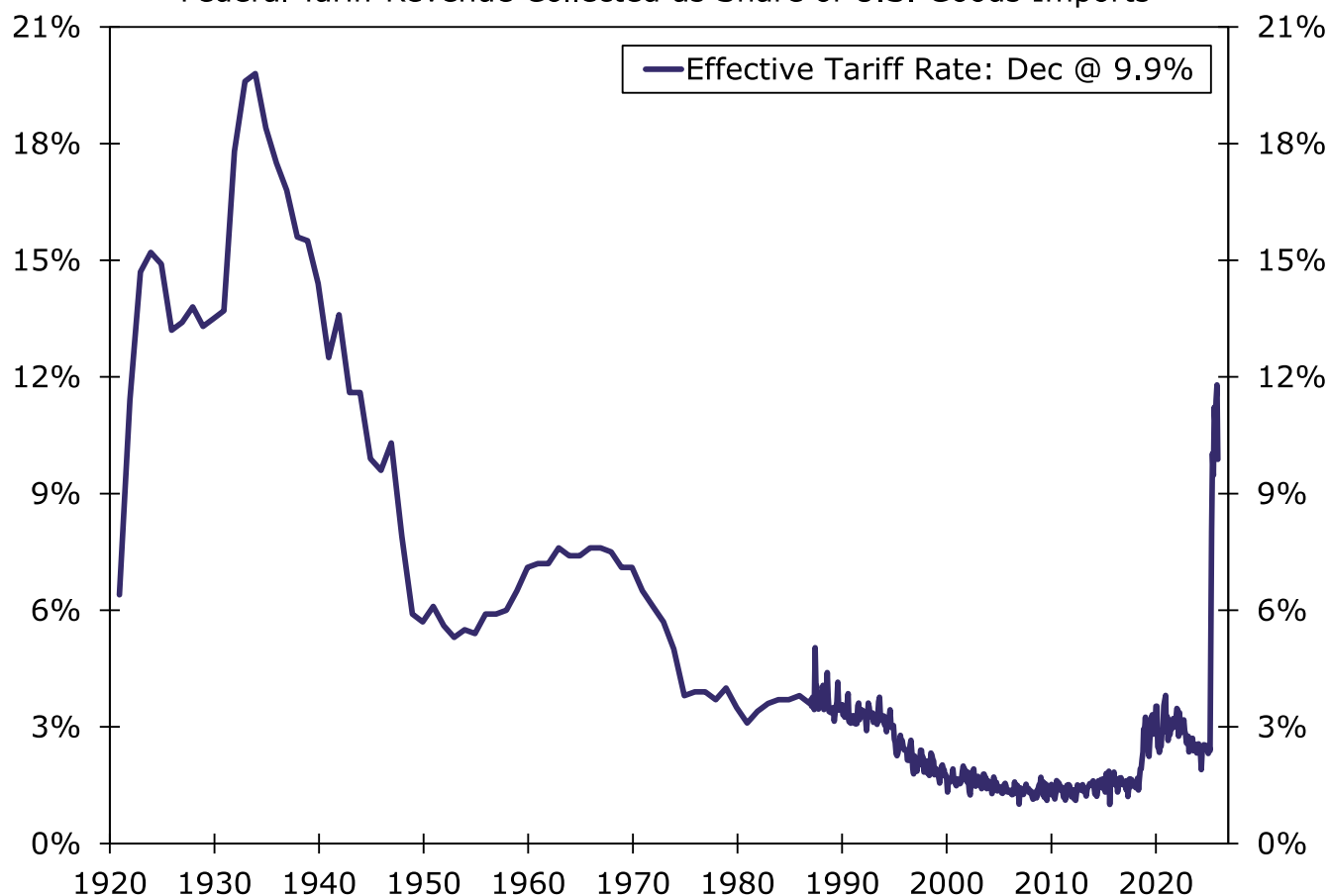
What Did Tariffs Do to Trade in 2025?

It's ultimately pretty clear that tariffs weighed on imports. Total goods imports finished 2025 nearly 5% below where they started the year, but imports finished the year even lower if you back out high-tech related demand, with the drop in imports being about two-times as large ([chart](#)). But we're not convinced this is the result of a permanent shift in supply chains, but rather cautious business practices preventing firms from bringing on too much product before they knew where tariffs would settle. There has been little indication yet of a large onshoring of manufacturing operations and leaner inventories suggest a need to replenish this year.

While it also remains to be seen how much more adjustment comes to tariffs, we don't expect the constant tinkering as we saw last year. The realized average effective tariff rate averaged 8% last year, more than three-times higher than 2024 ([chart](#)). It is still the case that the biggest near-term trade consideration is how the Supreme Court rules on the legality of the Trump administration's efforts to implement a large swath of tariffs under the International Emergency Economic Powers Act (IEEPA), a decision that can come as early as tomorrow morning.

U.S. Average Effective Tariff Rate

Federal Tariff Revenue Collected as Share of U.S. Goods Imports



Source: U.S. Department of Commerce, U.S. Department of the Treasury and Wells Fargo Economics

Despite the market fixation with the announcement, even if the court strikes down the tariffs, the administration has [other options to reimpose tariffs](#), likely keeping them largely in place near recent levels this year. Another consideration is the outcome of the mandatory joint review of the USMCA agreement this summer, which could lead to some adjustment on realized tariffs on imports from Canada and Mexico.

Trade Winds No Longer Set to Fill the Sails for Growth in Q4

Even after excluding non-monetary gold, today's data suggest some modest downside to our estimate for fourth quarter GDP growth, due tomorrow morning. We had a 0.7 percentage point boost from net exports penciled in, but the stronger than anticipated gain in import growth suggests a wider trade deficit than we previously expected. The monthly data are unusually cloudy at the moment due to the non-monetary gold effects, but we expect there is downside risk to our net exports boost, and thus overall GDP growth for Q4 based on this morning's data.

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Housing Starts Rise in December

Residential Construction Remains Weak Despite Year-End Gain

Economic Indicator

Economist(s)



[Jackie Benson](#)



[Ali Hajibeigi](#)

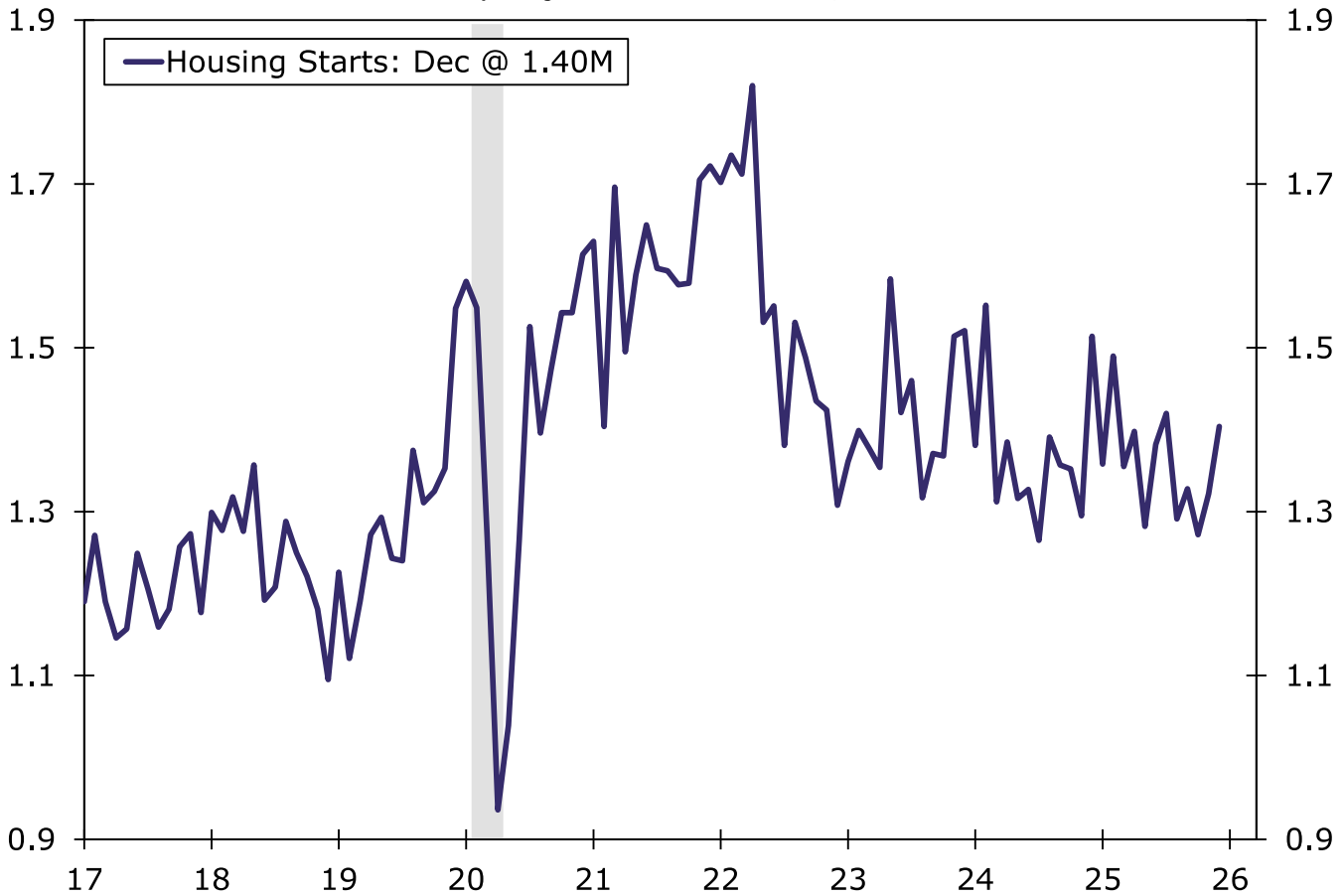
Summary

Headwinds Against Residential Construction Likely to Persist

- Housing starts posted modest improvements at the end of 2025, increasing for two consecutive months in both November (+3.9%) and December (+6.2%). This uptick was driven by gains in both single-family and multifamily groundbreakings.
- Despite this apparent increase in momentum, housing starts are essentially moving sideways through the monthly volatility, dipping 0.6% in 2025 as a whole when compared to the year prior.
- Single-family starts rose for the third consecutive month in December as lower mortgage rates prompted a stabilization in building permits. That said, mortgage rates have not declined much further, and we expect them to remain elevated above 6.0% over the next few years.
- Building permits are more instructive than starts when gauging the path of single-family development. Despite some improvement in the last few months of 2025, single-family permits remain weak overall, declining 7.4% annually in 2025 vs. 2024.
- Meanwhile, trends in multifamily construction may not be as strong as meets the eye. Census multifamily starts rose 11.3% in December, capping off a 17.4% annual increase in 2025. However, the trend in permits is softer, which rose a more modest 3.9% during that same time.
- CoStar data also point to a weaker pace of apartment construction, suggesting a 17.3% annual *decline* in multifamily starts from 2024 to 2025.
- Persistently bleak builder outlooks imply that single-family construction is unlikely to meaningfully accelerate in the near-term. After a reduction in mortgage rates bolstered builder confidence last fall, the NAHB Housing Market Index slipped for the second consecutive month in February to 36, driven by deteriorating buyer traffic and moderating sales expectations.
- NAHB poses a special set of questions once per year on the challenges facing single-family builders. High interest rates and the cost and availability of labor remained persistent headwinds at the start of 2026. Additionally, buyer concerns about the economy and labor market are reportedly hampering new home demand, as are buyer expectations' that mortgage rates will decline in the future.

Housing Starts

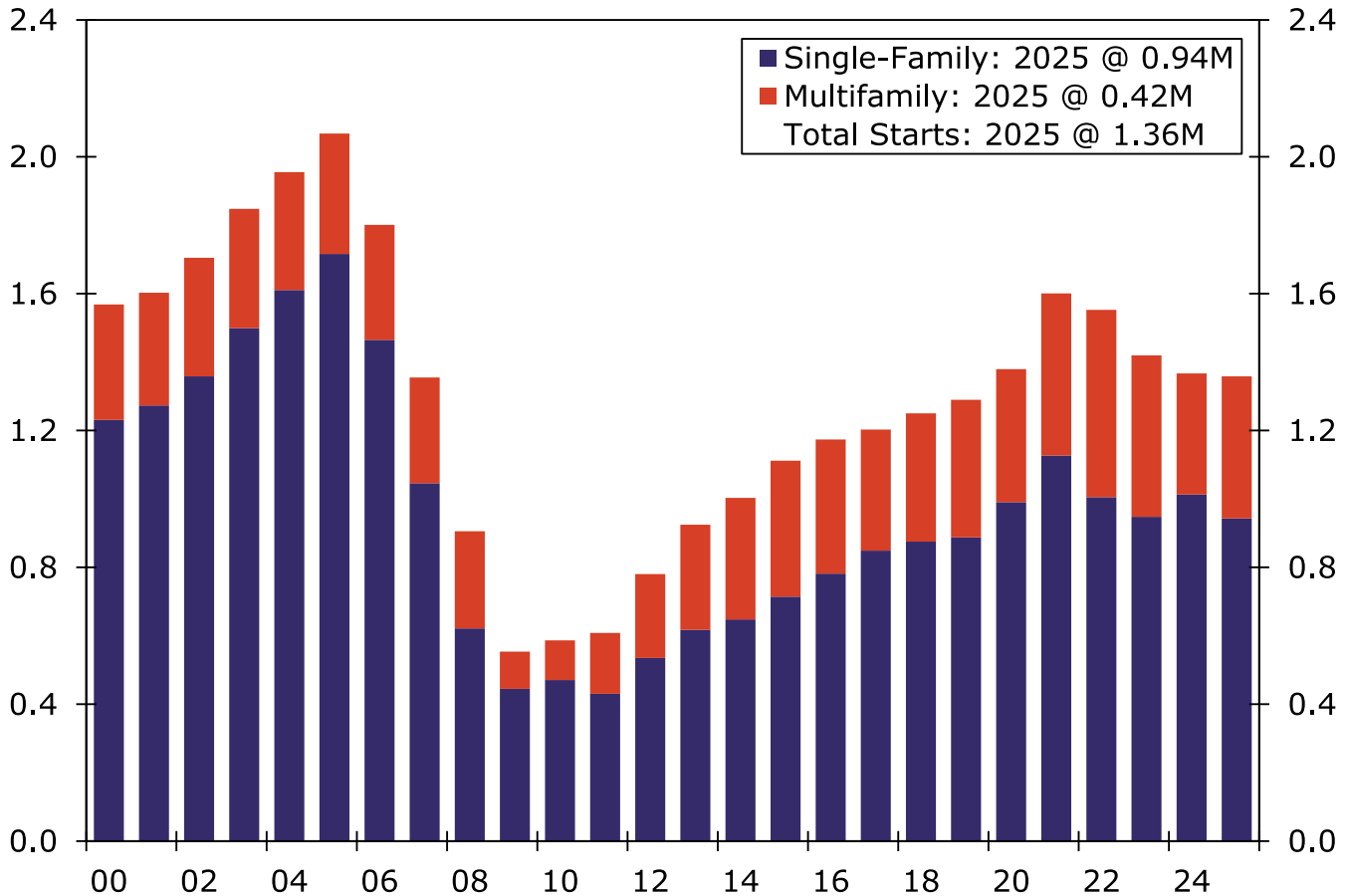
Seasonally Adjusted Annual Rate, In Millions



Source: U.S. Department of Commerce and Wells Fargo Economics

Annual Housing Starts

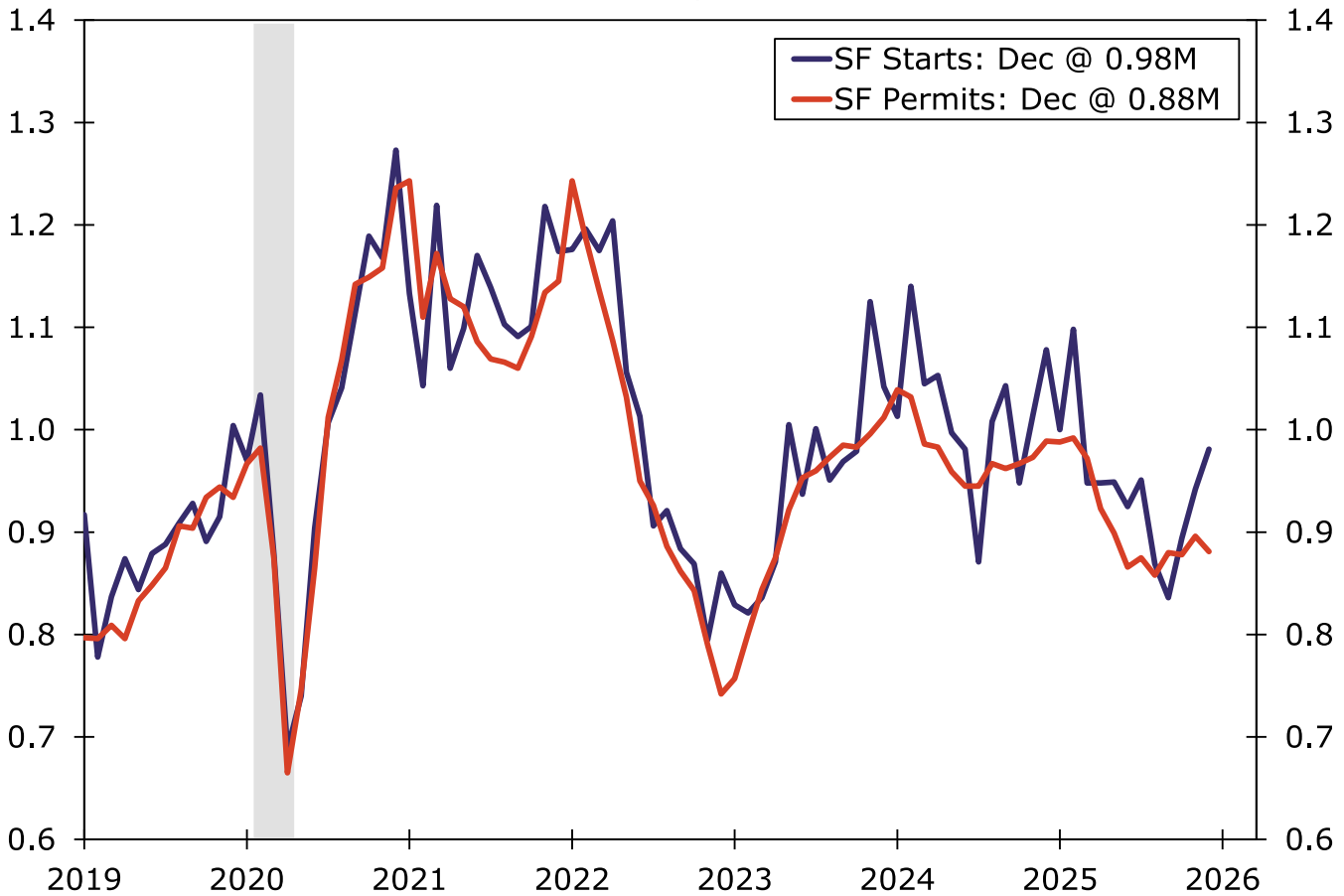
Millions



Source: U.S. Department of Commerce and Wells Fargo Economics

Single-Family Starts vs. Permits

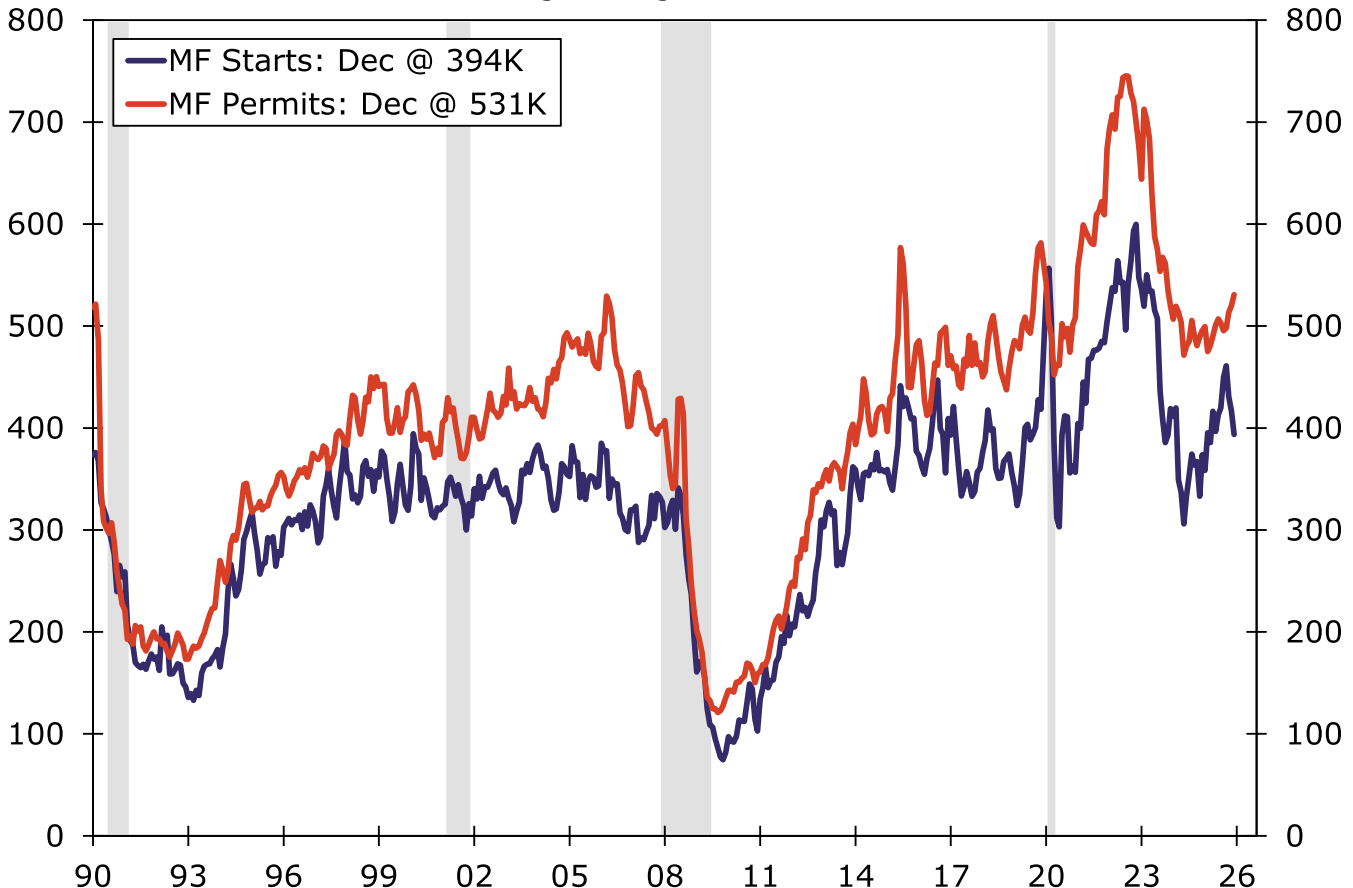
In Millions, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics

Multifamily Starts vs. Permits

3-Month Moving Average of a SAAR, Thousands



Source: U.S. Department of Commerce and Wells Fargo Economics

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Double Feature: Durable Goods Orders & Industrial Production

Economic Indicator

Economist(s)



[Shannon Grein](#)



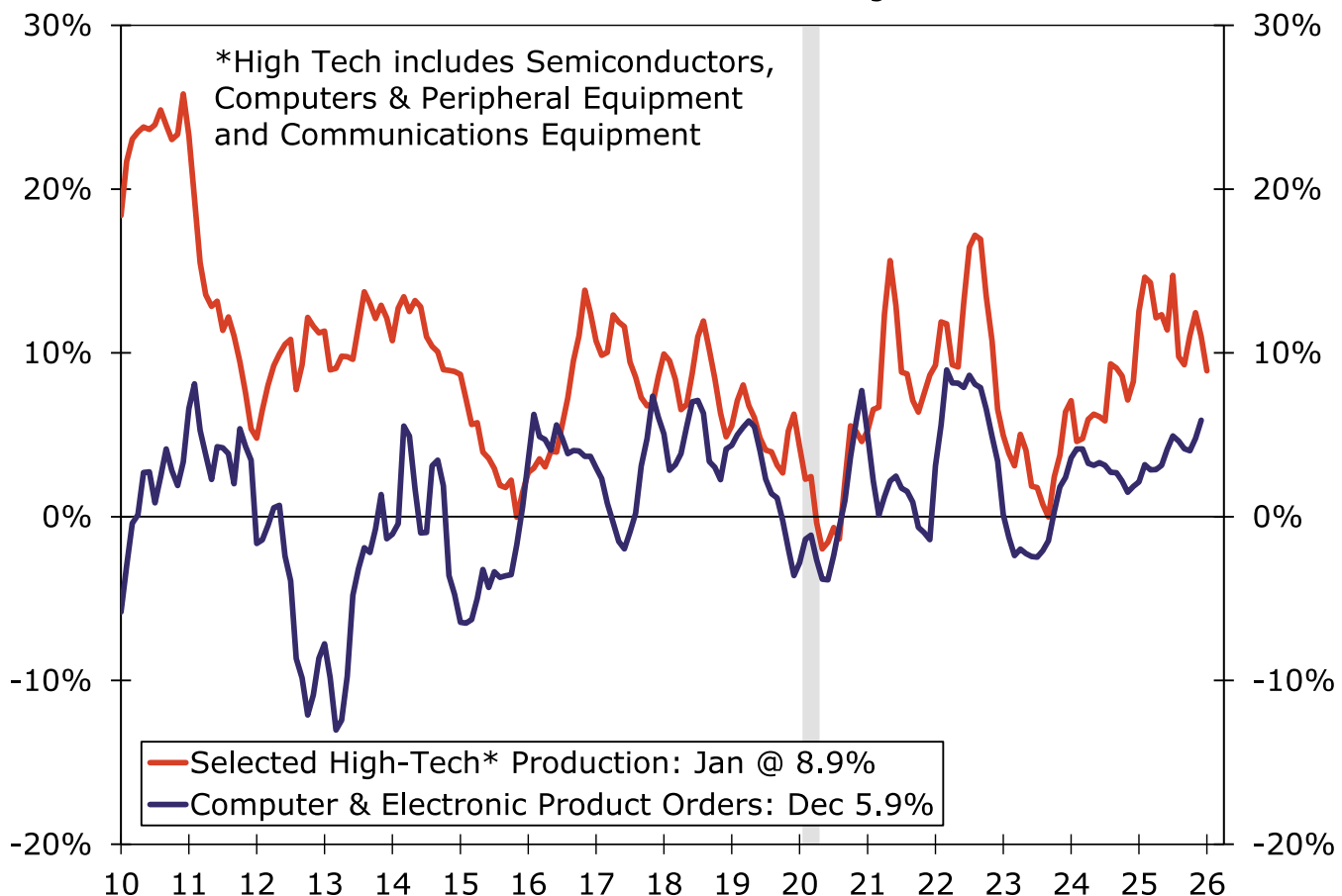
[Tim Quinlan](#)

Summary

- Business investment over the past year has looked resilient largely because spending has been heavily concentrated in AI and high-tech, masking weakness in other sectors. High-tech orders, production, and imports have surged, while non-tech focused capital goods and output have lagged or declined.
- Today's December durable goods orders and January industrial production data suggest this is changing.
- While the AI investment boom is expected to continue, recent data suggest early signs of a broader pickup, with traditional capex stabilizing and non-high-tech output improving. This is occurring amid supportive tax incentives and a growing willingness by firms to finance investment beyond AI.

High-Tech Investment: Orders vs. Production

Year-over-Year Percent Change



More Than Just Tech: Growth Signals Evident in Broader Range of Industries

What is often mistaken as broad resilience in business investment over the past year has actually been a heavy concentration of spending in the AI and broader high-tech build out. It is not so much a *rising tide that lifts all boats* as it is condensed activity in one sector that masks a struggle in industries not directly tied to the tech build-out. Today's data point to an encouraging growth pick-up outside of high-tech.

That dynamic is clearly visible in the durable goods data: orders for computers & related products rose 13.7% over the past year, running at nearly four times the pace of underlying core capital goods. The same concentration shows up on the production side. Domestic output of high-tech goods—including computers, communications equipment, and semiconductors—is up nearly 9% through January, while non-energy production excluding these components is up just 2.2%. Even trade flows tell the same story where growth in U.S. imports last year was largely driven by high-tech equipment, with non-tech import categories losing momentum.

We don't see the AI-driven investment cycle fading anytime soon, and capital flows into that space are likely to continue. This morning's data show there are early signs that more traditional areas of capex are beginning to firm as well. Core capital goods orders are stabilizing and output excluding high-tech is starting to improve. Recent tax incentives in the One Big Beautiful Bill Act are supportive of broader investment, and the early-year pickup in commercial and industrial lending suggests firms are becoming incrementally more willing to finance capex beyond AI.

Durable Goods: Handily Exceeding Low Expectations

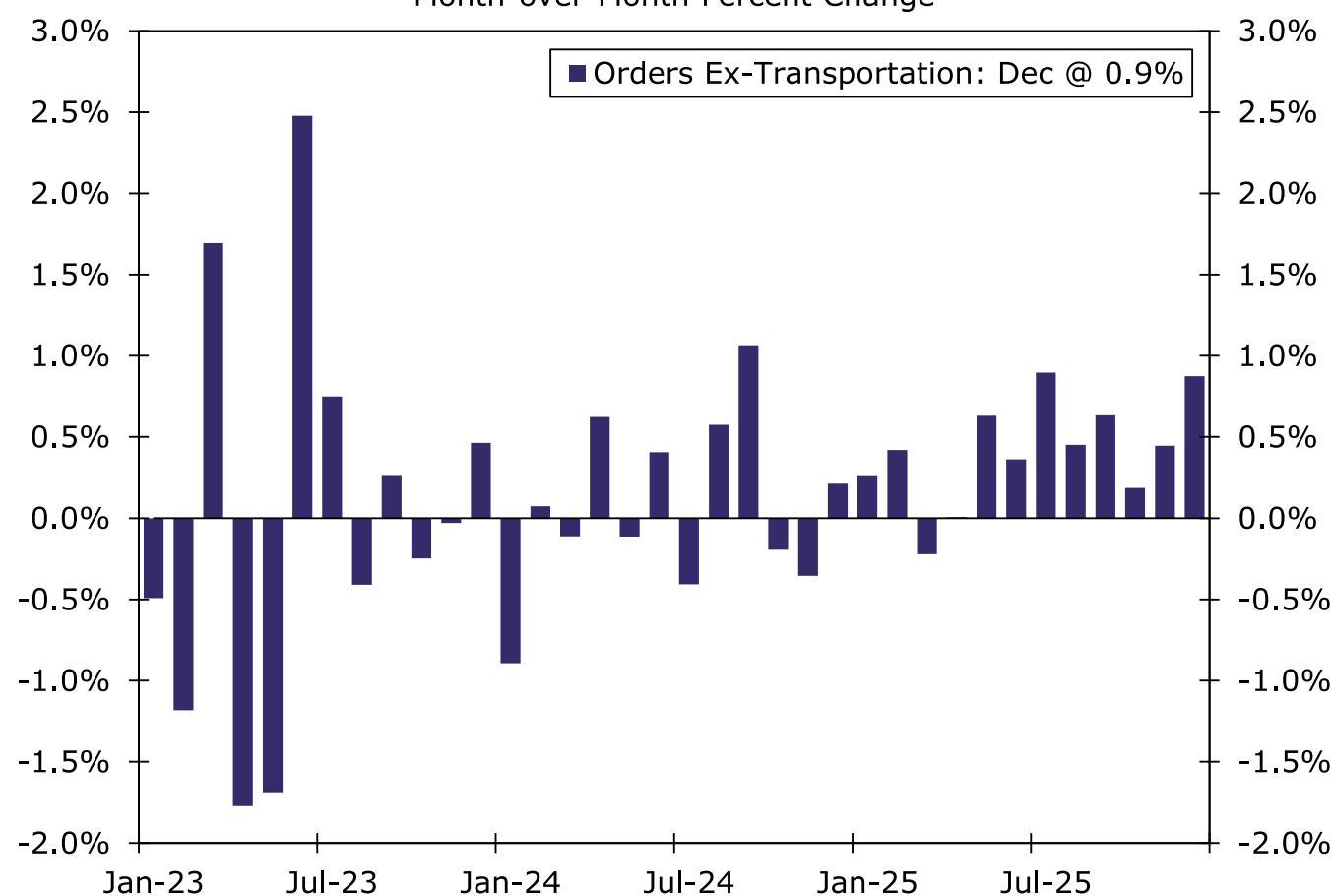
Get past the slip in aircraft orders and what emerges from the details of the December durable goods report are modest increases in orders across most durable goods categories. Since expectations were so tepid, even these modest gains exceeded expectations.

As is often the case with the durable goods report, a headline reading often misses the important developments. December was no exception with overall orders for long-lived capital goods down 1.4%, and, after excluding defense spending, orders fell 2.5%. But most of the "weakness" was in civilian aircraft orders which fell 25% in December, but that follows a near doubling (+98%) in non-defense aircraft orders in November, so the giveback here in December is not terribly disconcerting. In fact, civilian aircraft orders are up 69% over the past year, more than any other major category of durable goods orders.

The other main transports category, motor vehicles and parts, notched a 1.2% increase in orders in December after back-to-back declines in the two preceding months. Once you start to exclude these notoriously jumpy categories, a brighter picture emerges. Orders excluding transportation have firmed in recent months and rose 0.9% in January which was three-times the consensus expectation.

Durable Goods New Orders, Ex Transport

Month-over-Month Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

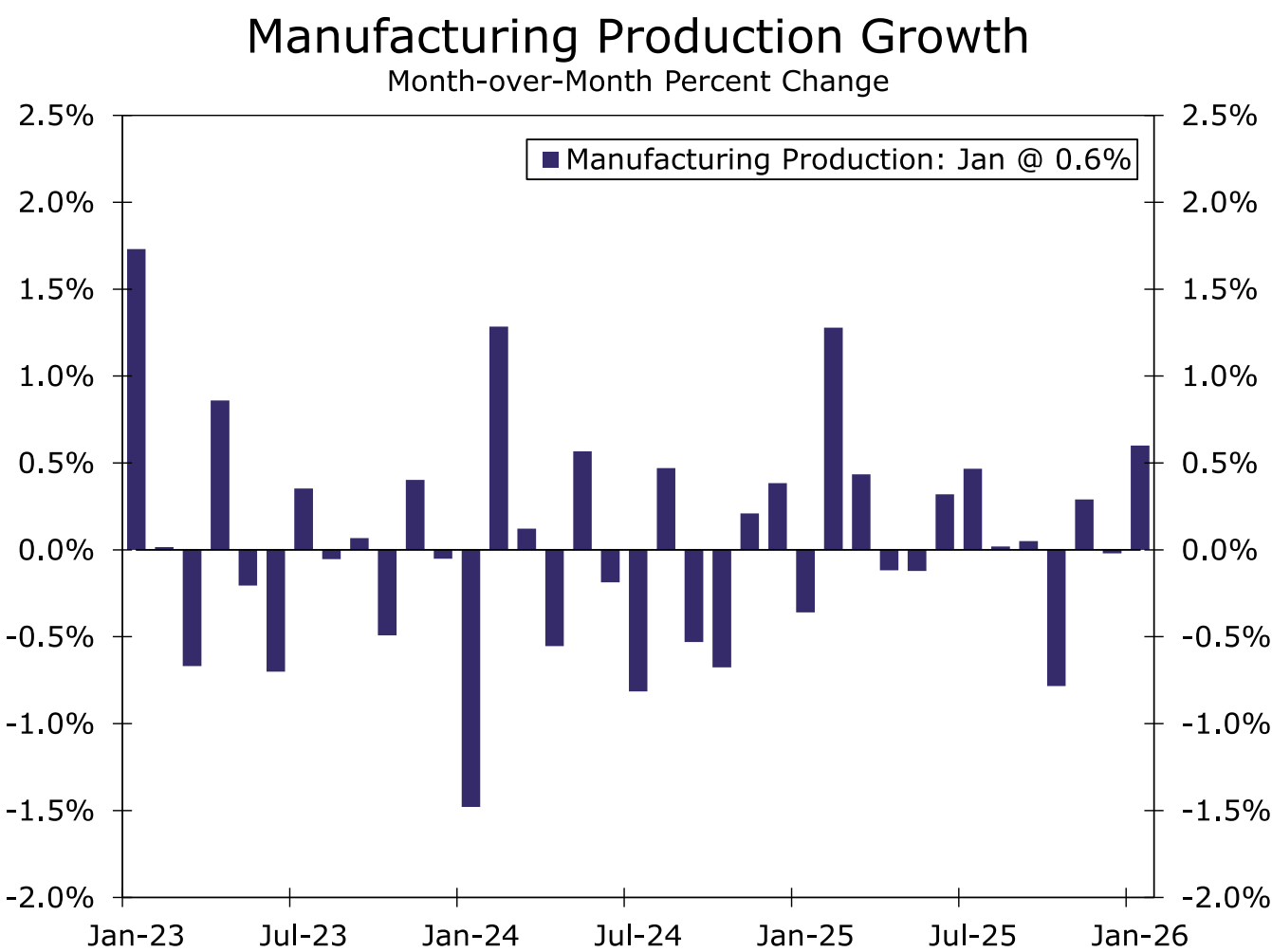
Orders for core capital goods (nondefense ex. air) looked better too, up 0.6% in December (twice the 0.3% expectation), and that better-than-expected reading came on the heels of an upward revision. Shipments of core capital goods rose 0.9% which also handily exceeded expectations, but remains consistent with our expectation for real equipment investment to rise at a near 4% annualized clip in Q4 when data print Friday.

Industrial Production: Stronger Beyond High-Tech

Industrial production picked up at the start of the year, rising 0.7% in January, though downward revisions to year-end take some of the shine off the data. Output was supported by firmer utilities output, but most of the strength stems from a sizable pickup in manufacturing output. Total manufacturing production rose 0.6% in January, posting the strongest monthly gain in nearly a year, and activity looks fairly broad based under the headline. Durable goods production was responsible for most of the strength (+0.8%) with all but the aerospace industry posting a rise in output. Nondurables industries were more mixed (+0.4%), with four of eight industries seeing output fall and a rebound in chemical output and some others offsetting declines.

You do not need to do a deep dive to find the theme of a tech-concentration in the industrial production data. Just look at the index levels. The Federal Reserve sets them all equal to 100 in 2017. The manufacturing index in January came in at 97.5 meaning manufacturing output, in volume terms, is 2.5% smaller than it was almost a decade ago. Yet the category "selected high-technology industries" came in at 184.7 the same month. This grouping includes output of computers, communications equipment, semiconductors and related electronic components.

While high-tech continues to outpace non-tech focused output, we see signs of recovery. Excluding high-tech, manufacturing output rose 0.6% in January, marking the fastest monthly increase in nearly a year with this measure of production matching its highest index reading of the past two and a half years.



Source: Federal Reserve Board and Wells Fargo Economics

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January CPI: An Encouraging Start to the Year

Economic Indicator

Economist(s)



[Tom Porcelli](#)



[Sarah House](#)



[Michael Pugliese](#)



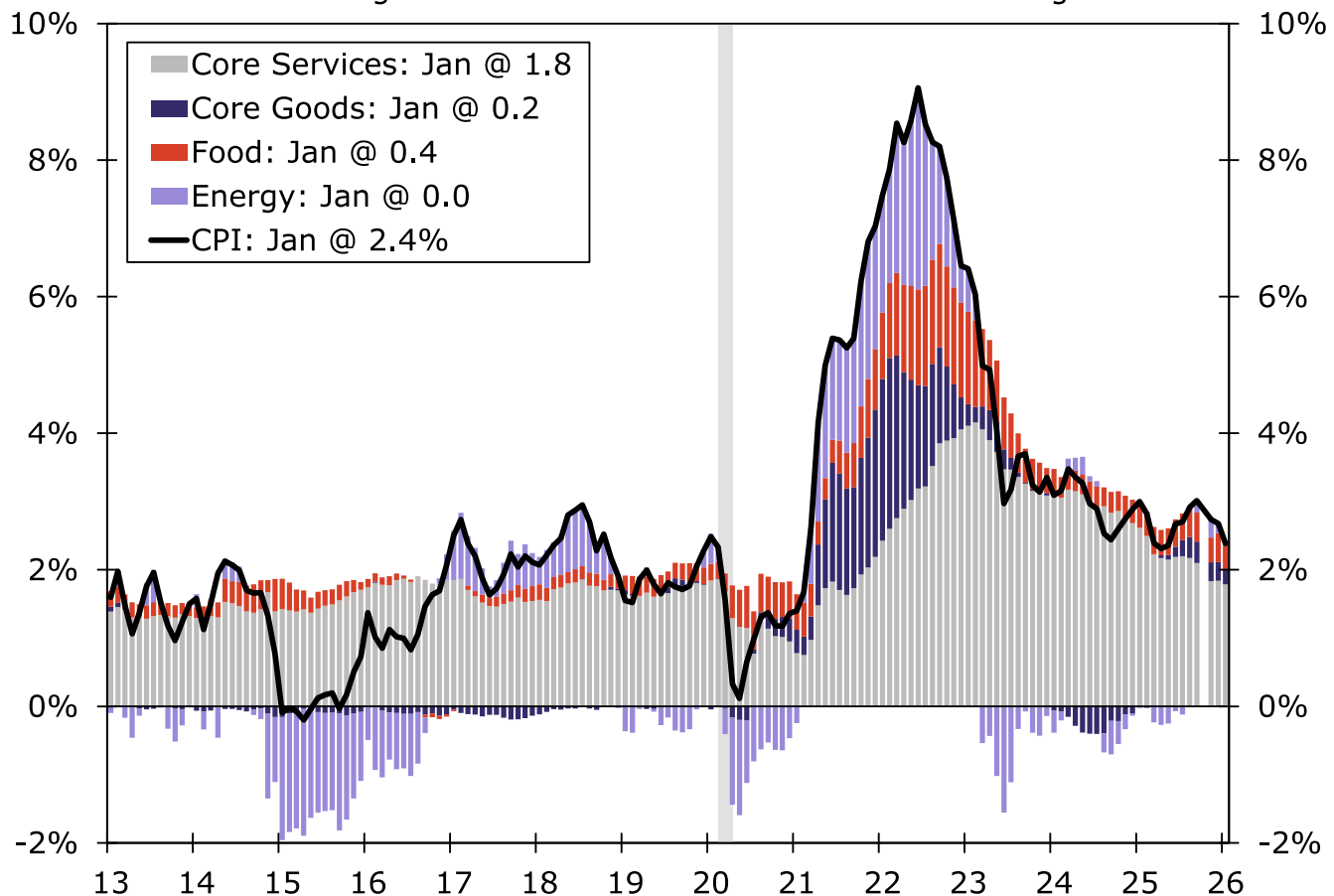
[Nicole Cervi](#)

Summary

The January CPI report came in slightly cooler than expectations. Core CPI rose 0.30% amid a big jump in airfares that was offset by softer-than-expected readings for used cars and primary shelter. Headline and core CPI inflation on a year-ago basis slipped to 2.4% and 2.5%, respectively, with the latter posting its lowest reading since March 2021. The implications for the PCE deflator were generally favorable, and we project a 0.26% increase in the core PCE deflator in January. Note that we still do not have the December data for the PCE deflator nor the January PPI data, so the error bands around these estimates are wider than usual. For the Fed, a March rate cut looks highly unlikely, but the continued gradual pace of disinflation should keep prospects for additional rate cuts alive for later in the year.

U.S. Consumer Price Index

Percentage Point Contribution to Year-over-Year Change



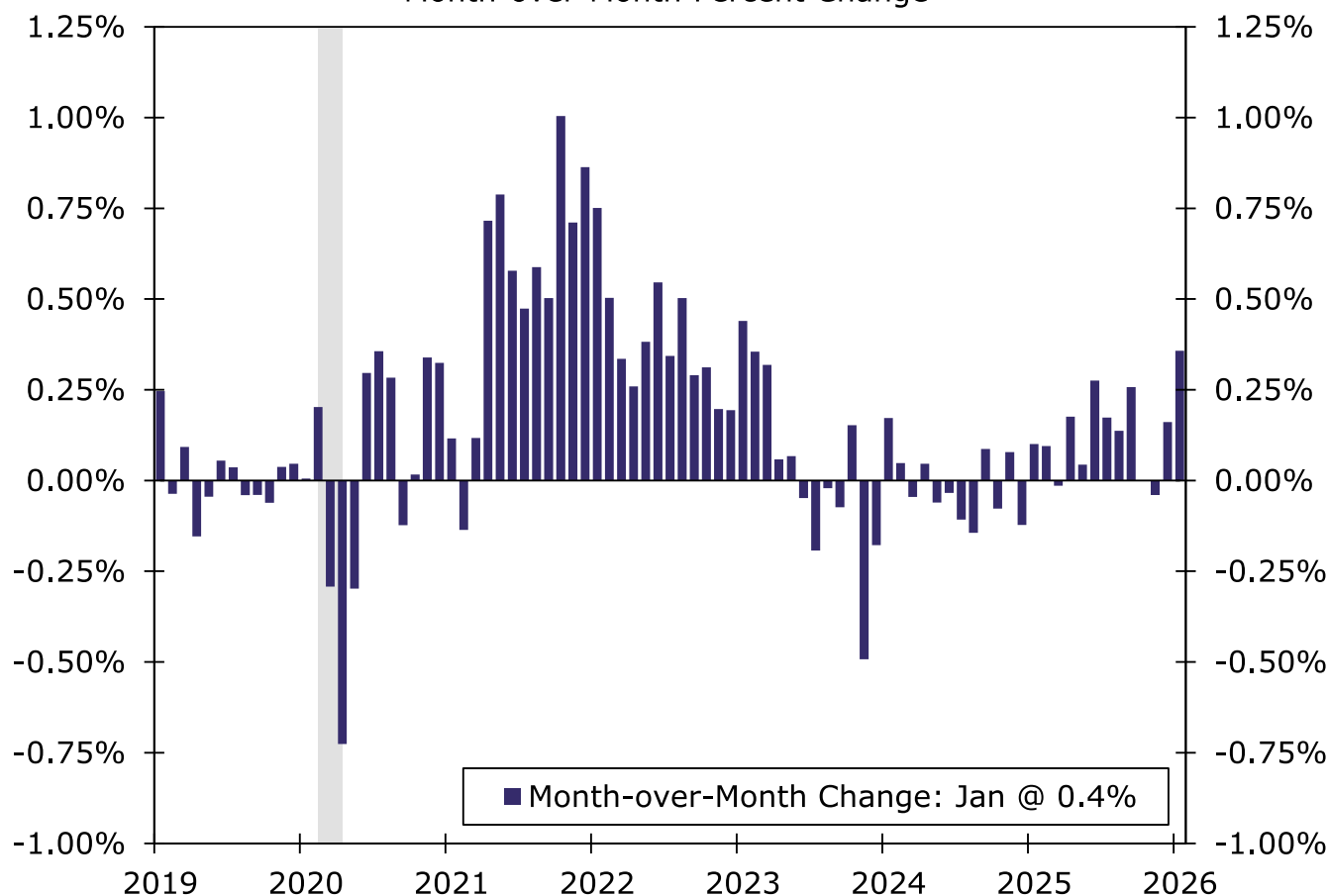
Source: U.S. Department of Labor and Wells Fargo Economics

A More Gentle Start to the Year

The Consumer Price Index came in a touch softer than expected in January, rising 0.2% (0.17% unrounded) over the month and 2.4% over the past year. A big drop in gasoline prices (-3.2%) helped to restrain headline inflation, while energy services rose 0.2%, a smaller increase than we had penciled in. Electricity prices were tame for the second month in a row, although they are still up 6.3% year-over-year, reflecting the continued demand growth in this sector. Utility gas prices were a much stronger 1.0% month-over-month and 9.8% year-over-year.

Core Goods Excluding Used Autos

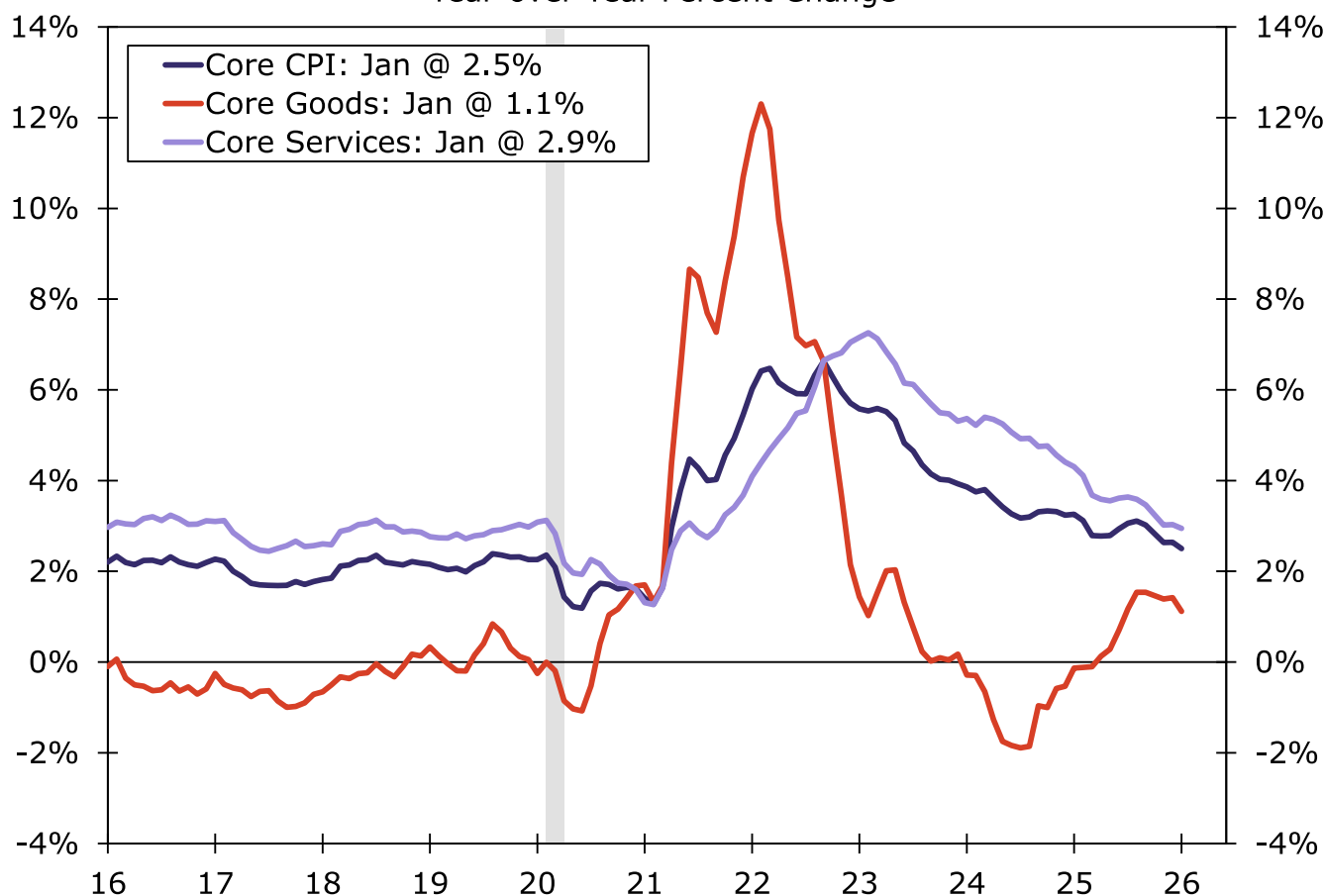
Month-over-Month Percent Change



Source: U.S. Department of Labor and Wells Fargo Economics

Core Goods vs. Services CPI

Year-over-Year Percent Change



Source: U.S. Department of Labor and Wells Fargo Economics

Excluding food and energy, core CPI rose 0.3% in January and was up 2.5% year-over-year, essentially in line with expectations. Core goods prices were roughly unchanged in the month, but this was largely attributable to a 1.8% decline in the volatile used auto category. Ex-used autos, core goods rose 0.36% in January, the strongest reading since February 2023 and a potential sign that tariff-induced inflation is still lingering in the data. One note of caution on the core goods front: the biggest beat came in the "other goods" category, specifically the "tobacco products other than cigarettes" component. Given the size of the move and that taxes can be a swing factor in tobacco products, this probably is not repeatable going forward.

Core services inflation was 0.4%, stronger than the 0.3% we anticipated, but here we found the details more encouraging despite the beat. Airfares rose 6.5% in the month, a sharp move particularly on the heels of the 3.8% gain seen in December. Like used autos, we doubt this will be repeated in the coming months. The disinflation in primary shelter seems to be continuing nicely, with rents and owners' equivalent rents both rising 0.2%.

On balance, we found today's report to be encouraging. Yes, a 0.30% monthly increase in core CPI is an annual run rate well north of the Fed's 2% inflation target, so victory over inflation is not yet upon us. That said, there are reasons to be optimistic about the outlook. The disinflation in primary shelter is continuing along, and there are few signs of an acceleration in the private sector rent measures that serve as forward-looking indicators. Tariff-induced price hikes probably have not fully worked their way through the data, but we are closer to the end than the beginning of this source of higher prices. Labor cost pressures appear muted based on this week's [Employment Cost Index](#), and this bodes well for the underlying run rate in core services inflation. For the Fed, a March rate cut looks highly unlikely, but the continued gradual pace of disinflation should keep prospects for additional rate cuts alive for later in the year.

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Existing Home Sales Fall Back in January

Poor Weather Weighs on Resales to Start the Year

Economic Indicator

Economist(s)



[Charlie Dougherty](#)



[Ali Hajibeigi](#)

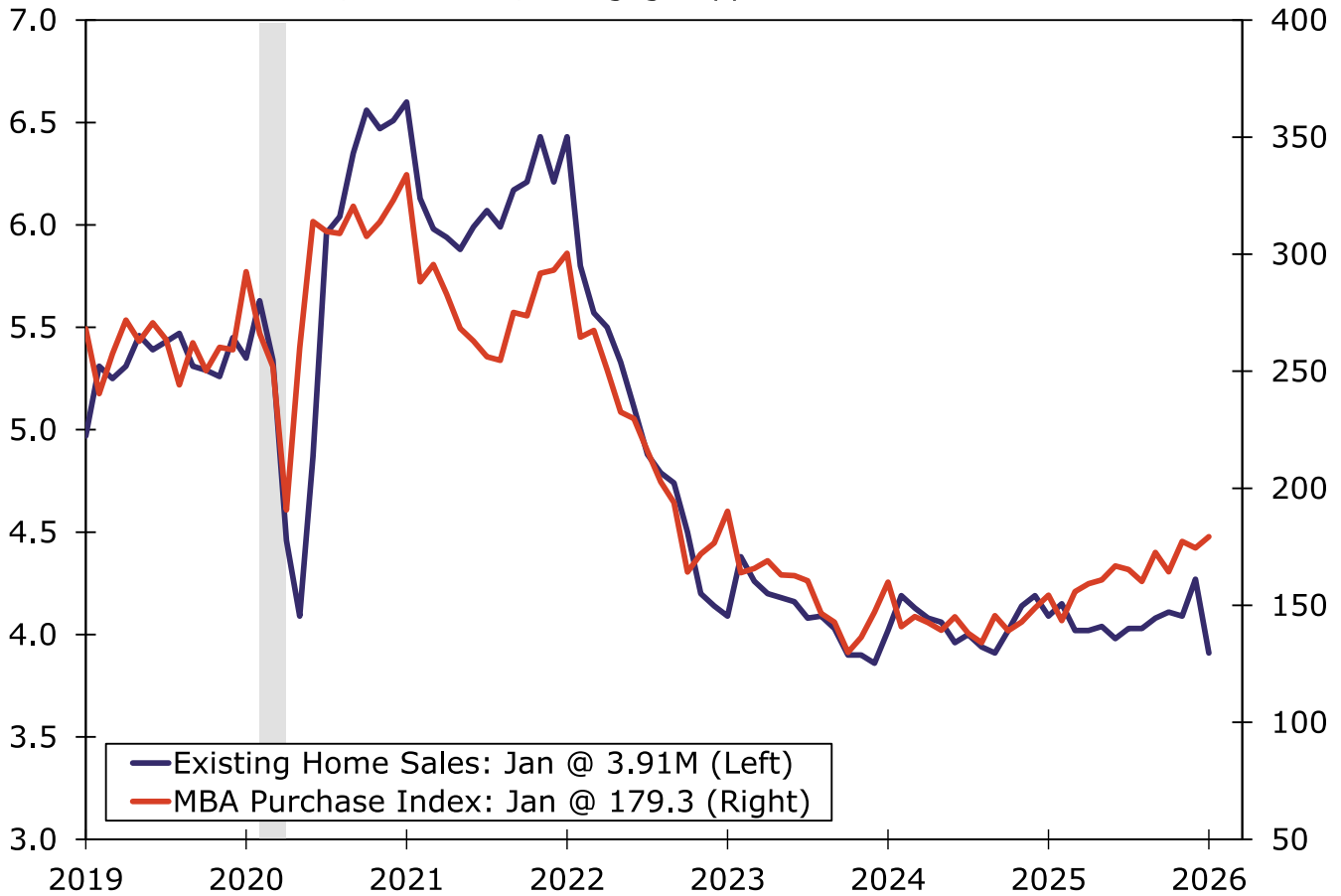
Summary

Affordability Still a Significant Constraint Despite Recent Improvements

- Existing home sales fell 8.4% to 3.91 million unit pace in January. The monthly drop in part looks owed to poor weather across much of the nation which likely discouraged activity.
- Beyond the monthly volatility, the trend in home sales looks to be gradually improving. [Mortgage purchase applications](#) continue to slowly glide higher, suggesting a recovery from January's drop over the coming months.
- The recent uptrend in resales has been driven primarily by lower mortgage rates. Average 30-year mortgage rates have declined to 6.1% as of the first week of February from roughly 7% at the start of 2025. However, rates have essentially moved sideways so far in 2026. We do not [expect mortgage rates](#) to fall much further and expect a range between 6.10%-6.20% to prevail over the next several years.
- Still, the roughly 80 bps reduction in financing costs has helped improve affordability conditions around the margins.
- Easing home price appreciation is another support. [Median prices](#) were up just 0.9% in January, much more modest than in recent years.
- Low supply is still keeping home price appreciation in positive territory, however. [Unsold inventory](#) was 1.22 million in January, down 0.8% over the month. Inventory is up 3.4% over the past year, but availability no longer appears to be increasing rapidly and is still far below pre-pandemic averages, implying moderate home price appreciation ahead.
- All told, we continue to anticipate resales to post only modest growth (off a very low level) over the next few months as slightly lower mortgage rates, easing home price appreciation and slightly better income growth improve affordability around the margins. A meaningful improvement in affordability (and return to a strong run-rate on sales) still looks far off in the distance.

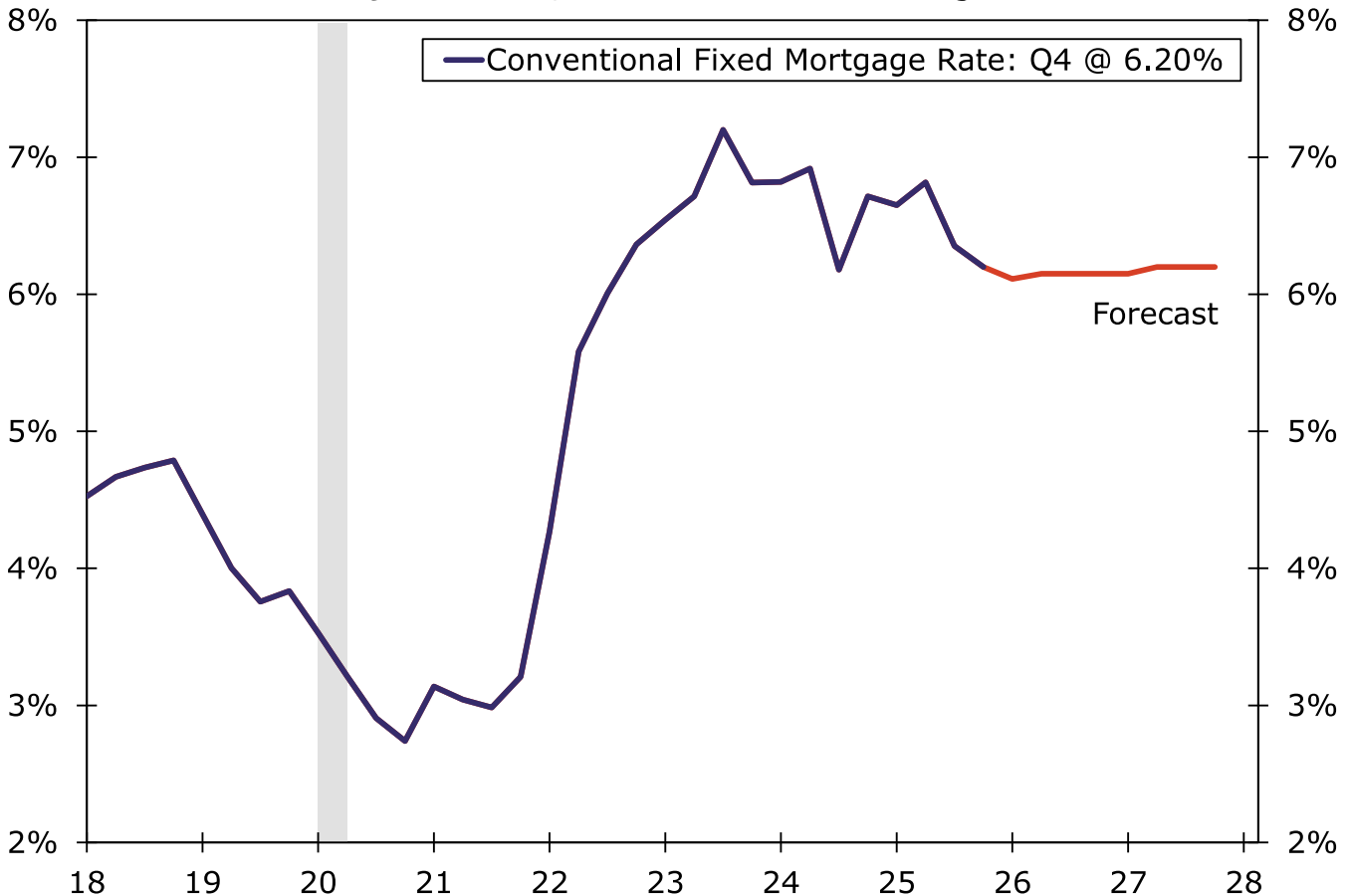
Existing Home Sales

SAAR, In Millions; Mortgage Applications for Purchase



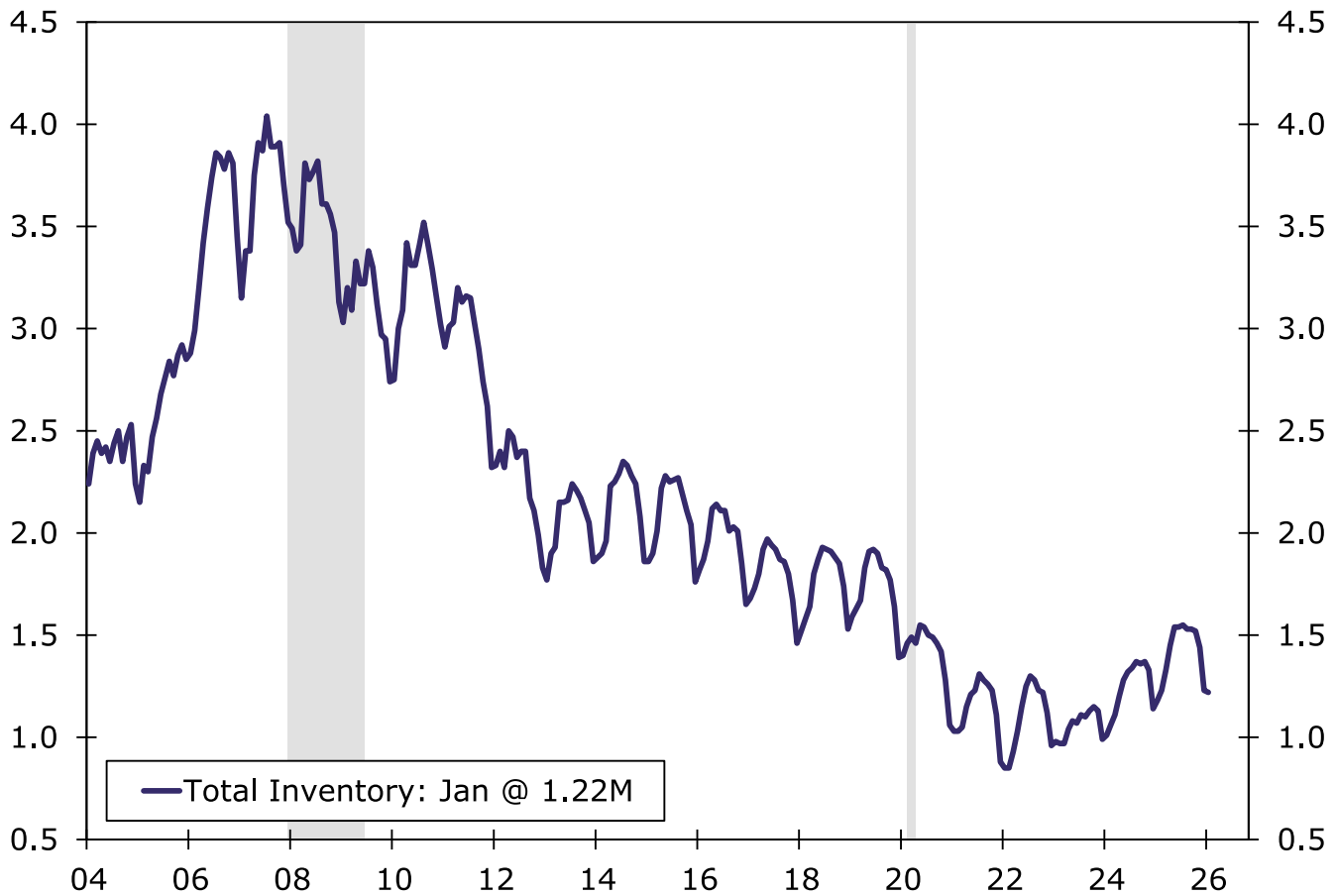
Mortgage Rate Forecast

Quarter-End , 30-Year Fixed Rate Average



Existing Home Sales: Total Inventory

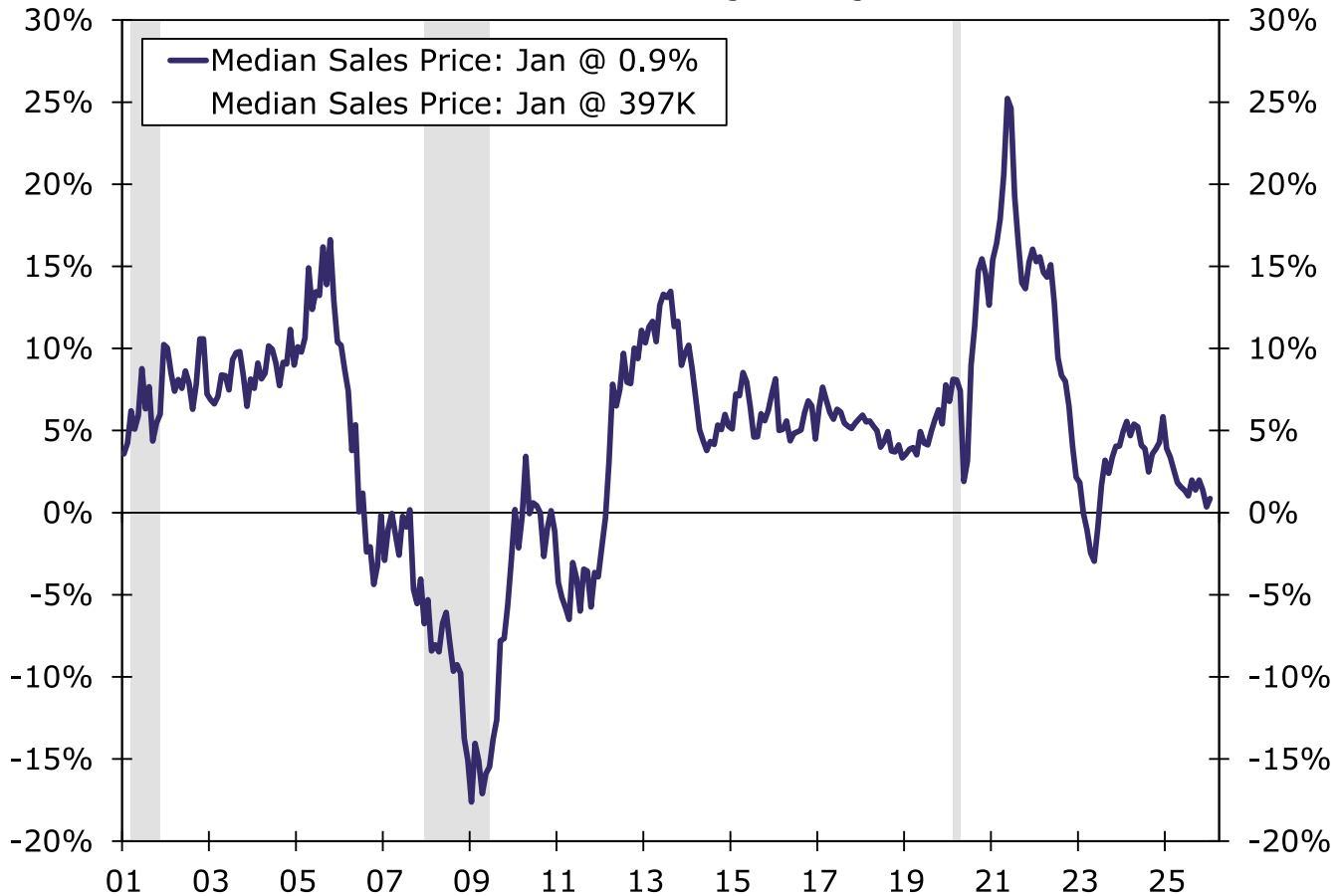
In Millions



Source: NAR and Wells Fargo Economics

Median Existing Home Price

Year-over-Year Percentage Change, NSA



Source: NAR and Wells Fargo Economics

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January Employment: Strong Start Out of the Gate

Economic Indicator

Economist(s)

 [Tom Porcelli](#)

 [Sarah House](#)

 [Michael Pugliese](#)

 [Nicole Cervi](#)

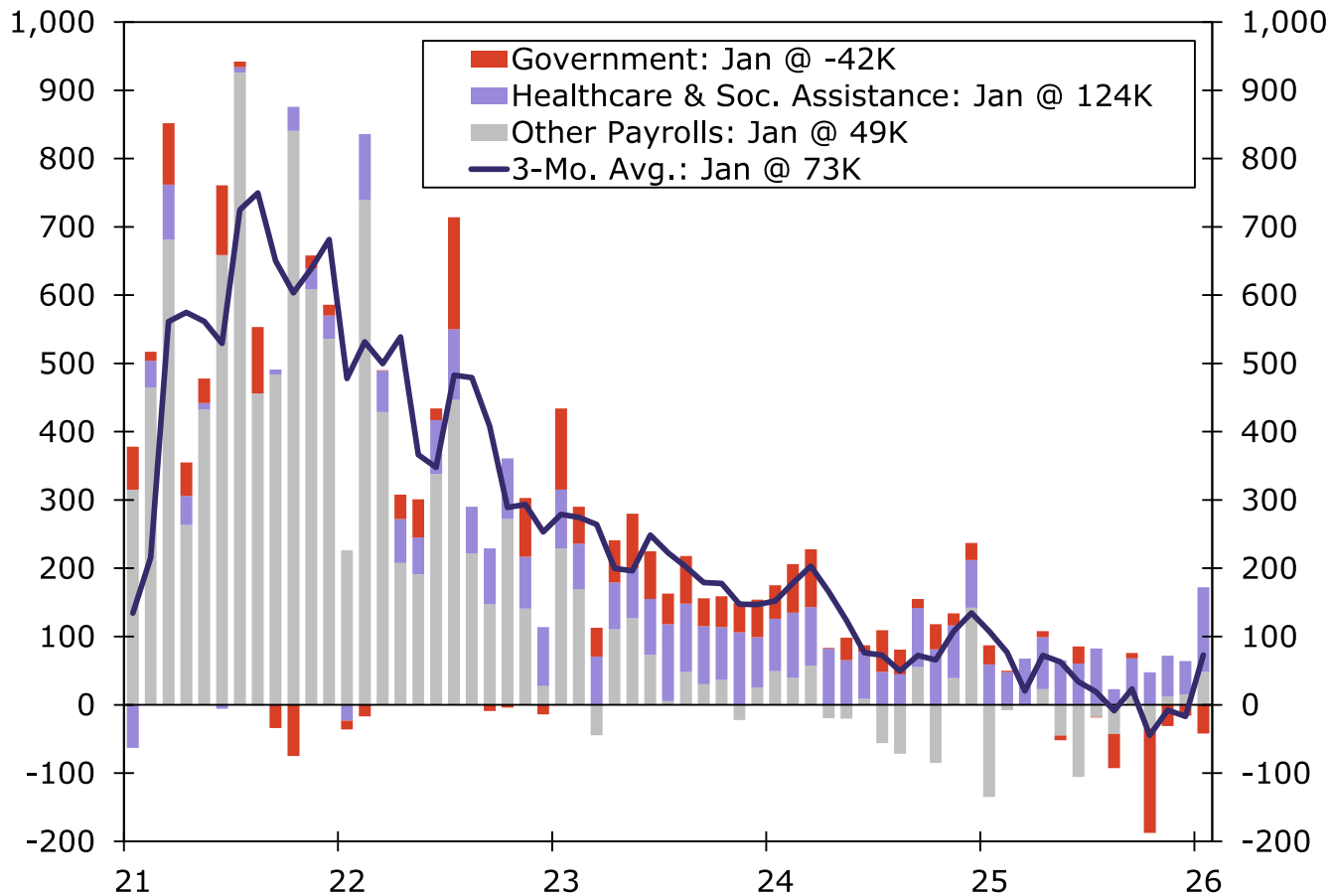
Summary

The employment report for January was broadly encouraging. Nonfarm payrolls doubled the Bloomberg consensus forecast of 65K for January, helping to push the three-month average pace of job growth to 73K, its strongest pace since last February. The unemployment rate fell by one-tenth to 4.3%, putting back to where it was in August 2025 before the FOMC cut rates at its three subsequent meetings. Revisions to job growth over 2024 and early 2025 were sharply negative, but these changes were well-telegraphed in the previously released QCEW data. The more recent pace of job growth was less impacted by the slew of revisions in today's report.

The U.S. labor market is far from perfect, with hiring still concentrated in a handful of industries, certain demographics enduring elevated unemployment rates and cyclical demand for new labor still tepid. That said, it appears the labor market is closer to stabilization than rapid deterioration, and this will embolden the hawks on the FOMC to push for no changes to the fed funds rate for the foreseeable future. We have been saying for some time now that the window for the FOMC to cut rates is closing, and today's data suggest another rate cut under Chair Powell is increasingly unlikely. If cuts are coming this year, it appears that it will be up to a future Chair Warsh to win over the hawks on the Committee and deliver before year-end.

Monthly Change in Nonfarm Payrolls

Thousands



Source: U.S. Department of Labor and Wells Fargo Economics

Recent Trend in Hiring Improves

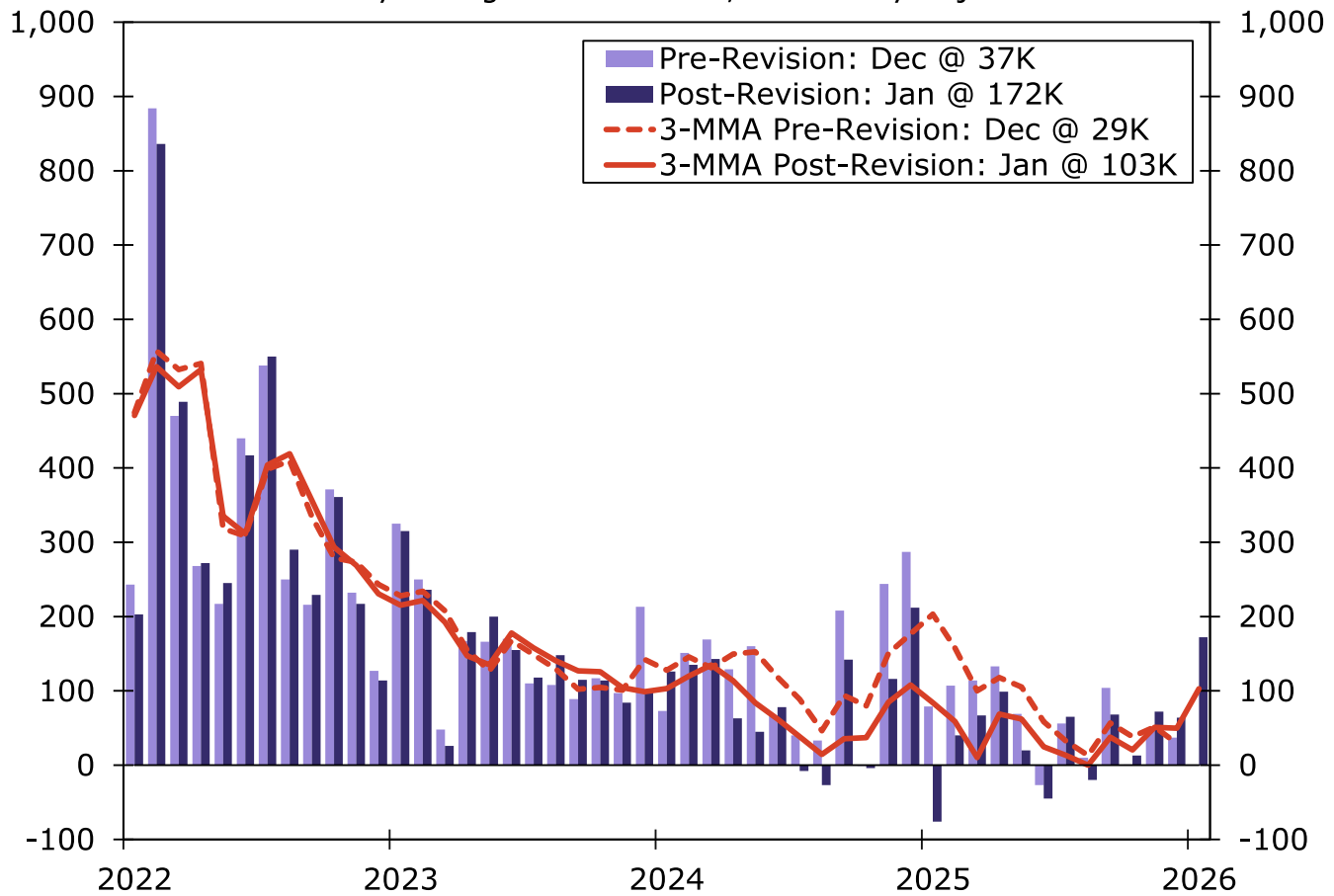
Nonfarm payrolls rose 130K in January, far exceeding the Bloomberg consensus expectation of 65K and our estimate of 80K. Data over the prior two months were revised modestly lower (-17K). Together, the three-month average pace of job growth improved to 73K, its strongest pace since last February.

Today's release brought more than the usual two-month revisions that come from late survey responses. The annual benchmark revised down the level of payrolls in March 2025 by 862K (-0.5%) marking the largest downward adjustment since 2009. Data for the "post benchmark" period (i.e., April 2025-December 2025) were also subject to revisions with the update of new seasonal adjustment factors and modifications to the birth-death model. While smaller in magnitude than the annual benchmark, payroll growth in the post-benchmark period is now reported to have increased an average of 13K per month compared to 28K as previously reported.

While revisions show materially weaker job growth for 2025 as a whole, recent monthly data suggest the trend in hiring has firmed since the summer. Private sector nonfarm payrolls jumped 172K in January, and the three-month average, at 103K, is well ahead of the flat reading registered in last August ([chart](#)). Yet, healthcare & social services remains the dominant driver of job growth, having added 124K jobs—the largest monthly change since August 2020. Job growth in other segments continue to struggle, highlighting that job opportunities are not nearly as widespread as today's headline beat implies ([chart](#)).

U.S. Private Employment Change

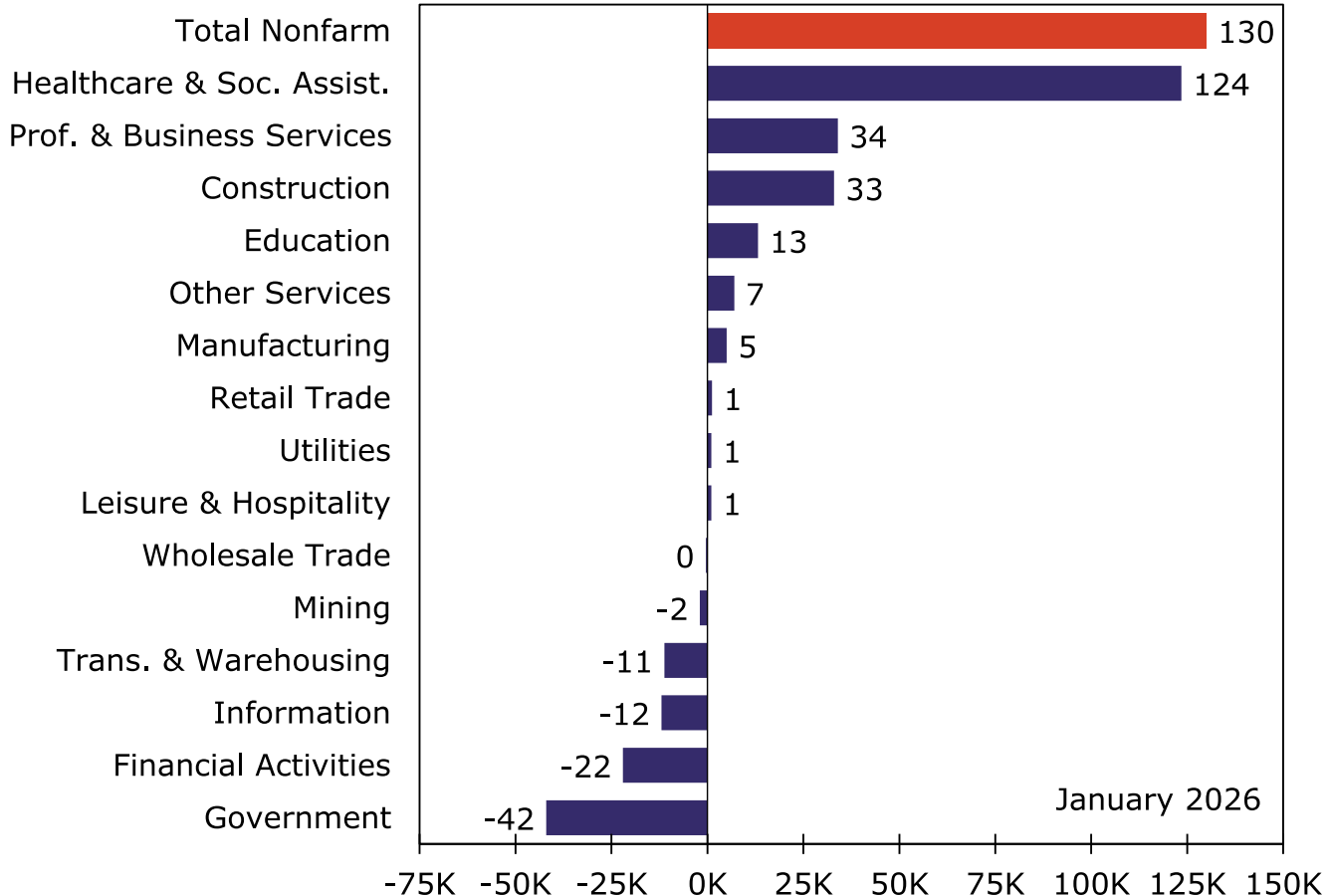
Monthly Change in Thousands, Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

Nonfarm Employment Change by Industry

Monthly Change in Employment, In Thousands



Source: U.S. Department of Labor and Wells Fargo Economics

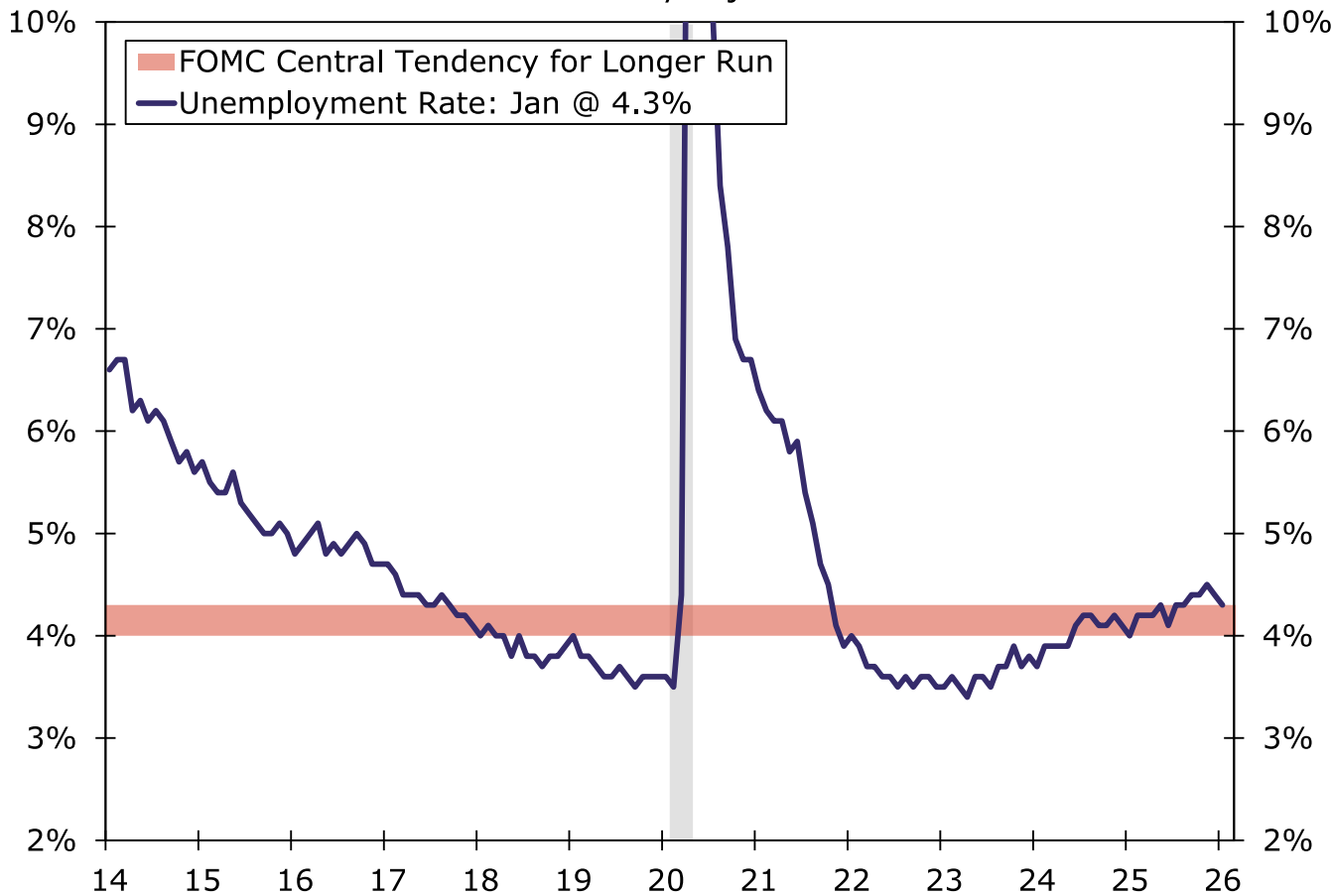
The household survey mirrored the payroll survey's strength. The unemployment rate fell to 4.3% (4.28% unrounded) in January, as employment rose a solid 528K and unemployment fell 141K. The unemployment rate's slide over the past few months puts it back at the top end of the range that most Fed officials consider to be consistent with "full employment" and signals that labor demand and supply are better balanced than previously believed ([chart](#)).

Like payrolls, however, there are signs of softness under the headline's surface. Smoothing with a three-month moving average, the number of people who are working part-time for economic reasons (i.e., a suitable full-time job is not available) rose 19% year-over-year in January. Meantime, the average duration of unemployment slipped to 23.9 weeks in January but remains 9% longer than a year ago ([chart](#)). These indicators align with separate measures of labor demand, such as JOLTS and the Conference Board's labor differential, that point to sluggish labor demand and suggest there are still pockets of the jobs market that are struggling.

Wage growth remains reasonably solid. Average hourly earnings rose 0.4% in January and were up 3.7% year-over-year, unchanged from December. Steady wage growth is a positive for employed households, but the benchmark's downward revisions to the level of employment meaningfully pared aggregate labor income growth in the first half of 2025 and better aligns the establishment survey with the more comprehensive data on personal income.

U.S. Unemployment Rate

Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

Average Duration Unemployment

Weeks Unemployed



Source: U.S. Department of Labor and Wells Fargo Economics

Today's report was a win for the hawkish members of the FOMC who wish to keep the fed funds rate steady for the foreseeable future. At 4.3%, the unemployment rate is just one-tenth above the median longer-run estimate among Committee members, and the three-month average growth in private sector nonfarm payrolls is a solid 103K. This is not to say the labor market is problem free. Hiring remains heavily concentrated in a few sectors, such as health care and social assistance, certain demographic groups such as younger workers are still dealing with labor market slack, and, as always, the Committee will be wary of putting too much stock on one month's reading in the unemployment rate.

That said, today's data suggest the labor market is closer to stabilization than rapid deterioration, and that will diminish the case from the doves that more rate cuts are needed, at least imminently. We have been saying for some time now that the window for the FOMC to cut rates is closing, and today's data suggest another rate cut under Chair Powell is increasingly unlikely. If cuts are coming this year, it appears that it will be up to a future Chair Warsh to win over the hawks on the Committee and deliver before year end.

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Small Business Optimism Reverses Course in January

Hiring and Capex Plans Edge Lower Despite Improved Sales Outlook

Economic Indicator

Economist(s)



[Charlie Dougherty](#)



[Jackie Benson](#)



[Ali Hajibeigi](#)

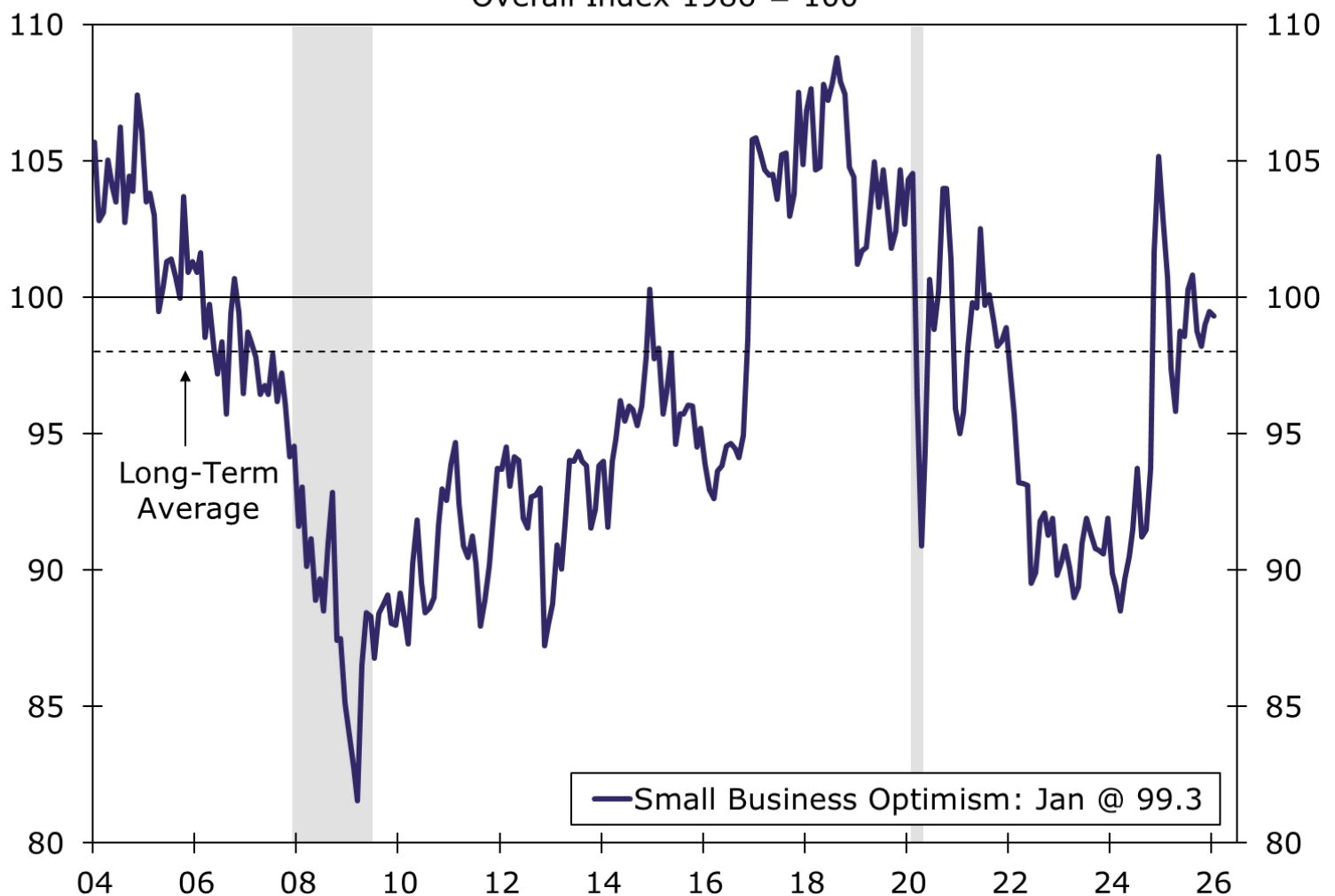
Summary

The NFIB's Small Business Optimism index fell slightly in January, ending a two-month streak of gains. The share of firms expecting the economy to improve declined slightly, with hiring and capex plans also edging lower. Encouragingly, the share of small firms expecting sales to strengthen rebounded to the highest level since early 2025.

In sum, dimming small business sentiment largely tracks with what we are seeing across the spectrum of recent macroeconomic data. Real GDP is still expanding at a sturdy rate with promising signs that inflation is no longer meaningfully accelerating. That said, the pace of hiring at small businesses (a key driver of overall employment growth) has downshifted in recent months, which suggests the labor market is still stuck in a state of malaise.

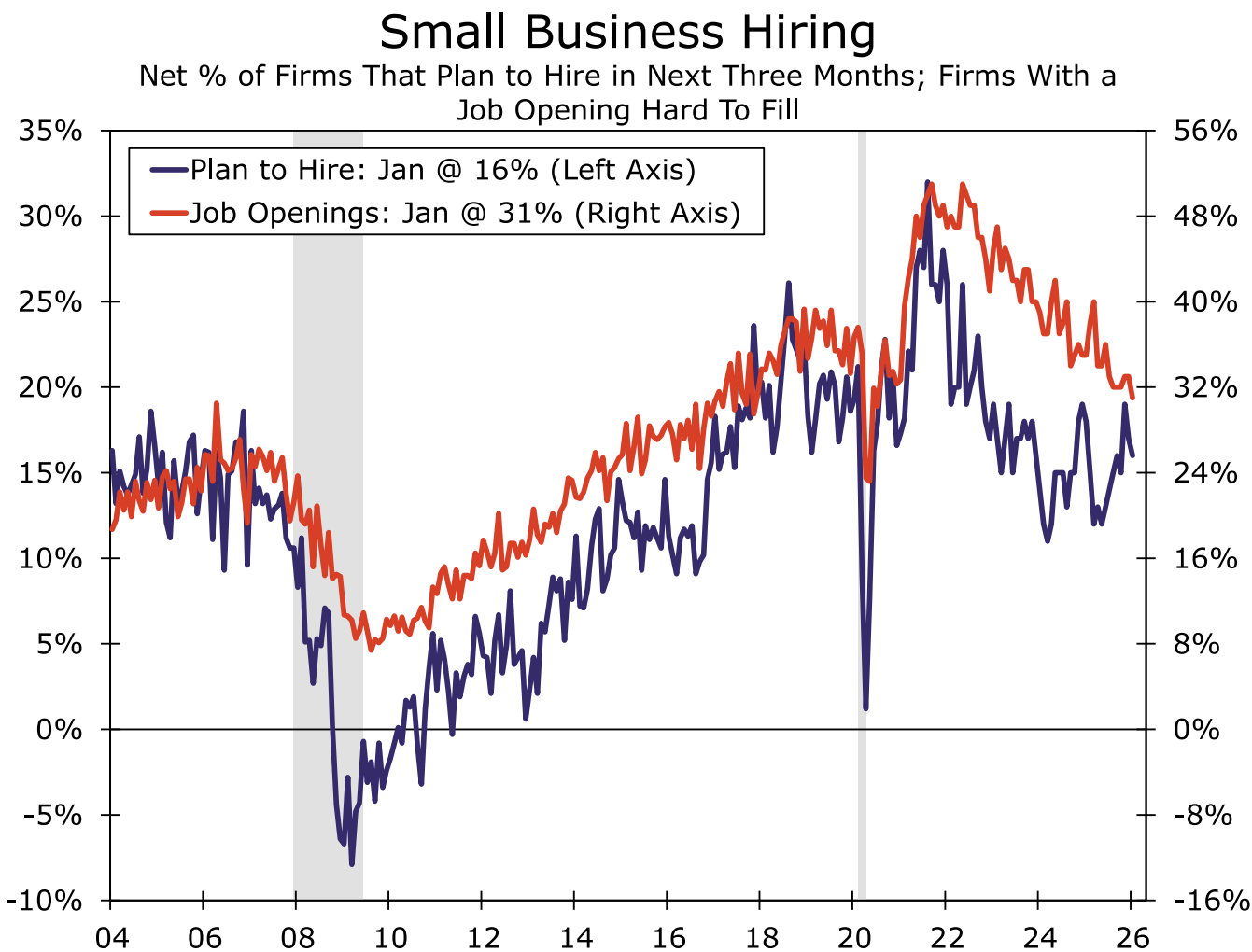
NFIB Small Business Optimism

Overall Index 1986 = 100



Small Businesses Downshift Hiring Plans

The share of small firms planning to increase headcounts over the next three months has eased gradually over the past several months. The trend in hard-to-fill job openings has followed a similar pattern, with vacancies falling to a new cycle low.



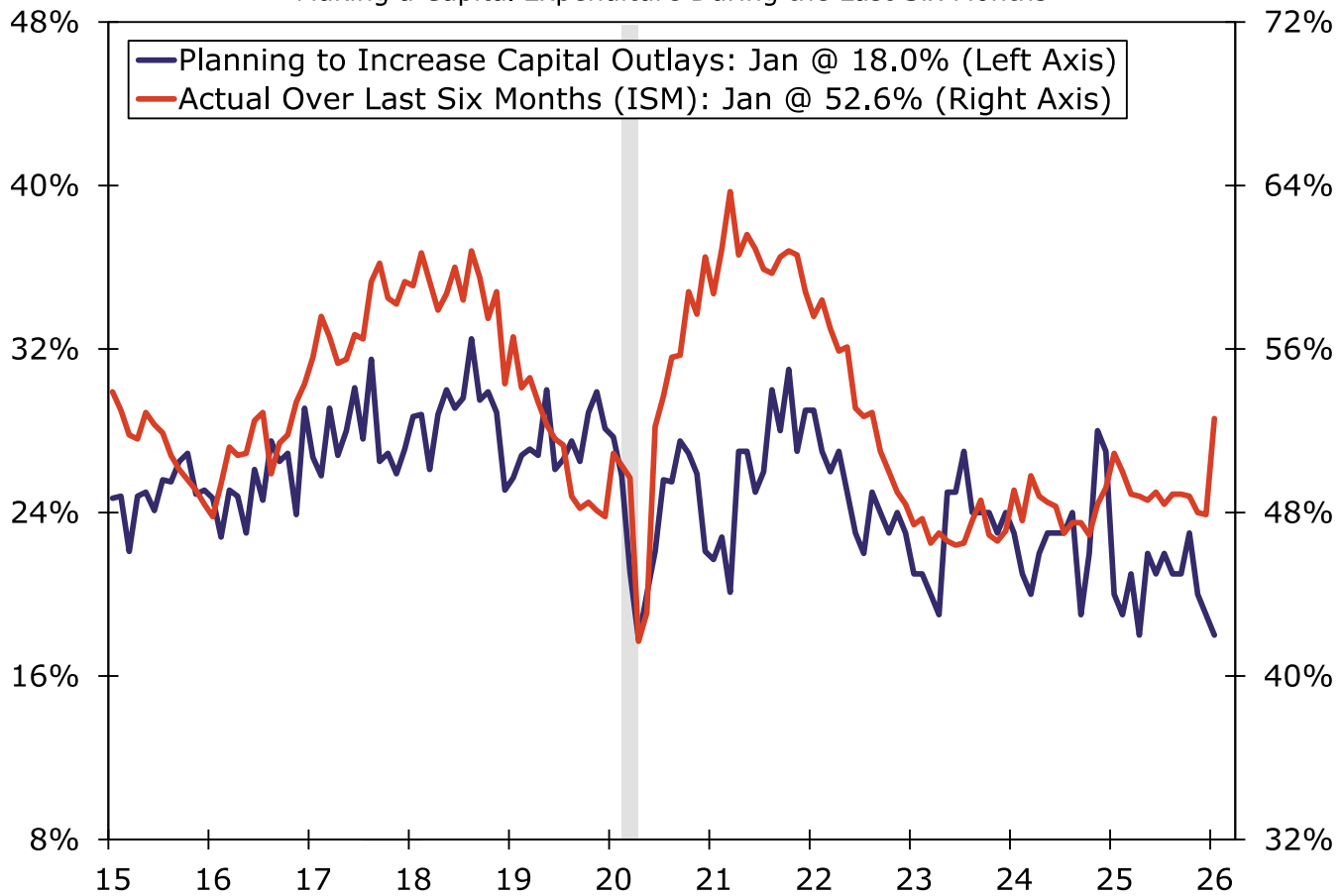
Source: NFIB and Wells Fargo Economics

Capex

Capital spending among small firms appears to have picked up over the back half of 2025, with the share of owners reporting an increase in outlays over the past six months rising to the highest point since November 2023. The increased in capex was largely directed toward new equipment, while spending on vehicles, facilities and new structures/land pulled back. Plans for additional investment over the next six months ticked down, however.

Small Business Capital Spending Outlook

Net Percent of Firms Planning to Increase Capital Spending, SA & Percent Making a Capital Expenditure During the Last Six Months



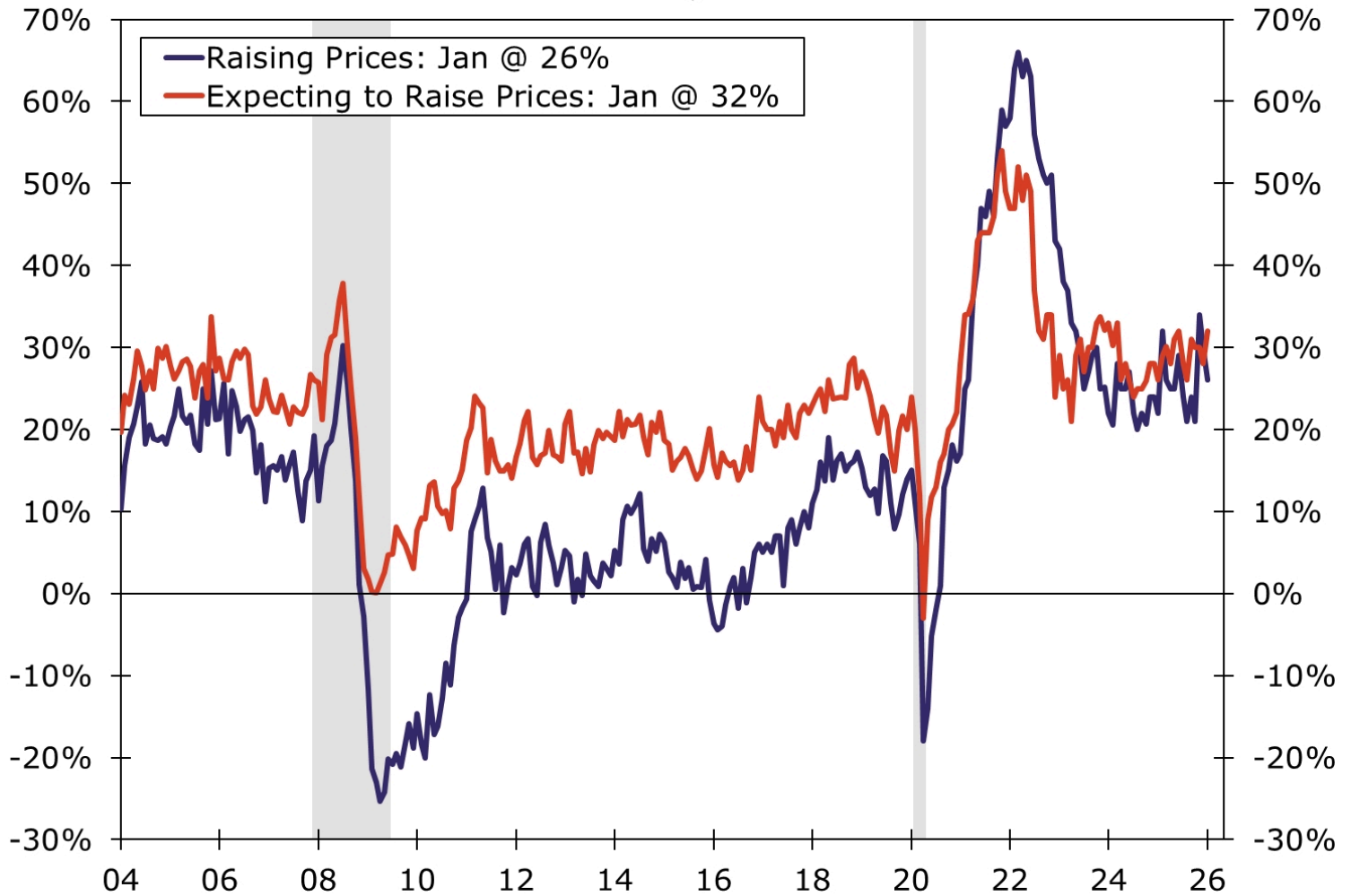
Source: NFIB and Wells Fargo Economics

Inflation

The share of firms raising prices fell four points in January, the second consecutive monthly decline. That noted, the share expecting to raise prices over the next three months climbed four points during the month. On balance, both series have moved more-or-less sideways over the past year. The message is that inflation is still running warm, but not showing signs of accelerating meaningfully.

Small Business Price Changes

Net Percentage of Firms

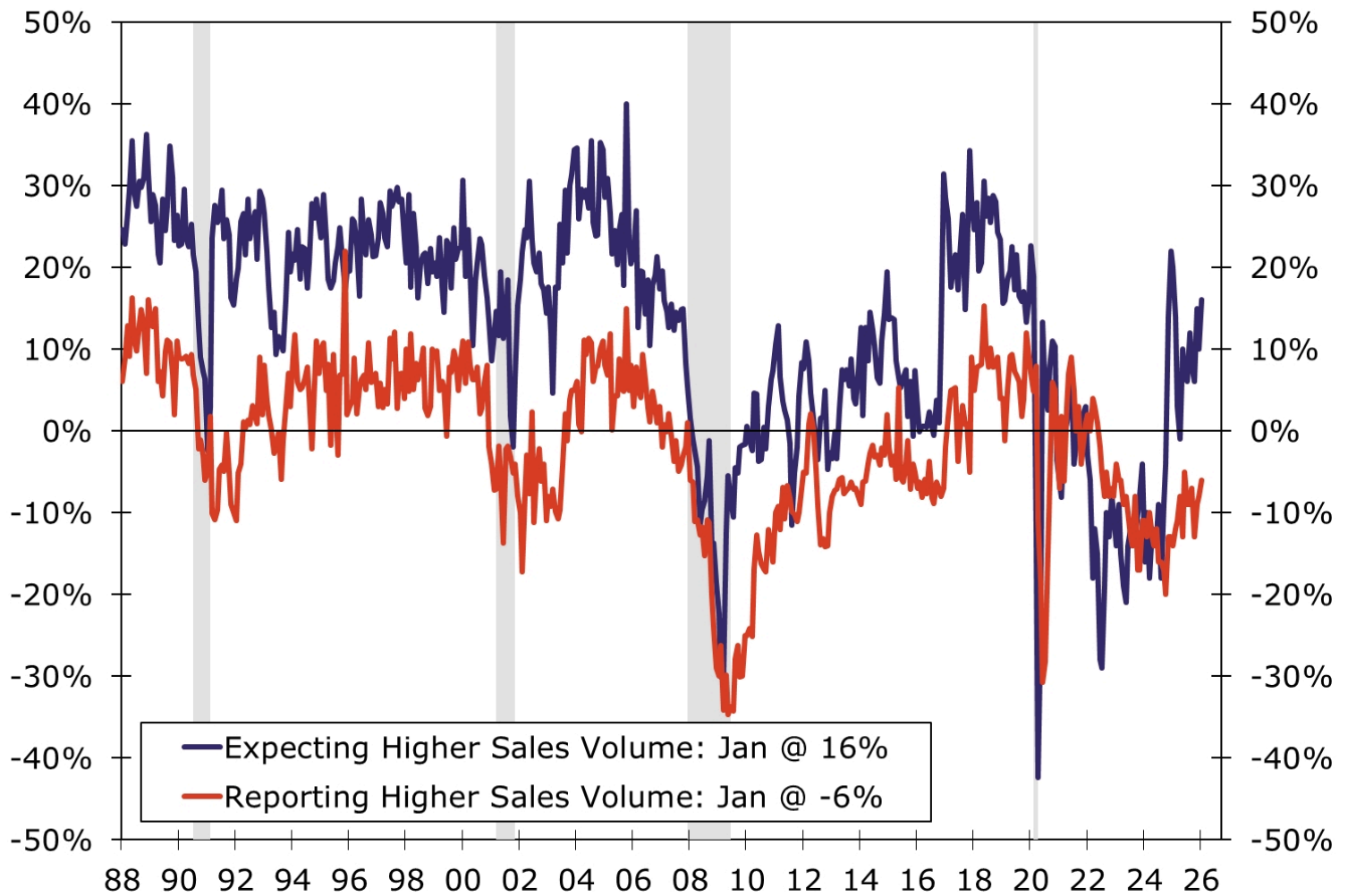


Sales

Higher sales expectations, which jumped six points, was a notable bright spot. That said, brighter sales expectations stands in stark contrast to actual recent sales, which improved only modestly in January and remain weak compared to historical averages. The divergence is a reminder that though there are strains within some segments of the consumer and business sectors, perceptions of economic growth ahead remain generally optimistic.

Small Business Actual Sales and Expected Sales

Net Percent of Firms



Source: NFIB and Wells Fargo Economics

Outlook

The share of firms expecting the economy to improve over the next six months eased slightly in January. The series has been volatile this year but remains above the average registered in the years following the pandemic. There is likely a bit of political bias going on, as upbeat responses tend to be more common during Republican administrations. That noted, the anticipated sturdy pace of economic growth ahead is in line with our own expectations for a solid pace of real GDP growth in 2026.

Source: NFIB and Wells Fargo Economics

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Q4 Employment Cost Index Signals Labor Market Yet to Stabilize

Economic Indicator

Economist(s)

 [Sarah House](#)

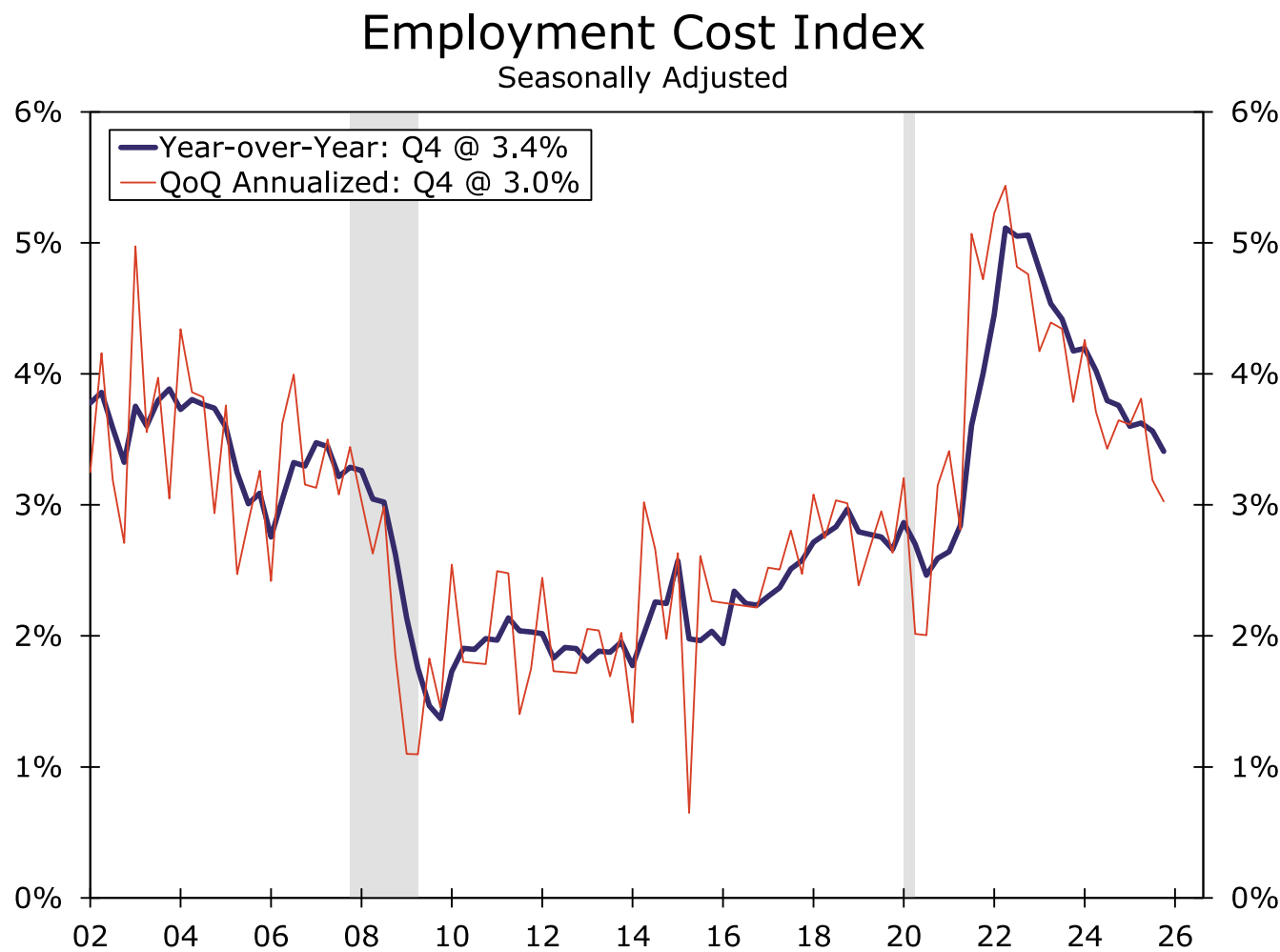
 [Michael Pugliese](#)

 [Nicole Cervi](#)

Summary

The Employment Cost Index came in a bit softer than expected in Q4 and points to the labor market continuing to gradually cool. Relative to a year ago, compensation costs were up 3.4%, the slowest pace of growth since early 2021. Although wages & salaries have led the slowdown, benefit costs have also cooled, with health benefits being a notable exception.

Overall, compensation growth has settled to a pace that supports real income gains for workers without adding meaningful pressure to inflation, particularly when considering the solid trend in productivity recently. This dynamic should make labor costs less of an obstacle to inflation's return to target, but it also underscores a moderating labor market that keeps the Fed alert to the downside risks to its full employment mandate.

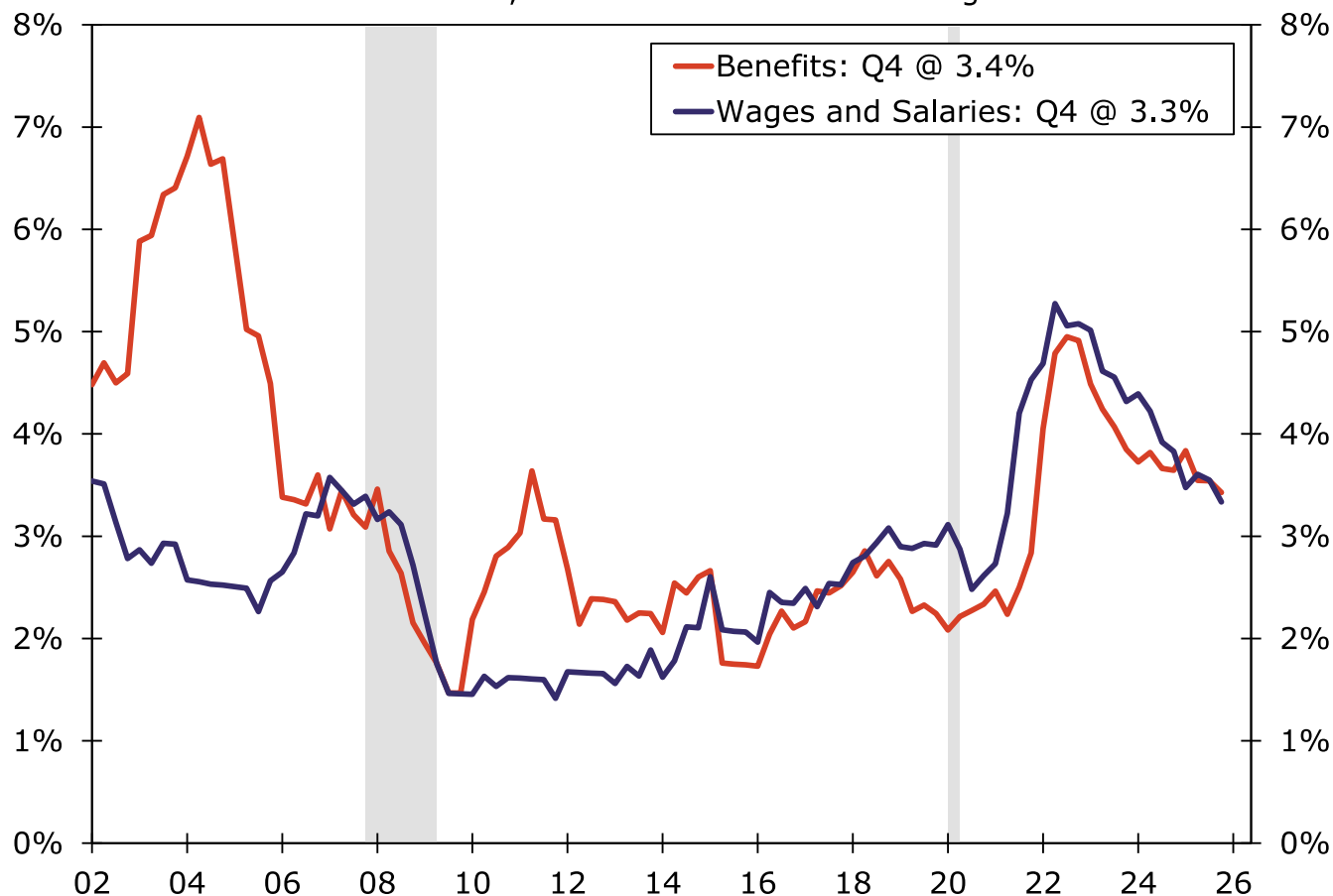


Moderation in Compensation Growth Continued Through Year-End

Employment cost growth continued to moderate at the end of the year, rising a softer-than-expected 0.7% in the fourth quarter. Over the past year, labor costs have risen 3.4%, the slowest pace since the spring of 2021 ([chart](#)). The ongoing slowdown in compensation growth according to the ECI marks a departure from the more timely average hourly earnings data, which has shown wages rising at just under 4% year-over-year since early 2025. But we believe the ECI's signal of further softening in the jobs market carries more weight in Fed officials' assessment of the labor market. The ECI has long been considered the Fed's preferred measure of labor costs because it controls for compositional changes in employment and is broader in scope since it includes benefit costs and compensation costs for public sector workers.

Wages and Salaries vs. Benefits Growth

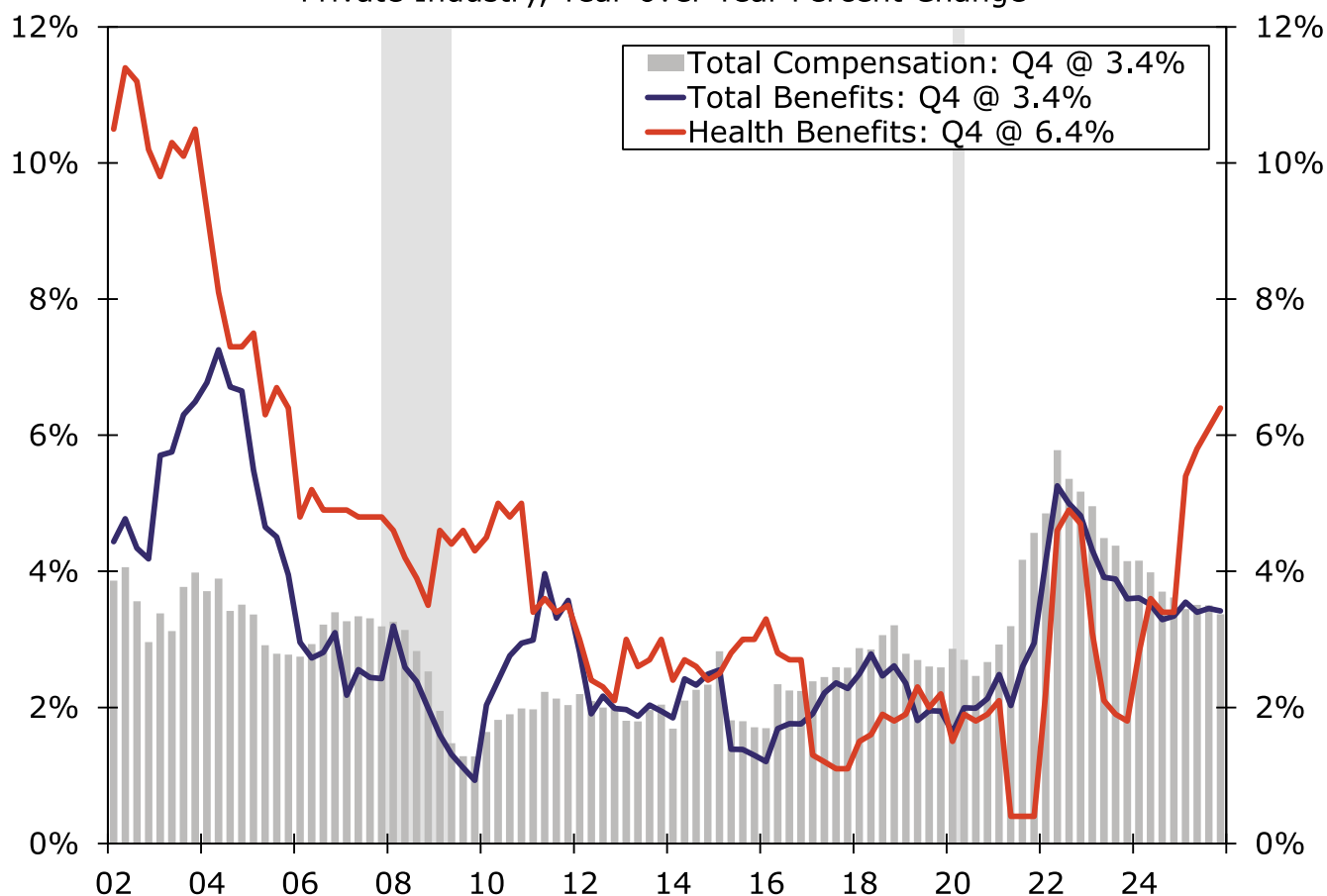
All Workers, Year-over-Year Percent Change



Source: U.S. Department of Labor and Wells Fargo Economics

Employment Costs: Health Benefits

Private Industry, Year-over-Year Percent Change



Source: U.S. Department of Labor and Wells Fargo Economics

The easing in total compensation growth has been underpinned by the gradual slowdown in wages & salaries, which rose 3.3% year-over-year in the fourth quarter ([chart](#)). Across industries, wage growth has slowed most noticeably in areas that have seen sluggish hiring over the past year, such as professional & business services and information. Meantime, wage growth has strengthened in construction and retail trade, pockets of the labor market that have likely seen tighter labor supply relative to demand.

Benefit costs rose 3.4% in the fourth quarter, outpacing wages & salaries on a year-ago basis, but still cooling on trend. Rapid growth in health benefits is buoying the overall pace of benefit cost growth, with insurance costs up 6.4% over the past year ([chart](#)). A more detailed breakdown of benefit growth is not available with this release. However, the latest report on [Employment Costs for Employee Compensation](#) shows supplemental pay, which includes overtime rates and non-production bonuses, leading the slowdown in another sign that underlying employment conditions have softened.

Overall, compensation cost growth as far as the Fed is concerned remains in the Goldilocks zone of not too hot and not too cold: workers are still seeing real wage and compensation gains, but labor costs are not growing so fast as to be a hurdle for returning inflation to target once accounting for the ~2% trend in productivity growth this cycle. The current pace should help ease Fed officials' lingering concerns about inflation, but the direction is likely to make them question whether labor market conditions have indeed stabilized.

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Flat Top: Stall in December Sales Caps Decent Season for Retailers

Economic Indicator

Economist(s)



[Tim Quinlan](#)



[Shannon Grein](#)

Summary

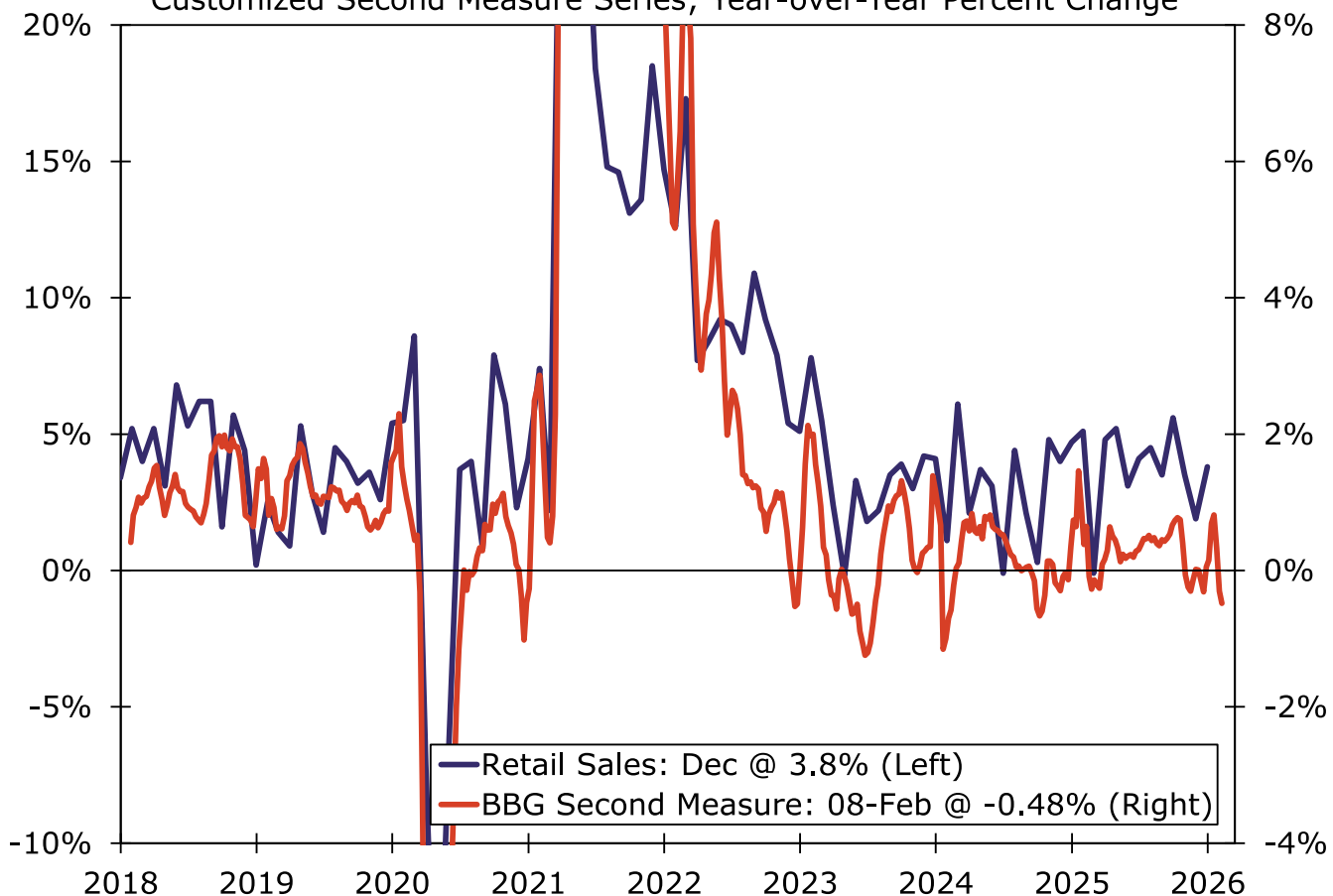
It was not a "December to remember" for retailers who reported no change in sales. Control group sales actually fell slightly during the month even as prior monthly gains were revised lower.

We unpack how the holiday season ended on a such a soft note even though it turns out, overall holiday sales (ex autos, gas and restaurants) rose 3.6% in November and December compared to the year prior. While that is slightly lower than where sales were tracking in recent months due to some downward revisions, it's in line with our forecast from back in October when we were cautioning of a weak year-end.

The weakness in this report reflects mostly goods spending in just one month, it does not de-rail our expectation for sustained consumer spending into 2026.

U.S. Retail Sales Growth

Monthly Census Bureau vs. 28-Day Trailing Weekly Bloomberg
Customized Second Measure Series; Year-over-Year Percent Change



Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

Wrong December and There's Reason to Believe

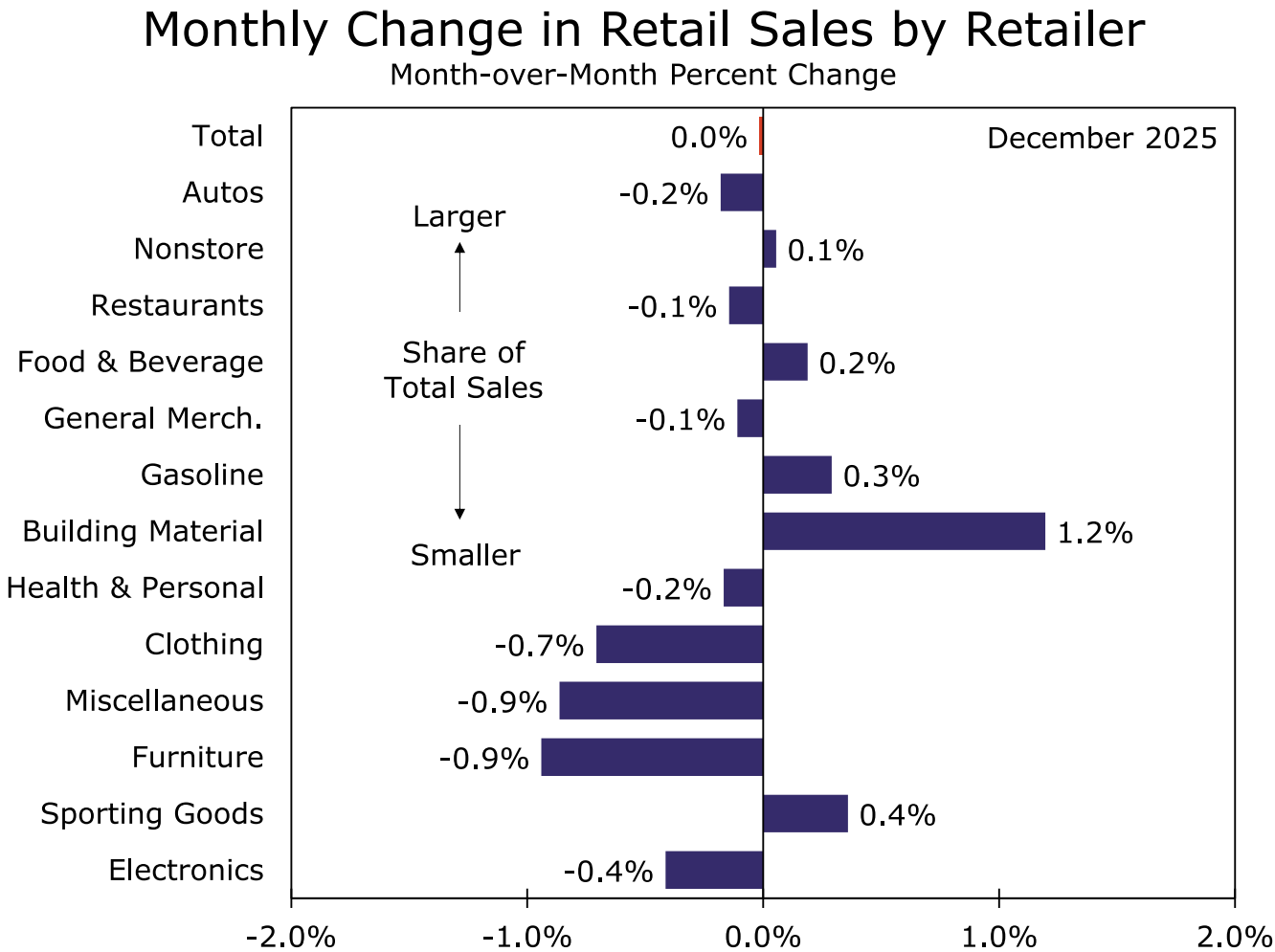
Retail spending stalled in December, prior gains were revised down and yet our take on the consumer is not materially impacted, here's why:

Since our annual [holiday sales forecast](#) went out in October, we have been flagging the potential for sales to stall in December. This is primarily due to:

- 1. Pull-forward in sales: tariffs, Prime day sales, etc.
- 2. Prevalence of gift cards at Christmas amid high prices, which are counted when redeemed, not purchased.
- 3. Drop-off in high frequency credit-card data (see [chart](#)).

So today's 0.0% headline and 0.0% ex-autos sales estimates, are lower than we expected, but not at all shocking.

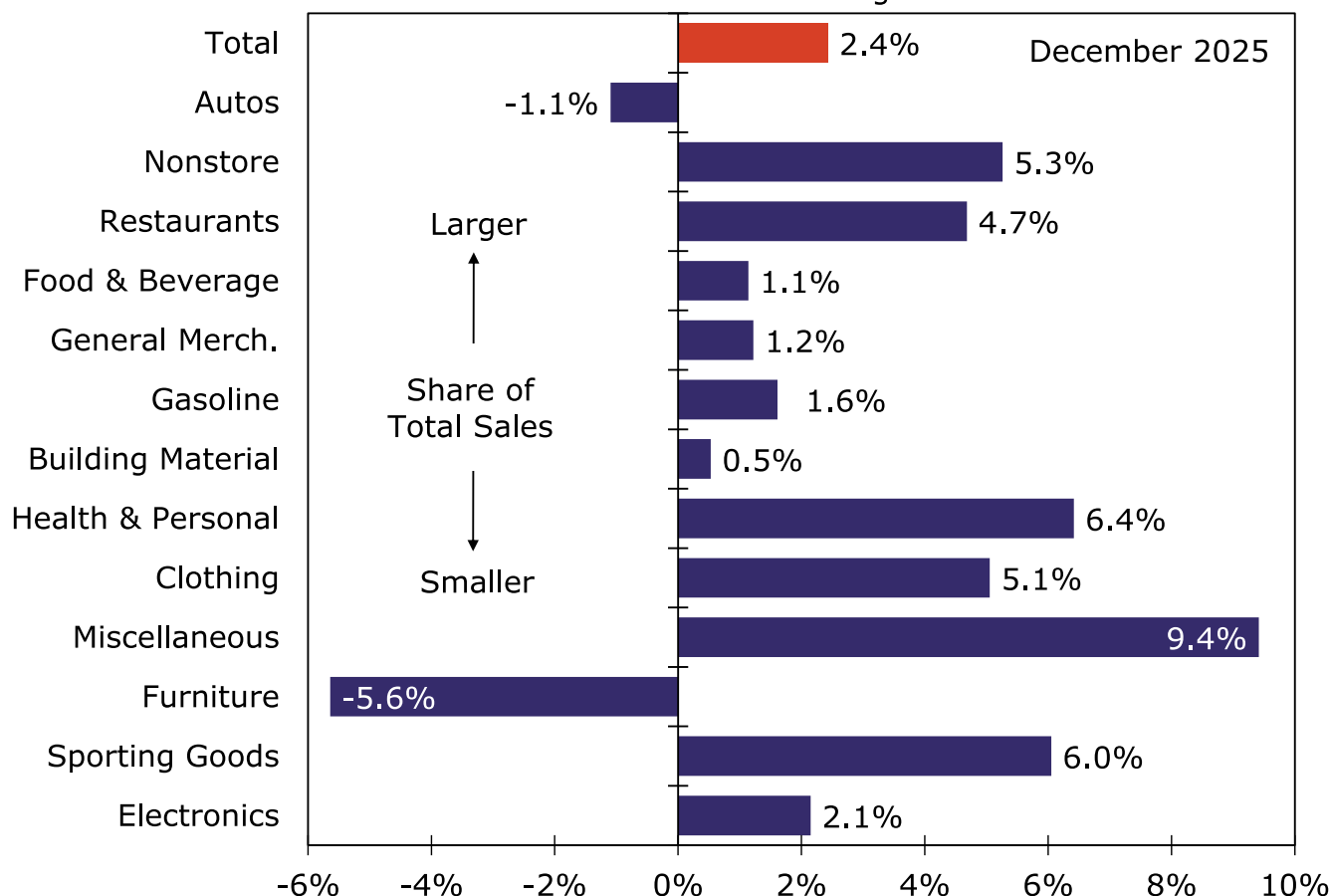
Control group sales (ex autos, gas, building materials and restaurants) fell 0.1% and the initially reported 0.4% gain for this category last month was halved in the revision to a more modest 0.2% pickup. The softer footing for goods spending does cast a shadow over our forecast for Q4 consumer spending, but recall that the November personal income and spending report was stronger than expected, boosting our expectations. So long as services spending momentum holds, we are not rushing to mark down our estimates for Q4 or materially changing our thinking on the U.S. consumer despite today's decidedly downbeat report.



Source: U.S. Department of Commerce and Wells Fargo Economics

Annual Change in Retail Sales by Retailer

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

Retail performance has ultimately been broadly positive over the past year, despite some mixed results in December ([chart](#)). All but two retailers posted sales gains over the past year: autos (-1%) and furniture (-6%) ([chart](#)). Overall control group sales are still running at a 3.5% annual rate, which is just below the pre-pandemic prior-cycle average of 3.7%.

The retail category posting the best year-ago gain is miscellaneous store sales, which are up almost 10% over the past year. The reasoning behind the bump is less obscure than its name, as this category is a hodgepodge of store-types including florists, gift stores, used merchandise, pet stores and other niche retailers. It thus acts as a bit of a catch-all for some smaller discretionary purchases, where households have been continuing to allocate dollars and signals that households are still comfortable spending money.

It turns out, overall holiday sales (ex autos, gas and restaurants), rose 3.6% in November and December compared to the year prior. While that is slightly lower than where sales were tracking in recent months due to some downward revisions, it's in line with our forecast from back in October when we were cautioning of a weak year-end. The key point here is, a weak end isn't necessarily indicative of the start of a new consumer trend. Here is how we said it back then; "A final point about the final month: December is not as special as it used to be. Tariff fears likely encouraged consumers to buy early, buoying the secular trend that's come with the immediacy of online purchases which has spread sales more evenly throughout the year."

The latest data ultimately suggest households are still broadly spending in the face of sustained and compounding inflation and an uncomfortable moderation in the jobs market. We expect consumer spending to be sustained this year as higher after-tax incomes and average tax refunds as part of the *One Big Beautiful Bill Act* help offset some of these household constraints.

U.S. Retail Sales: December 2026												
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25
Retail Sales (MoM)	-0.8	0.0	1.5	-0.1	-0.8	1.0	0.6	0.5	0.1	-0.2	0.6	0.0
Retail Sales, Ex. Autos (MoM)	-0.4	0.4	0.6	0.0	-0.1	0.9	0.4	0.6	0.1	0.2	0.4	0.0
Control Group Sales (MoM)	-0.5	0.8	0.5	-0.2	0.3	0.9	0.5	0.7	-0.2	0.5	0.1	-0.1
Real Retail Sales (MoM)	-1.3	-0.1	2.0	-0.1	-0.7	0.6	0.7	0.1	-0.5	--	--	-0.3
Retail Sales (YoY)	4.6	3.9	5.1	5.0	3.4	4.4	4.1	5.0	4.1	3.2	3.3	2.4
Retail Sales, Ex. Autos (YoY)	4.4	4.3	4.2	4.1	3.7	4.0	4.0	4.8	3.8	3.7	4.2	3.3
Control Group Sales (YoY)	5.0	5.7	5.4	5.2	4.9	4.7	5.0	5.9	4.1	4.6	4.7	3.5
Real Retail Sales (YoY)	3.8	3.3	5.0	5.1	3.3	3.7	3.3	3.6	2.2	--	1.4	0.9

Notes: MoM = Month-over-Month Percent Change
YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics

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